

standard chartered
global private bank

WS Global CIO Office
30 October 2026

November 2026

Global Market Outlook

Transitioning to mid-cycle

We now favour a more balanced stance between stocks and bonds. Near-term event risks and high earnings expectations prompt us to trim equities to a Core holding. The US and Asia ex-Japan (AxJ) remain our preferred regions. We upgrade India to Overweight.

Higher bond yields are improving the outlook for future returns and offering increasingly attractive income opportunities. We are Overweight Emerging Market (EM) USD bonds and favour corporate over sovereign debt, but limit duration to 3-7 years.

We remain Overweight gold. Prices are likely to grind higher as near-term headwinds from higher bond yields are offset by EM central bank demand.

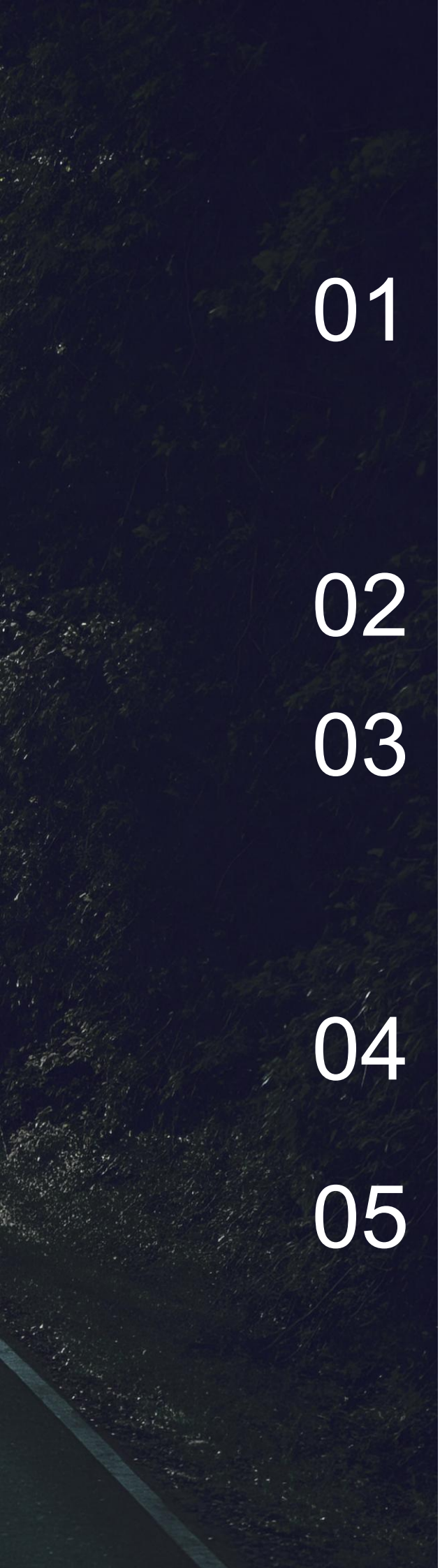
+

Where are the tactical opportunities?

Are central banks likely to continue hiking rates?

Are quantitative models still bullish on equities?

Important disclosures can be found in the Disclosures Appendix.



Contents

01 **Strategy**

Investment Strategy: Transitioning to mid-cycle 03

Foundation asset allocation models 05

Foundation: Our tactical asset allocation 06

Asset Allocation insights: Assessing AI concentration risk through a Total Portfolio Approach 07

02 **Macro overview – at a glance**

Our macroeconomic outlook and key questions 09

03 **Asset classes**

Fixed income 11

Equity 14

Equity opportunistic views 16

Gold and crude oil 17

FX 18

04 **Additional perspectives**

Quant perspective: Modestly UW equity as near-term risk rose 20

05 **Performance review**

Foundation: Asset allocation summary 22

Foundation+: Asset allocation summary 23

Market performance summary 24

Our key forecasts and calendar events 25

SC Wealth Select 26

Explanatory notes 29

Investment strategy and key themes

Steve Brice
Global Chief Investment Officer

Manpreet Gill
Chief Investment Officer, EMEA

Raymond Cheng, CFA, CPA
Chief Investment Officer, North Asia



12m Foundation Overweights:

- Gold
- US, Asia ex-Japan equities
- Emerging Market USD bonds

Opportunistic Ideas – Equities:

- **Global:** High dividend
- **US:** Healthcare^
- **Euro area (EA):** Banks, MSCI Switzerland^
- **Asia:** Japan banks

Top Global Sectors:

- **US:** Technology, healthcare^, financials, materials
- **EA:** Financials
- **Asia:** Japan financials

Opportunistic Ideas – Bonds:

- **US:** Treasury Inflation-protected Securities (TIPS), AAA-rated collateralised loan obligations (CLOs), US High-yield (HY)
- **Others:** AUD corporates

^New

Transitioning to mid-cycle

- **We now favour a more balanced stance between stocks and bonds.** Near-term event risks and high earnings expectations prompt us to trim equities to a Core holding. The US and Asia ex-Japan (AxJ) remain our preferred regions. Within AxJ, we upgrade India to Overweight.
- **Higher bond yields are improving the outlook for future returns and offering increasingly attractive income opportunities.** We are Overweight Emerging Market (EM) USD bonds and favour corporate over government bonds, but limit duration to 3-7 years.
- **We remain Overweight gold.** Prices are likely to grind higher as near-term headwinds from higher bond yields are offset by EM central bank demand.

Great expectations

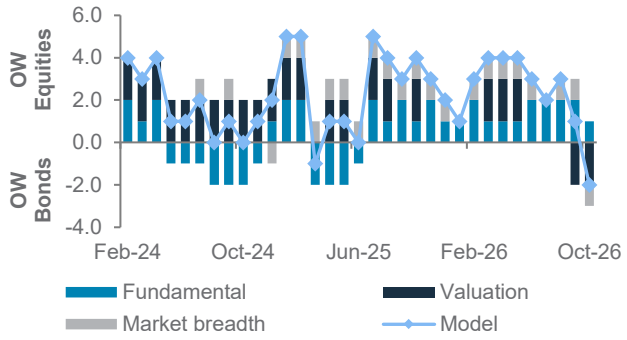
Individual risk events, high earnings expectations and a higher cost of capital point to a more moderate return environment ahead. In the very near term, financial markets must navigate key event risks, such as (i) the US mid-term elections, which have historically been associated with elevated market volatility and (ii) renewed geopolitical tensions, with several reports suggesting the US is considering renewed strikes on Iran. These concerns have pushed the Brent oil price well above USD 110/bbl despite significant ongoing crude oil flows through the Strait of Hormuz.

Higher bond yields combined with high earnings expectations raise the risk of an expectations reset. The US Q3 earnings season is attracting significant attention given high earnings expectations, particularly for the AI sector. However, higher US bond yields may start to bite as debt-financed capex takes on a greater share of total capex over the coming year. This, combined with already-high expectations, raises the risk of disappointment and a near-term repricing of expected earnings growth pace.

Despite the current challenges, healthy growth continues to underpin the economic backdrop. The US economic outlook remains well supported, and the absolute level of year-ahead earnings expectations is high. We do not expect Fed rate hikes to result in overly restrictive policy. Our caution, thus, stems from the risk of an expectations repricing rather than an outright economic slowdown.

Fig. 1 Our quant model score has fallen to levels associated with flat-to-modestly-negative equity returns

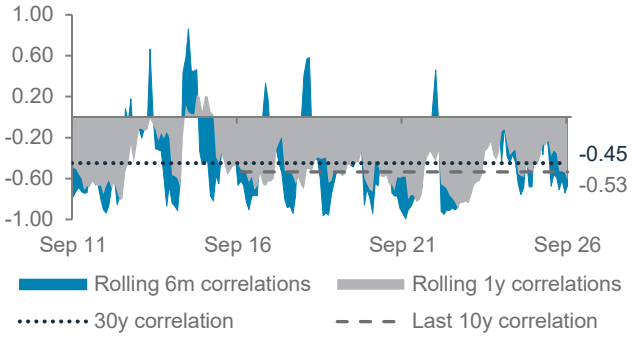
Our quantitative stock-bond model



Source: Bloomberg, Standard Chartered

Fig. 2 Negative gold-USD correlation has held back gold amid USD strength. This is unlikely to persist

Gold and USD correlations over the last 15 years



Source: Bloomberg, Standard Chartered

A more balanced stock-bond mix

We trim global equities to a Core holding, leaving us Neutral on both equities and bonds and Overweight gold. The concerns laid out earlier point to near-term volatility risks and a somewhat lower long-term growth trajectory for equities. Our quant model also reflects this cautious outlook, having downgraded equities to a level usually associated with flat-to-modestly-negative returns.

From a relative perspective, though, the higher yields on offer from bonds also raise the bar by presenting an increasingly compelling return outlook after several years of very low yields. We believe this argues for portfolios that are increasingly balanced between equities and bonds.

Ways to diversify equity exposure

We continue to favour global equity market diversification, with a preference for US and AxJ equities. We remain Overweight US and AxJ equities, expecting them to outperform other major regions. Earnings growth remains the main driver of this view – while growth rates could decelerate somewhat, we still expect them to remain higher than those of other major regions.

Japan and Euro area equities remain attractive as regional diversifiers. Our positive view on both markets' financial sectors supports our Core holding view on them.

Within Asia, we are Overweight Taiwan and India. Indian equities have lagged the region this year, in part due to limited listed AI-related exposure. However, we believe this is increasingly likely to become an advantage as investors seek greater diversification away from excessive concentration in the AI theme. This comes at a time when the economic and earnings growth outlook for Indian equities is starting to improve. We retain a more Neutral view on Chinese equities amid a still-challenging growth outlook.

We also favour greater sector diversification. In the US, we favour diversifying across our Overweight sectors of technology, financials, materials and healthcare. We also favour financials in Japan and the Euro area.

Changes to our equity opportunistic ideas also reflect a more defensive stance. In recent weeks, we have closed our global semiconductors, MSCI Taiwan, US communication services and global power & electrification ideas and have opened new ideas on US healthcare and MSCI Switzerland.

Riding the yield train

We believe bond markets offer an attractive opportunity to lock in yields. The 10-year US government bond yield is now in a range last witnessed in 2007. While the process of rising yields results in lower bond prices – as painfully experienced in recent months – the yield level itself starts to significantly improve the outlook for future returns.

Favour corporate over government bonds, but check your duration. Still-high credit quality means that we continue to favour taking on credit risk to earn a higher yield (EM USD bonds are preferred, but we also see investment-grade (IG) and high-yield (HY) bonds as Core holdings). However, limiting duration to 3-7 years remains key to avoiding excessive exposure to any inflation surprises.

Changes to our bond opportunistic ideas also reflect a more balanced stance. We close our EU bank contingent convertible bonds (CoCos[2] – *please refer page 29*) and US utilities corporate hybrids ideas. We also close our opportunistic idea on US 10-year government bonds following the recent pullback in yields, locking in gains.

Alternatives and gold to remain relevant

Alternatives are an effective tool for portfolio risk management. Hedge funds and private markets provide a differentiated return stream, while rotating into alternatives helps reduce equity beta exposure. We examine downside capture and how beta is reduced via hedge fund sub-strategies and private markets in our asset allocation section.

Gold remains a key Overweight. We trim our three- and 12-month forecasts modestly, but see gold forming a strong base above USD 4,000/oz. Rising bond yields and the USD were recent headwinds, but we expect a softer USD and continued EM central bank demand to result in 12-month gains.

Foundation asset allocation models

The **Foundation** and **Foundation+** models are allocations that you can use as the starting point for building a diversified investment portfolio. The Foundation model showcases a set of allocations focusing on traditional asset classes that are accessible to most investors, while the Foundation+ model includes allocations to private assets that may be accessible to investors in some jurisdictions, but not others.

Fig. 3 **Foundation asset allocation for a balanced risk profile**

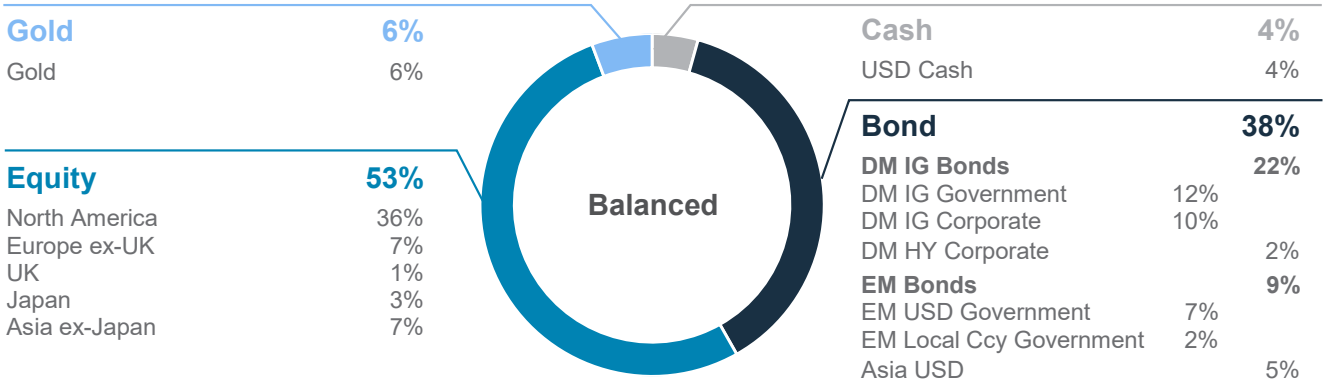


Fig. 4 **Foundation+ asset allocation for a balanced risk profile**

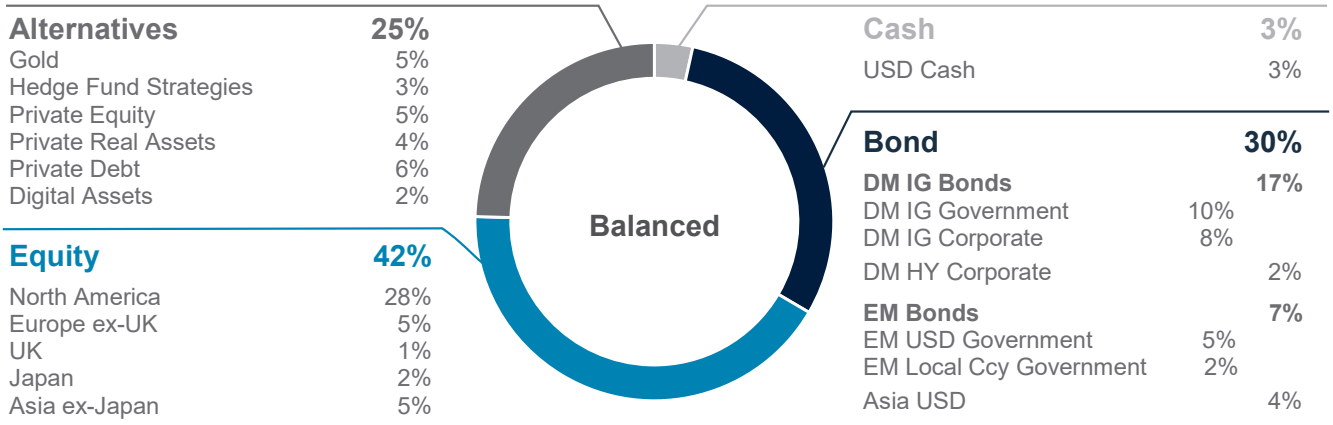
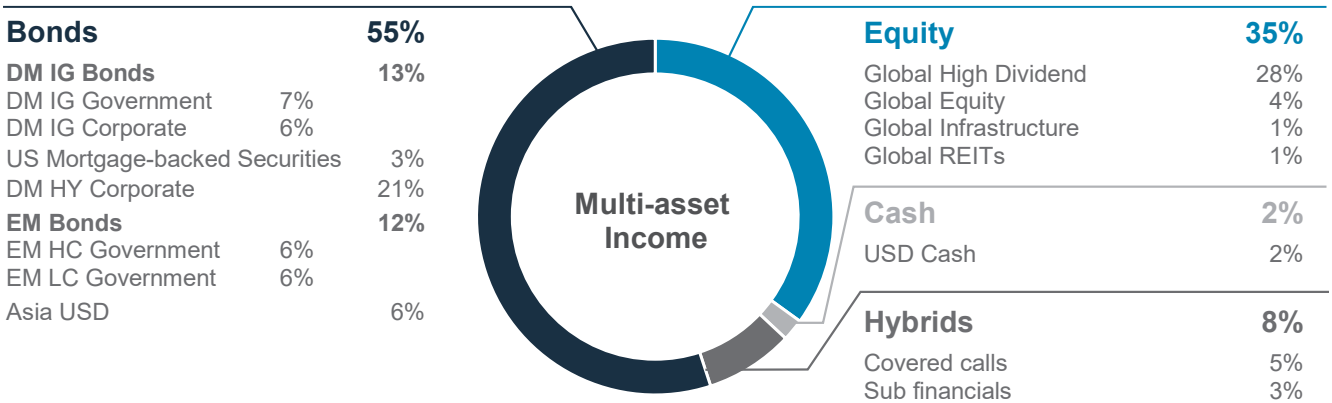


Fig. 5 **Multi-asset income allocation for a moderate risk profile**



Source: Standard Chartered

Notes: (i) Developed Market (DM) IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (ii) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

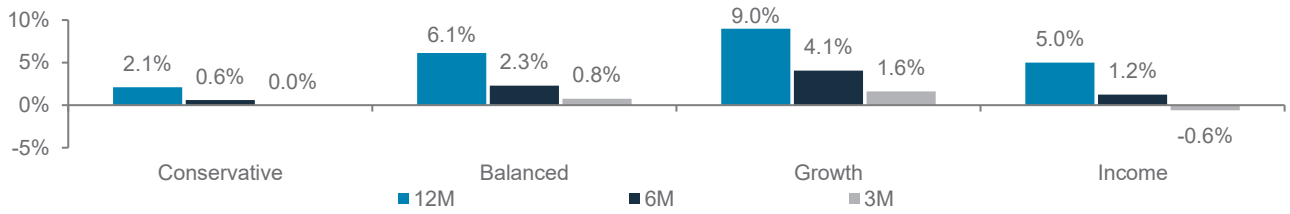
Foundation: Our tactical asset allocation

	View	Detail
USD cash	▼	+ Short-term safety || - Likely to underperform vs. major asset classes
Bonds	◆	
DM IG Govt	▼	+ High credit quality, attractive yields || - High sensitivity to inflation, monetary policy
DM IG Corporate	◆	+ High credit quality, improving valuations || - Expected supply, especially in the US
DM HY Corporate	◆	+ Attractive yield, low rate sensitivity || - Sensitive to growth and credit quality risks
EM USD Govt	▲	+ Attractive yield, sensitive to US rates || - EM credit quality, US trade policy risks
EM Local Ccy Govt	◆	+ Attractive yield, benefit from USD weakness || - US trade policy risks, inflation and FX risks
Asia USD	◆	+ Moderate yield, low volatility || - Sensitive to China growth
Equities	◆	
North America	▲	+ Earnings growth, AI uptrend || - US policy uncertainty, rising bond yields
Europe ex-UK	◆	+ Undemanding valuations, German fiscal spending || - US trade policy risks, oil prices
UK	▼	+ Attractive valuations, dividend yield || - Stagflation risks, US trade policy risks
Japan	◆	+ Reasonable valuations, rising dividends/share buybacks || - JPY strength, US trade policy
Asia ex-Japan	▲	+ Earnings, policy support, Easing oil prices || - China growth concerns, US trade policy
Gold	▲	+ Portfolio hedge, central bank demand || - Resilient USD, elevated real yields

Legends: ▲ Overweight | ▼ Underweight | ◆ Core

Source: Standard Chartered Global Investment Committee; **Green** = Upgrade; **Red** = Downgrade

Fig. 6 **Performance of our Foundation Allocations***



Source: Bloomberg, Standard Chartered; *12-month performance data from 28 October 2025 to 28 October 2026, Six-month performance from 28 April 2026 to 28 October 2026, Three-month performance from 28 July 2026 to 28 October 2026

Fig. 7 **Opportunistic ideas performance**

Key call		Inception/open date	Close date	Absolute return
Bond – open	1-10yr TIPS bonds	10-Apr-25		5.6%
	AAA-rated CLO	11-Dec-25		4.2%
	AUD corporate credit	19-Mar-26		2.1%
	US HY bonds	18-Jun-26		-1.5%
Bond – closed	EU bank AT1 FX-hedged	11-Dec-25	22-Oct-26	2.0%
	US Utilities Corporate Hybrids	19-Mar-26	29-Oct-26	0.5%
	US 10Y govt bonds	25-Sep-26	22-Oct-26	1.7%
Equity – open	Global High Dividend	18-Jun-26		4.8%
	Japan Banks	18-Jun-26		1.5%
	Euro area Banks	27-Aug-26		-9.7%
	US Healthcare	12-Oct-26		7.1%
	MSCI Switzerland	29-Oct-26		–
Equity – closed	US Communication Services	18-Jun-26	12-Oct-26	1.9%
	MSCI Taiwan	9-Jul-26	2-Oct-26	10.0%
	Global Power & Electrification	30-Jul-26	29-Oct-26	-6.5%
	Global Semiconductors	9-Sep-26	2-Oct-26	8.1%

Source: Bloomberg, Standard Chartered. Performance as of 29 Oct 2026

Asset Allocation insights: Assessing AI concentration risk through a Total Portfolio Approach

Sylvain Huard
Head of Asset Allocation

Hannah Chew
Portfolio Strategist

Summary

Artificial intelligence (AI) has become one of the most powerful drivers of global market performance and, increasingly, one of the largest contributors to portfolio risk. While we remain constructive on the long-term outlook for equities and continue to view AI as a transformational investment theme, our tactical positioning has recently shifted from an Overweight to a Neutral equity weight. This reflects a more balanced near-term risk-reward profile after a period of strong equity market performance and increasingly concentrated market leadership.

Against this backdrop, a deeper understanding of portfolio construction is essential. Investors should consider not only how much they allocate to equities, bonds and alternative investments, but also the underlying factors driving portfolio risk. Using a Total Portfolio Approach (TPA), we assessed the factor exposures embedded within our Foundation and Foundation+ Balanced portfolios, with a particular focus on AI concentration risk.

Our analysis suggests both portfolios are more diversified than a traditional 60/40 allocation and maintain meaningful exposure to long-term AI growth opportunities. The Foundation+ Balanced portfolio provides additional diversification through alternative investments and a broader range of return drivers, reducing reliance on public equity markets.

Key findings

Looking beyond asset classes: Understanding AI concentration risk

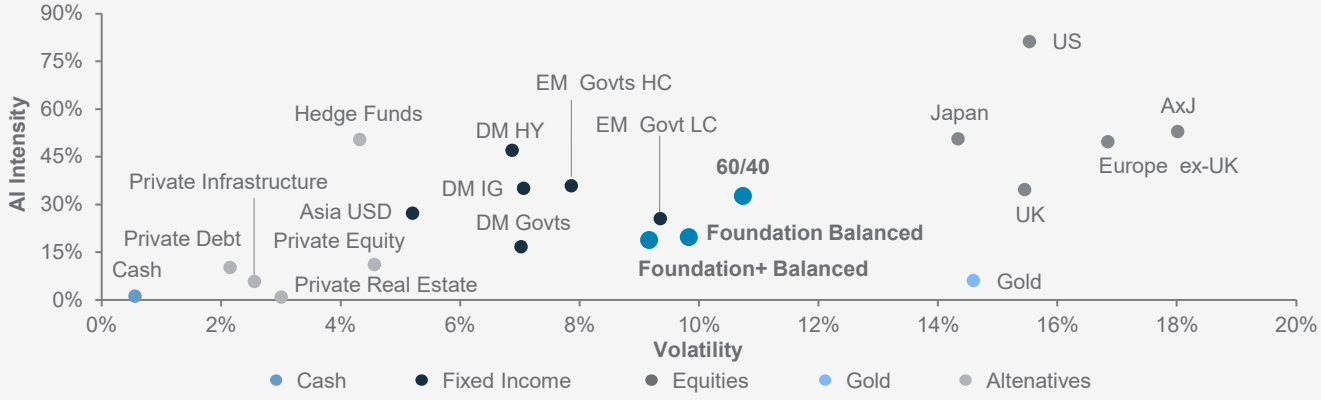
Investors often assess diversification through the lens of asset allocation. A portfolio containing equities, bonds, gold and alternatives may appear diversified on the surface. However, this traditional approach alone does not always reveal where portfolio risks are truly concentrated.

TPA starts from a different premise. Rather than focusing solely on asset classes, it seeks to identify the underlying factors that drive portfolio outcomes, including equity markets, interest rates, credit spreads, currencies, liquidity conditions and thematic exposures such as AI.

This perspective is particularly relevant following our recent move from an Overweight to a Neutral equity allocation. While we remain constructive on equities over the long term, a growing share of market returns has been driven by a relatively narrow group of AI-related beneficiaries. For investors, the question is, therefore, not whether to maintain exposure to AI, but whether their portfolios have become overly dependent on a single theme or underlying risk factor.

Fig. 8 AI intensity and volatility across asset classes

Comparison of AI risk contribution and historical volatility across public and private asset classes, gold, hedge funds and diversified portfolios



Source: Bloomberg, Standard Chartered. AI Intensity is the combined volatility contribution of four AI value-chain factors in our proprietary model. The 60/40 benchmark is 60% MSCI World/40% DM government bonds, rebalanced monthly.

US equities exhibit some of the highest levels of AI intensity, reflecting the dominant role US companies play across the AI value chain. By contrast, fixed income, private assets and gold display significantly lower AI sensitivity and derive their returns from different economic drivers.

The objective is not to eliminate AI exposure. We continue to believe AI will remain one of the defining structural growth themes of the coming decade. Instead, the objective is to ensure portfolios participate in this opportunity without becoming excessively dependent on it.

Stronger diversification through different return drivers

One of the most common misconceptions is that greater diversification inevitably leads to lower returns. Our analysis suggests the opposite may be true when diversification is achieved through genuinely different return drivers. Both Foundation and Foundation + portfolios exhibit attractive risk-return characteristics relative to a traditional 60/40 allocation (see Fig. 9). They deliver comparable or higher return potential with lower volatility, smaller drawdowns and reduced sensitivity to global equity markets.

Fig. 9 Comparative risk-return and factor risk profile

Comparison of risk-return profiles across the 60/40, Foundation and Foundation+ Balanced portfolios

Risk-return profile	60/40	Foundation	Foundation+
Annualised return	**8.8%**	**8.6%**	**10.7%**
Ex-ante volatility	**10.7%**	**9.8%**	**9.2%**
Beta	0.71	0.65	0.59
Correlation	0.97	0.97	0.94
Upside capture	73.7%	68.8%	69.3%
Downside capture	68.3%	61.5%	49.6%
Diversification ratio	1.13x	1.21x	1.35x
Maximum drawdown	-23.4%	-21.8%	-19.4%
Equity market risk	52.1%	53.8%	35.5%
AI Ecosystem risk	**32.6%**	**19.7%**	**18.8%**
Hardware/semi.	7.6%	6.2%	4.5%
Hyperscaler capex	5.7%	4.4%	4.6%
Software platforms	7.6%	3.3%	3.8%
AI power & energy	5.1%	3.5%	2.9%
Rate risk	2.9%	0.6%	-0.6%
Credit risk	6.7%	15.4%	16.4%
Currency risk	3.4%	4.8%	4.1%
Inflation risk	0.0%	0.0%	-0.1%
Risk premium	–	–	-3.6%
Liquidity premium	–	–	23.5%
Systematic risk	**97.8%**	**98.8%**	**94.0%**
Idiosyncratic risk	2.2%	1.3%	6.0%

Source: Bloomberg, Standard Chartered. Risk contribution based on a factor-based proprietary model. Beta, correlation, upside/downside capture ratios are computed against the MSCI World Index.
Analysis for the period of June 2016 to June 2026.

The key insight is that diversification works best when risks originate from different economic drivers. Simply increasing the number of securities or asset classes is not sufficient. What matters is the breadth of return sources supporting portfolio outcomes.

AI remains a meaningful component of portfolio risk, and its exposure is spread across several parts of the ecosystem. Non-AI-related factors, including equity beta, credit, currencies and liquidity premia, also drive portfolio risk. This broader mix reduces dependence on any single investment theme and creates a more balanced portfolio structure.

The role of alternatives: Creating additional return engines

The most important distinction between our Foundation and Foundation+ portfolios is the inclusion of hedge funds and private assets in the latter. Alternatives can provide additional return engines and reduce reliance on equity market beta, but different strategies offer very different forms of diversification.

Within hedge funds, a **multi-strategy** provides a strong starting point for investors seeking lower equity sensitivity and differentiated return sources, with an equity beta of around 0.15-0.20 and a correlation slightly above 50% to global equities' performance. **Equity long/short retains greater participation in equity-led growth**, reflected in a higher 0.45 beta, and has historically captured 56% of global equity gains. However, it also maintains greater common exposure to equity and AI factors. **Relative value offers the lowest equity exposure,** with a beta of around 0.10 and participation below 5% of global equity losses, although nearly 80% of its modelled risk is attributed to credit (partly reflecting the use of convertible-arbitrage trades), highlighting that reducing equity beta can mean substituting it with another source of risk.

Within private markets, the sources of return also differ materially. **Private credit offers the most differentiated return engine**, with returns driven primarily by income and credit premia rather than equity appreciation. **Private equity, by contrast, remains more closely linked to equity and growth factors**, making it a stronger source of long-term return potential but a less effective tool for reducing portfolio beta. **Infrastructure can provide an attractive middle ground.** It retains exposure to AI-related structural themes, particularly through digital and power infrastructure, and offers lower equity beta and correlation than traditional public equities.

Ultimately, our move from an Overweight to a Core allocation in equity markets does not change our constructive long-term view on equities or AI. Rather, it reinforces the importance of understanding where portfolio risk originates. Investors do not need to choose between participating in the AI opportunity and maintaining diversification. Using a **TPA lens** combines exposure to long-term growth themes with a broader set of return drivers, including carefully selected alternatives, and reduces dependence on any single source of market performance.

Macro overview – at a glance

Rajat Bhattacharya
Senior Investment Strategist

Key themes

Core scenario (soft landing, 45% probability): An economic soft landing remains our core scenario, with the global economy overcoming this year's oil price shock thanks to a surge in AI investment in the US and Asia. Record wealth generation driven by the stock market rally is supporting US consumption. Fiscal easing in the US, Germany and Japan is supporting growth. Meanwhile, inflation has reaccelerated due to a rebound in fuel prices as the Middle East conflict drags on. Against this backdrop, the Fed, ECB and BoJ all hiked rates in the same month (in September) for the first time. Although all three subsequently paused in October, we expect the Fed to hike twice more, the ECB once more and the BoJ thrice more by June 2027. Nevertheless, we expect the energy and tariff effects on inflation to fade by H2 2027, enabling the Fed and the ECB to cut rates by Q3 2027. Meanwhile, China is likely to target credit easing and accelerate fiscal spending in H1 2027 to revive domestic growth.

Upside risk (no landing, 30% probability): We maintain the probability at 30% as AI-driven investment growth continues. There is a reasonable chance that lower oil prices next year, the AI-fuelled wealth boom and fiscal easing in Germany and Japan will boost 'animal spirits'. A potential global defence spending boom, led by the US and Europe, could also lift global growth.

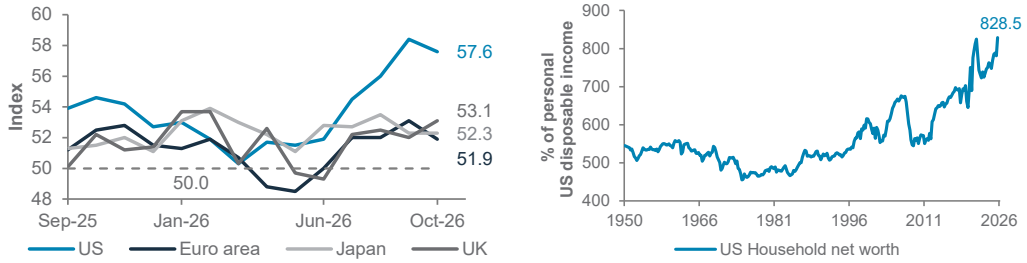
Downside risk (25% probability): We raised the risk of a recession to 15%, especially if central banks are forced to accelerate the pace of rate hikes to douse rising inflation. A stock market downturn negating the wealth effect or a bond sell-off due to fiscal concerns are other tail risks. We cut stagflation probability to 10% as we see low risk of oil prices sustaining above USD 120/bbl.

Key chart

The US-led AI-focused investment boom has lifted business confidence. The resulting equity market rally has boosted US household wealth, supporting consumption

Fig. 10 Robust business confidence amid AI boom; equity rally lifts US household net worth

Purchasing managers indices; US household net worth as percentage of personal disposable income



Source: Bloomberg, Standard Chartered

Policy rates watch

We expect the Fed to hike twice more by Q2 2027, then ease in H2 2027, as AI-led expansion continues. The US economy remains firmly in expansion. In Q3, annualised GDP growth accelerated to 3.4%, led by AI investments and consumption. In October, the composite Purchasing Managers' Index (PMI) remained strong at 57.6. Since our last monthly report, the consensus estimate for 2026 GDP growth has been nudged up to 2.3% from 2.1%, and the 2027 estimate has risen to 2.2%. That matches the Fed's upgraded growth projection of 2.3% for 2026, but remains below the Fed's 2.4% estimate for 2027. AI investment, fiscal support and household wealth are the main growth drivers, although consumer activity lags business spending. Higher bond yields and elevated oil prices are headwinds, but recession risks look contained. Our core scenario remains a 'soft landing', at 45%, with a meaningful 30% chance of a 'no-landing' upside.

Rising gasoline and diesel prices pushed US core personal consumption expenditures (PCE) inflation to 0.3% m/m and 3.1% y/y, matching estimates. Consensus sees core PCE inflation slowing from 3.2% in Q4 2026 to 2.4% by Q4 2027 as energy and tariff effects fade. Underlying price momentum is softening, and recent PCE methodology revisions have lowered core inflation. However, fuel costs passed on to wider consumers and AI-driven chip shortages remain upside risks.

In October, the Fed held rates at 4.0%, after hiking in September for the first time since 2023. We expect the Fed to hike rates by 25bps in December and 25bps more in H1 2027 due to elevated near-term energy inflation. It is likely to follow with a 25bps cut to 4.25% in Q3 2027 as disinflation returns. This aligns with the Fed's projected policy path, although it implies a more dovish trajectory than money markets, which are pricing another 56bps of hikes over the next 12 months. Political uncertainty after the mid-term election is a key risk.

ECB to hike once more in December, then pause. The Euro area recovery is firming. GDP grew 1.2% y/y in Q2 2026, up from 0.6% in Q1, and the manufacturing PMI stayed robust at 52.4 in October. Consensus 2026 growth has been raised to 1.0% from 0.9%, and 2027 is unchanged at 1.3%. The main supports are resilient exports and German infrastructure and defence spending. However, cautious consumers and soft private investment limit the recovery, and energy costs are squeezing household incomes and business margins. Recession is not the central expectation. French fiscal stress and sustained high energy costs remain the key risks.

Higher energy prices pushed Euro area headline inflation up to 3.8% y/y in September from 3.2% y/y in August, while core inflation rose to 2.5% y/y. Consensus expects headline and core inflation to ease to 2% y/y and 2.4% y/y by Q4 2027, respectively. Encouragingly, energy has had limited impact on core prices, and longer-term inflation expectations remain stable at around 2.1%. Together, these should allow inflation to moderate in 2027. The main risk is that energy, and especially gas, prices stay high for longer than expected.

The ECB held its deposit rate at 2.5% in October after raising it by 50bps this year. Inflation data continue to favour an additional hike in December. We expect an ECB rate hold in H1 2027, followed by a cut by Q3 2027 as disinflation returns. This policy path is more dovish than money markets, which are pricing more than 60bps of hikes over the next 12 months.

China to provide targeted support to defend growth floor. China's growth momentum recovered in September. Both the manufacturing PMI (50.1) and the non-manufacturing PMI (50.2) moved back into expansion. The construction PMI rose above 50 for the first time this year as infrastructure spending started to take effect. Exports grew 36.3% y/y, pushing the trade surplus to a record USD 133.5bn. We expect growth in 2026 to meet the lower end of the 4.5-5.0% target. Growth is increasingly bifurcated, though, with technology firms and exporters doing well, while household demand stays weak.

Prices are rising again, but only narrowly. Consumer inflation edged up to 0.9% y/y in September, and producer inflation surged to 5% y/y, its highest since 2022, driven by energy and metals prices and concentrated in upstream sectors. With domestic demand weak and a high comparison base next year, the boost from energy prices is likely to fade in 2027.

Policy is in 'targeted easing' mode. We expect a modest fiscal package to defend the growth floor rather than a large stimulus. The PBoC cut a key rate by 25bps to 1.5% to fund 'Six Networks' infrastructure projects and raised its relending quotas. A new interest subsidy on first-home mortgages provides limited support to demand. We expect no policy rate cut this year. There is still room to speed up fiscal spending, including by using CNY 500bn of unused local-government debt quota. If the PBoC switches to an overnight reverse repo rate as its policy rate, that would imply a de facto rate cut as the overnight rate is lower than the 7-day official policy rate.

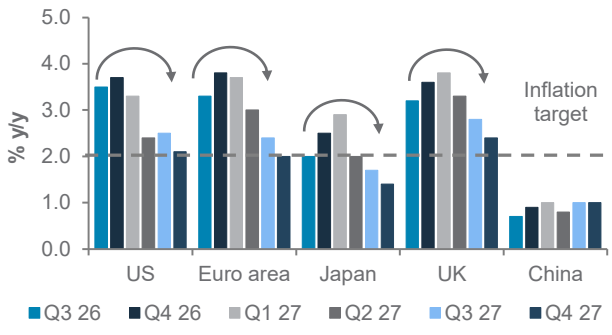
BoJ to hike at a quarterly pace until Q2 2027. Japan's economy remains solid. Wages are growing above 4%, and the labour market is tight. The main headwind is high energy prices, which is slowing growth. Fiscal spending gives some support: the FY27 draft budget includes ambitious spending plans, alongside a proposed two-year cut to the consumption tax on food and a new five-year defence programme. However, this extra spending raises questions about fiscal sustainability. The BoJ unveiled plans to triple the pace of ETF sales from January 2027, potentially funding the tax cut.

Price pressures now look firmly established. Headline and core inflation rose above 2% for the first time this year, and core-core inflation (ex-fresh food and energy) jumped to 2.4% and is expected to rise towards 3% in Q1 2027. Breakeven inflation rates have stayed above 2% most of this year. Real interest rates remain negative, hurting savers and pensioners.

The BoJ held its policy rate at 1.25% in October, after raising it in September, only three months after its previous hike. This points to an accelerated quarterly hiking pace. We expect the quarterly pace of hikes to continue, taking the rate to 2% by June 2027. Money markets have caught up with our hawkish view in recent months. The BoJ noted for the first time that underlying inflation has reached its 2% target, marking a shift from creating inflation to containing it. Politics could slow the hiking cycle in H2 2027. Two government-appointed board members voted against the September hike, and the two most hawkish members are due to leave in July 2027.

Fig. 11 Inflation is likely to ease globally by H2 2027

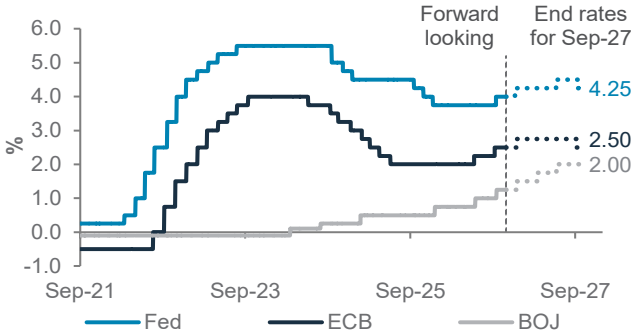
Consensus inflation estimates across major economies



Source: Bloomberg, Standard Chartered

Fig. 12 We expect limited central bank hikes over 12m

Our estimates of key central bank policy rates over 12 months



Fixed Income – at a glance

Jonathan Liang, CFA
CIO, Fixed Income & FX

Cedric Lam
Senior Investment Strategist

Ray Heung
Senior Investment Strategist

Anthony Naab, CFA
Investment Strategist

Our view

Foundation: Bond yields remain near multi-year highs, offering an attractive entry point. We view fixed income as a Core holding (ie, a Neutral allocation) in our multi-asset portfolios. Within the asset class, we maintain an Overweight stance on EM USD government bonds, given their attractive risk-reward. We hold an Underweight view on Developed Market (DM) government bonds due to the tail risks associated with term premia.

The Fed's decision to hold rates at 3.75-4.00% in October amid still-elevated energy prices suggests that every Fed meeting from here is 'live', with a rate change possible on incoming data. With US inflation still running hot and the labour market tight, we expect two more 25bps hikes (one by year-end and one in H1 2027), bringing the Fed's target range for the federal funds rate to 4.25-4.5%. We continue to favour the 3-7-year part of the US government bond yield curve as the best hedge against any risk-off move driven by AI-related growth fears. As inflation pressures ease in H2 2027, we see room for the Fed to consider a rate cut, which should pull nominal yields lower. Solid corporate fundamentals and supportive technicals should keep spreads tight, but there is limited room for them to tighten further. We still favour EM USD over local-currency (LCY) government bonds.

Opportunistic ideas: We are bullish on US TIPS, AAA-rated CLOs, broad US HYs and Australian dollar (AUD) corporate bonds.

Key charts

Fig. 13 **Rate forecasts and our view of bond classes**

Region	Horizon	2-year	10-year	30-year
US	Q4 2026	4.50 – 4.75%	5.00 – 5.25%	5.25 – 5.50%
	Q3 2027	4.00 – 4.25%	4.75 – 5.00%	5.50 – 5.75%
Euro area	Q4 2026	3.00 – 3.25%	3.25 – 3.50%	3.75 – 4.00%
	Q3 2027	2.75 – 3.00%	3.00 – 3.25%	3.75 – 4.00%
Japan	Q4 2026	1.75 – 2.00%	3.00 – 3.25%	4.00 – 4.25%
	Q3 2027	2.00 – 2.25%	3.25 – 3.50%	4.00 – 4.25%

Bond class	Our views
DM rates	▼
DM IG corps	◆
DM HY corps	◆
EM USD govt	▲
EM LCY govt	◆
Asia USD	◆

Legends: ▲ Most preferred / Overweight | ▼ Least preferred / Underweight | ◆ Core holding / Neutral allocation.
Green / **Red** represents an upgrade / downgrade from the prior GMO.
Source: Standard Chartered.

DM rates – Underweight

We remain Underweight DM government bonds. In the US, government bond yields have retraced meaningfully after a sharp bear steepening through September and early October. We expect real yields to stay elevated over the next six months as AI capex and productivity growth continue to drive above-trend economic growth. We expect two more 25bps rate hikes by June 2027.

Over the next few months, we expect US government bond yields to remain rangebound. The near-term path hinges on five factors: 1) the 3 November US mid-term election, where a 'Democratic sweep' would likely be bond-supportive by constraining US President Trump's fiscal spending agenda, while a 'Republican sweep' would likely weigh on bonds as markets price in further fiscal expansion and a higher term premium; 2) Fed communication at upcoming policy meetings; 3) the US Treasury's quarterly refunding announcement on 4 November, where any signal of reduced long-end issuance would likely compress long-end yields; 4) softening auction demand and repatriation by foreign investors, which add uncertainty around demand for US government bonds; and 5) the fluid geopolitical situation in the Middle East, which is keeping oil prices elevated, with a risk of further upside.

Going into H2 2027, we expect moderating oil prices and the fading inflationary impact of tariffs to give the Fed room to consider rate cuts. The US 30-year yield, however, is likely to stay elevated as fiscal deficit remains substantial next year.

We expect a final ECB hike to 2.75% by December 2026, then a pause in H1 2027, followed by a 25bps cut in Q3 2027. In Japan, we expect quarterly pace of BoJ hikes, with one hike that takes the policy rate to 1.50% by December 2026 and two more in H1 2027, reaching 2.00% before pausing at mid-year.

DM corporates – Core holding

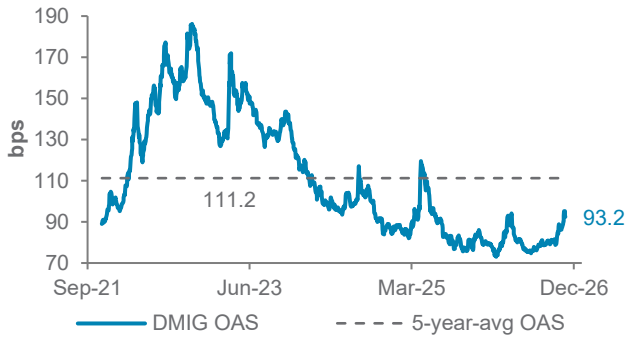
We maintain a Neutral allocation to both DM IG and DM HY corporate bonds, with a tactical bias to add exposure on episodic weakness, as carry continues to dominate total returns across DM credit. Credit spreads have widened from their lows but remain close to historical tights, while yields are still attractive, reinforcing a carry-led stance. This tight-spread regime is anchored by robust issuer fundamentals, strong profitability and resilient balance sheets, despite a visible moderation in rating upgrades over the past quarter.

Technical supply dynamics are reshaping sector dispersion, especially in the IG space, where heavy AI-related issuance is weighing on the long end of the curve. AI-driven supply is surpassing USD 250bn in 2026 and making up a growing share of US IG gross issuance, but there are growing signs that hyperscalers are turning to private markets for funding, which should help ease public bond market supply pressures.

We remain selective at the long end of the yield curve and favour a duration of 3-7 years, where risk-adjusted carry remains most durable. Issuance-driven concessions in sectors with strong capex cycles (notably technology, capital goods and basic industries) present opportunities for investors who can stomach near-term volatility.

Fig. 14 DM IG spreads have widened from their lows, but remain near historically tight levels

Bloomberg Global Aggregate Corp Index, option-adjusted spread (OAS)



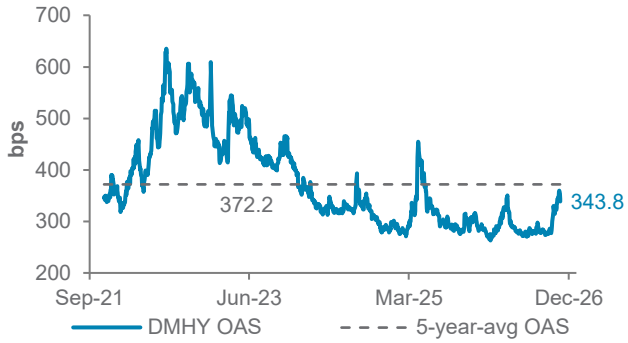
Source: Bloomberg, Standard Chartered

DM HY spreads have widened to roughly a six-month high. Persistent doubts about whether hyperscalers can generate adequate returns on massive AI capex investments triggered a broad risk asset sell-off. The CCC tier has become the focal point of genuine credit concern, with yields hovering near the high-15% range and spreads near a four-year high. Market focus has shifted to the funding pressures facing AI-related neocloud companies. We view this as idiosyncratic for now and see a limited impact on the broader HY universe. The underlying credit picture is mixed. Leverage is elevated and interest coverage is thin, but the broad market has not yet shown signs of systemic stress. The US HY default rate remains below trend in 2026.

HY offers an attractive income proposition, with all-in yields of over 8%. Its shorter-duration profile, combined with its lower sensitivity to changes in the term premium and rate volatility, make it an attractive sleeve in the current phase of the cycle. We remain attentive to evolving credit rating migration trends and sector-specific supply pressures, particularly as upgrades slow and new issuance clusters around key themes. However, healthy issuer fundamentals and stable credit metrics continue to support it as a Core holding allocation.

Fig. 15 DM HY spreads are off the tights

Bloomberg Global HY Aggregate Corporate Index, OAS



Source: Bloomberg, Standard Chartered

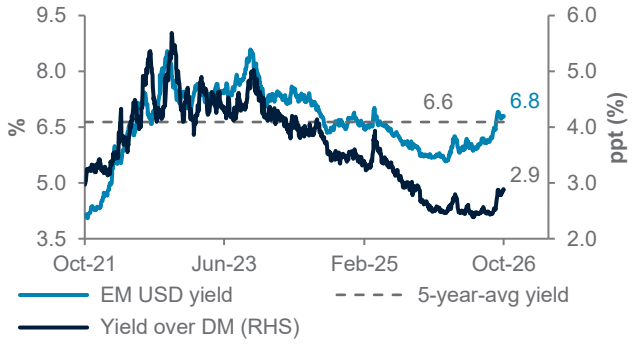
EM government bonds – Overweight USD/Core holding for LCY

We are Overweight EM USD government bonds and retain EM LCY government bonds as a Core holding, reflecting a balanced perspective across both regional performance and currency dynamics. In EM USD sovereign debt, the recent spread widening offered an attractive entry point to gain exposure to areas benefiting from resilient global growth and stable external conditions. Technicals remain favourable, with supply being front-loaded and investor positioning remaining relatively light compared with historical levels.

Many EM central banks having tightened earlier and more aggressively post-pandemic, preserving credibility and maintaining positive real rates. External balances have improved, reserve buffers have increased and greater reliance on domestic funding reduces external vulnerability. Lula's surprise win in Brazil's presidential election raises political risk. The country's fiscal trajectory under the incoming administration is a key risk to monitor. Fiscal slippage could trigger a broader repricing of LATAM risk. In Asia, higher-rated issuers continue to offer a valuable buffer during bouts of global rate volatility, while select frontier exposures in EMEA remain more sensitive to liquidity shifts and changes in risk appetite. Index composition also shapes resilience: the EM USD benchmark is less exposed to oil price shocks, as countries that are not oil importers account for a larger share of the benchmark than in the LCY benchmark. We expect returns to be primarily driven by carry rather than further spread compression.

Fig. 16 EM USD government bonds offer a yield pick-up of nearly 3ppt over DM peers

Bloomberg EM USD Government Bond Index, yield to worst



Source: Bloomberg, Standard Chartered

EM LCY debt faces additional headwinds, especially as elevated US real yields and an appreciating USD dampen demand from foreign investors and reduce the comparative attractiveness of broad-based duration strategies. However, real yields remain comparatively supportive in several markets, and current valuations signal selective opportunities, especially given the restrictive monetary policy stances prevalent across many EM economies. Accordingly, EM LCY bonds retain their Core holding status, with portfolio emphasis placed on country selection and measured duration exposure, reflecting the differentiated currency dynamics at play.

Key risks to both the USD and LCY segments include a potential escalation of the Middle East conflict, higher oil prices, renewed hawkishness from the Fed that could support further USD strength and weather-related disruptions, such as the effects of El Niño. Climate risks could prolong inflation pressures and hinder disinflation in vulnerable EM regions.

Asia USD bonds – Core holding

We retain a Neutral allocation to Asia USD bonds, an asset class that continues to reward investors with attractive nominal yields, favourable supply-demand technicals and robust credit fundamentals. Healthy corporate cash flows, low leverage and a high share of sovereign-linked issuers lend the segment a defensive quality relative to broader credit.

The resilience has been evident year to date (YTD). Asia USD bonds have outperformed both DM government and DM IG corporate bonds on a total-return basis. We expect this relative strength to persist. The combination of carry and credit quality (over 60% of issues are sovereign or sovereign-related) anchors our conviction in the asset class, even as we maintain a Neutral stance.

Bond opportunistic views

Bullish US HY bonds

We are opportunistically bullish on US HY bonds. We expect HY corporate earnings and cash flows to remain solid and leverage to remain stable. US HY bonds' shorter-duration profile offers lower sensitivity to interest-rate volatility, which is an attractive characteristic in an environment of elevated term premia.

Bullish US inflation-protected bonds (TIPS)

Real yields remain elevated versus historical standards, driven by rate hike expectations. Inflation concerns persist as energy prices remain subject to upside risks. We believe TIPS offer protection against near-term inflation uncertainty.

Bullish AUD corporate bonds

The threshold for further RBA hikes has risen, as higher energy prices weigh on the growth outlook and complicate the policy trade-off. The transmission channel matters too, where higher long-end yields could feed through to the property market, tightening financial conditions without the RBA having to act, casting further doubt on the case for additional hikes.

Technicals have improved slightly as higher yields slow new supply. Supply remains a tail risk, though. The AUD bond market is much smaller than the USD market, especially at the long end of the curve, where demand for duration is thinner and the term premium is most sensitive to supply.

Bullish AAA-rated CLOs

Concerns about spillovers from private credit are mounting amid deteriorating covenant protections in parts of the leveraged credit market. However, we believe AAA-rated CLOs backed by solid asset portfolios and substantial credit enhancements underneath senior tranches should help dampen credit risk and volatility. We see a compelling case for floating-rate and shorter-duration alternatives as portfolio diversifiers amid elevated term premia.

Close utilities corporate hybrids

AI capex is set to keep rising, but funding it has become harder. Tighter financial conditions now coincide with growing competition for capital. Utilities' credit fundamentals remain strong. Even so, we close our utilities corporate hybrids idea to lock in a gain of 0.5% as a risk-management step.

[2] Contingent convertibles (CoCos) are complex financial instruments. Please refer to important disclosures on page 29.

Equity – at a glance

Sundeep Gantori, CFA, CAIA
Chief Investment Officer, Equities

Fook Hien Yap
Senior Investment Strategist

Cindy Lam, CFA
Senior Investment Strategist

Our view

We downgrade global equities from Overweight to a Core allocation as we expect higher volatility in the near term. We expect this volatility to arise as equity market leadership broadens during the transition to a mid-cycle bull market**.** Equity returns will likely moderate from the 15-20% annualised range of the last few years but remain positive. We remain **Overweight US and AxJ equities**, which are expected to deliver the highest earnings growth in 2027 among the major regions.

Within AxJ, **we remain Overweight Taiwan**, given structural AI-driven growth, and **upgrade India to Overweight,** for diversified non-AI growth exposure. South Korea is a Core holding, with attractive valuations but extreme volatility. China is also a Core holding, with attractive valuations but lacking a positive catalyst. We are Underweight ASEAN, which has a weaker growth profile.

We maintain **Japan as a Core holding** as nominal growth supports broad-based earnings revisions. We also maintain a **Core allocation to Europe ex-UK**, which is enjoying an earnings recovery. We remain **Underweight UK** equities, given the market's limited exposure to growth sectors.

Key chart

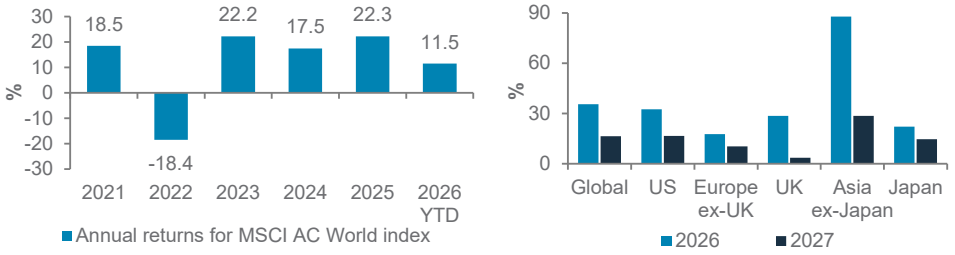
Earnings growth is driving gains in equities

Index	12m forecast	Upside to target^
S&P500	8,400	9%
Nasdaq 100	32,400	10%
Euro Stoxx 50	6,580	6%
FTSE 100	11,170	4%
Hang Seng	24,600	7%
Nifty 50	25,000	9%
Nikkei 225	68,500	6%

^Based on 29-Oct closing levels

Fig. 17 Broad-based earnings strength is supporting global equities. Our Overweight views on AxJ and US equities are supported by robust earnings growth

Annual returns for the MSCI AC World Index. 2026 and 2027 consensus earnings growth estimates for MSCI equity regional indices



Source: FactSet, Bloomberg, Standard Chartered

	The bullish case	The bearish case
US equities ▽ ◇ ▲	+ Exceptional earnings growth going into Q3 + Valuation de-rated to an attractive point + Relatively safe from global energy shocks	– Two-sided AI tail risk; AI winter/disruption – Higher yields and oil prices weigh on growth – AI capex raises profit margin bubble risk
AxJ equities ▽ ◇ ▲	+ Strongest EPS growth from AI supercycle + PE valuation hits trough at 2008 GFC level + Corporate reforms drive long term growth	– Extreme concentration risks in index – Rising oil prices hurt Asian oil importers – Trade tensions and geopolitical risks linger
Within AxJ	Taiwan ▲ India ▲ South Korea ◆ China ◆ ASEAN ▼	
Japan equities ▽ ◆ △	+ Reflation and investment supports upside + EPS growth boosted by nominal growth + Corporate reforms still delivering value	– Hawkish BoJ pivot with more hikes expected – Long-end yields at multi-decade highs – Sensitive to energy prices as net importer
Europe ex-UK equities ▽ ◆ △	+ Earnings recovery after 3 stagnant years + Fiscal expansion lifts domestic demand + Higher rates favour banks and value	– Energy shocks are inflation headwinds – French election risk yield spread may widen – Muted earnings growth trails major regions
UK equities ▼ ◇ △	+ Defensive hedge amid AI fears + Takeover activity puts floor on valuation + Outperforms when oil rallies and rates rise	– Highest long-end yields in developed world – Defensive composition lags in a growth rally – Muted earnings growth with low AI exposure

Preference order

Legends: ▲ Overweight | ▼ Underweight | ◆ Core **Green** = Upgrade; **Red** = Downgrade

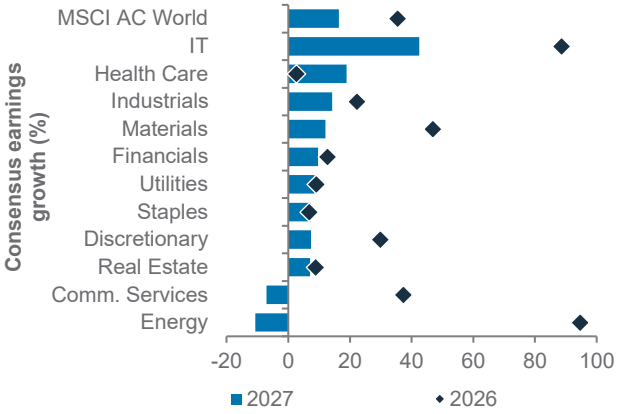
Source: Standard Chartered Global Investment Committee

Shifting to a mid-cycle bull market

The last few years have seen strong annual returns of 15-20% for global equities, consistent with the early cycle of a bull market, driven in large part by a rapid AI buildout. As the AI infrastructure buildout is increasingly debt funded – we estimate 40% of AI capex in 2027 would be debt-financed – the market is increasingly concerned about the quality of this growth and execution risks. We remain positive on the structural AI theme, but we expect investor focus to shift from rapid buildout to monetisation. During this transition, we expect **market leadership to broaden** beyond technology. We believe this shift will also be accompanied by **higher near-term volatility** and a **moderation in global equity returns**, consistent with a transition to a mid-cycle bull market.

Fig. 18 Projected 16% earnings growth for global equities in 2027 provides a strong tailwind for positive equity returns

2026 and 2027 consensus earnings growth estimates for MSCI AC World sectors



Source: FactSet, Bloomberg, Standard Chartered

US equities – Overweight

US equity valuations have declined this year, with the 12-month forward P/E falling to 19x from 22x at the start of the year. This reflects higher rates, a valuation headwind, and worries about the quality of growth, which is increasingly debt-funded. As market leadership broadens and the US mid-term election nears, we expect higher near-term volatility in the US market. Nonetheless, US equities have broad-based strength, with the ongoing Q3 earnings season pointing to a robust economy. In a world of rising geopolitical risks, the US is also relatively insulated by its domestically driven growth.

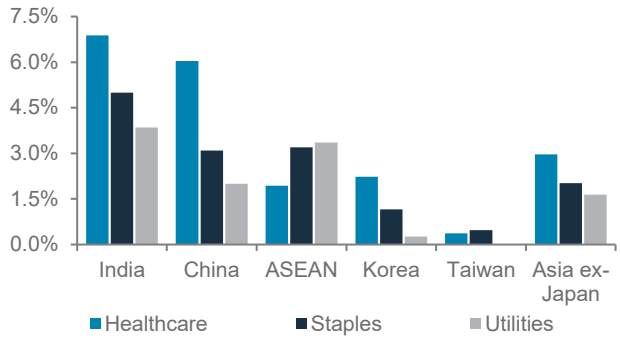
AxJ equities – Overweight

AxJ has the **strongest earnings growth** among major markets, as its technology sector remains a key beneficiary of the AI capex cycle. AxJ's P/E valuations have also dropped to attractive trough levels, the lowest among major regions. Within AxJ, we are **Overweight Taiwan**, which benefits from clear visibility on AI-driven growth and dominance in manufacturing advanced AI chips. We also **upgrade India to Overweight** due to its resilient domestically driven earnings, providing diversification beyond AI-related growth. India offers the highest exposure to defensive sectors (healthcare, consumer staples and utilities) within AxJ. Both Taiwan and India offer attractive returns on equity.

South Korea equities remain a Core holding. We are positive on long-term agreements that improve earnings visibility for memory chipmakers. Valuations are attractive (the lowest in AxJ), with supportive corporate governance reforms. Still, extreme volatility remains the key overhang. **China remains a Core holding,** given inexpensive valuations, but re-rating potential appears delayed amid AI monetisation struggles, lingering regulatory risks and weak domestic demand. **We remain Underweight ASEAN**, as Indonesia's downgrade warning, oil shocks and a well-supported USD could weigh on the region, although Singapore offers defensive growth.

Fig. 19 India offers highest AxJ exposure to defensive sectors (healthcare, consumer staples and utilities)

Sector weights for MSCI equity indices



Source: FactSet, Bloomberg, Standard Chartered

Japan equities – Core allocation

Rising nominal growth is supporting solid broad-based earnings revisions, with rising rates supportive of bank earnings. Corporate governance reforms also continue to boost shareholder value. The fiscal support for strategic industries is pro-growth, offsetting energy shocks.

Europe ex-UK equities – Core allocation

Europe ex-UK is seeing an earnings recovery after three stagnant years, and we expect to see a continuation of this narrative with Q3 results. Rising rates are supportive of banks' earnings and fiscal expansion is benefiting domestic demand. The fiscal situation in France has no easy solution, but we do not expect a contagion widening in government bond spreads, as the ECB has tools in place to limit contagion.

UK equities – Underweight

The UK lacks exposure to growth sectors, with relatively muted earnings growth. We expect this to weigh on the UK, making it lag the performance of other markets over the next 12 months, although UK equities tend to hold up better during bouts of volatility.

Equity opportunistic views

Robin Xie, CFA
Senior Investment Strategist

Ryan Goh
Investment Strategist

Jason Wong
Senior Equity Analyst

Add MSCI Switzerland and US Healthcare, remove Global Power & Electrification, MSCI Taiwan, Global Semis and US Comm Services

We initiate an opportunistic Idea on **MSCI Switzerland** on 29 October 2026, having initiated one on **US Healthcare** on 12 October 2026. Healthcare and Consumer Staples account for over 50% of the MSCI Switzerland Index's weight, providing exposure to more resilient demand. It also has a sizeable financial sector supported by steady wealth management growth and well-capitalised insurers, which benefit from disciplined underwriting and resilient premium income.

We closed our opportunistic ideas in **Global Semiconductors** (9 September 2026 to 2 October 2026: +8.1%), **MSCI Taiwan** (9 July 2026 to 2 October 2026: +10.0%), **US Communication Services** (18 June 2026 to 12 October 2026: +1.9%), and **Global Power & Electrification** (30 July 2026 to 29 October 2026: -6.5%). This reflects a tactical reduction in exposure to tech-related sectors amid higher expected near-term volatility, rather than a deterioration in the fundamental outlook. Over the longer term, we remain constructive on these structural themes and may revisit these ideas at more attractive entry points.

Fig. 20 Opportunistic Ideas

Region	Idea
Global	Global High Dividend
US	US Healthcare*
Europe	Euro Area Banks
	MSCI Switzerland*
Asia	Japan Banks

Source: Standard Chartered. * New idea

Ongoing Opportunistic Ideas

US Healthcare: We expect US Healthcare to offer resilience amid shifting market leadership, with the sector projected to grow by 23% in 2027, the second-fastest growth rate among MSCI US sectors, underpinned by healthcare innovation.

Euro area banks: A 'higher-for-longer' rate backdrop should extend the earnings upcycle, with further ECB tightening expected. Corporate loan demand is showing recovery, while non-interest income is growing. Strong capital generation supports higher dividends and continued share buybacks.

Japan Banks: BoJ policy normalisation drives net interest margin upside, while Japan's reflation cycle supports nominal loan demand, corporate capex and household wealth activity. Governance reform is a re-rating driver independent of the rate cycle. This includes recycling legacy holdings towards growth, buybacks and dividends.

Global High Dividend: Provides a higher-income equity allocation with historically lower volatility than the MSCI ACWI and modest downside cushioning on balance.

Sector views: Continue to broaden & diversify

We made two changes on 12 October 2026: we **downgraded US Communication Services to Neutral** to reduce concentration in tech-related sectors and **upgraded US Healthcare to Overweight,** where its defensive exposure stands to benefit as investors diversify beyond concentrated AI exposure. **This month, we downgrade Europe ex-UK Industrials to Neutral**, as energy-cost shocks and supply-chain pressures outweigh fiscal support. Elsewhere, **US Information Technology (IT) remains Overweight.** Rising funding and execution risks warrant near-term caution, but structural AI tailwinds should continue to provide long-term growth opportunities. **US Materials also stays Overweight** on sustained demand for industrial metals and construction materials. We remain bullish on gold. The **Financial sector remains Overweight across the US, Europe ex-UK and Japan**, supported by stable earnings, elevated rates boosting net interest income and continued capital market recovery.

In China, we maintain a broad Overweight stance to preserve sector diversification. **IT and Communication Services remain Overweight**, with rapid innovation and investment in AI localisation providing tailwinds. Beyond these, we are also **Overweight Materials** on structurally elevated commodity prices, **Healthcare** on biotech innovation and a robust drug pipeline and the **Financial sector** on easing margin pressure, recovering fee income and capital market reform.

Fig. 21 Our sector views

Top preferred Global sectors	China sectors
US IT	IT
US healthcare ▲	Financials
US financials	Communication services
US materials	Materials
Europe ex-UK financials	Healthcare
Japan financials	Energy
	Industrials
	Discretionary
	Utilities
	Consumer staples
	Real estate

Legends: Overweight | Core | Underweight
▲ Upgrade from last month | ▼ Downgrade from last month
Source: Standard Chartered

Gold, crude oil – at a glance

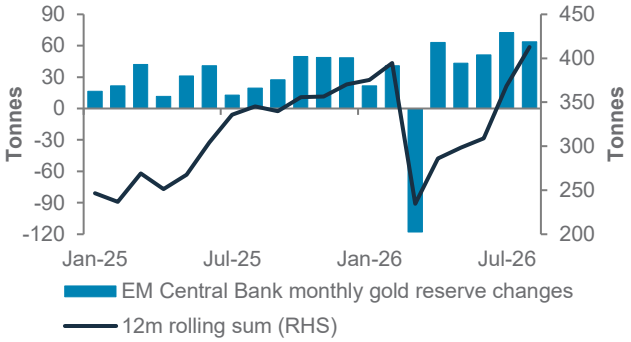
Anthony Naab, CFA
Investment Strategist

Our view

- We remain Overweight gold, but trim our three- and 12-month price targets to **USD 4,350/oz** and **4,700/oz**, respectively.
- We retain our three- and 12-month West Texas Intermediate (WTI) oil forecast at **USD 100/bbl** and **USD 80/bbl,** respectively.

Key charts

Fig. 22 EM central bank demand a key support for gold
Selected EM central bank gold reserve changes



Source: World Gold Council, Standard Chartered

Fig. 23 Gold's recent correction coincides with renewed USD strength
Gold price vs. DXY



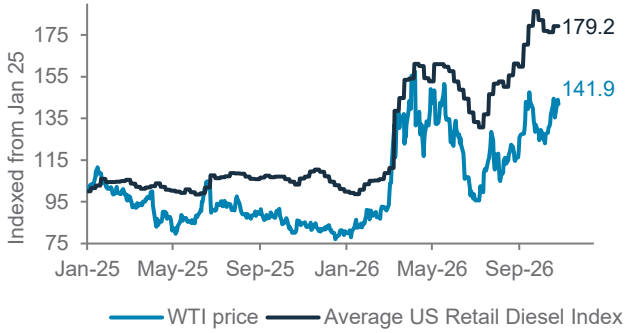
Source: Bloomberg, Standard Chartered

Fig. 24 WTI trails March-April conflict highs as tanker freight rates have more than doubled
WTI spot price vs. Baltic Dirty Tanker Index



Source: Bloomberg, Standard Chartered

Fig. 25 Diesel prices have outpaced crude oil prices as downstream pressures intensify
WTI crude oil prices vs. US retail diesel prices, (Jan-25=100)



Source: EIA, Bloomberg, Standard Chartered

Gold outlook: We remain constructive over 6-12 months, viewing the latest pullback as liquidity-driven rather than a deterioration in fundamentals. USD strength is a headwind, but gold's sensitivity to real yields has eased amid continued central bank buying, led by China, and resilient investor demand. Speculative positioning near May lows raises scope for renewed inflows. High oil prices sustain near-term volatility but may eventually lift gold if they constrain global growth.

Oil outlook: Crude prices remain elevated as shipping disruptions drive freight costs to multi-year highs, sustaining a geopolitical risk premium. While Middle East exports have proven resilient, threats to production infrastructure are mounting. Refined products, especially diesel, face the greatest supply pressure amid depleting inventories and constrained refining capacity. With limited emergency supply buffers, oil markets remain vulnerable to prolonged disruption.

FX – at a glance

Jonathan Liang, CFA
CIO, Fixed Income & FX

Vincent Tan
Senior Investment Strategist

Iris Yuen
Investment Strategist

USD view

USD consolidation with limited upside: Our three-month US Dollar Index (DXY) forecast stands at 101, revised upwards from 100.20 last month, reflecting a higher expected Fed rate path. With the October Fed rate pause and a potential December rate hike largely priced in, further tightening would offer limited additional USD support. Persistent inflation, elevated US government bond yields and resilient business activity continue to underpin the USD's interest-rate advantage. However, in September, payroll growth slowed sharply to 29,000 (from 133,000 in August), the unemployment rate rose to 4.2% from 4.1%, annual wage growth eased to 3.0% from 3.1% and housing starts fell 5.2% m/m. These signs of cooling demand temper expectations of more aggressive Fed tightening. We expect DXY to remain rangebound between 101 and 103, with our three-month forecast at 101.00.

Peaking Fed rates and narrowing rate differentials favour gradual USD weakness: We maintain our 12-month DXY forecast at 98.50. We expect a Fed rate hike in December 2026 and another in H1 2027, taking the federal funds target range to a peak of 4.25-4.50%, before easing in H2 2027. Further BoJ normalisation and the ECB's relatively restrictive policy stance should progressively narrow the USD's rate advantage. Persistent fiscal and current account deficits increase reliance on foreign capital inflows, adding to medium-term pressure on the USD. Resilient US growth, AI-related capital inflows and elevated US government bond yields remain important offsets, supporting DXY's gradual decline towards 98.50.

Key charts

Fig. 26 USD to consolidate near-term; expected Fed hike peak in H1 2027 supports a decline to 98.50 over 12 months
DXY and interest rate differentials



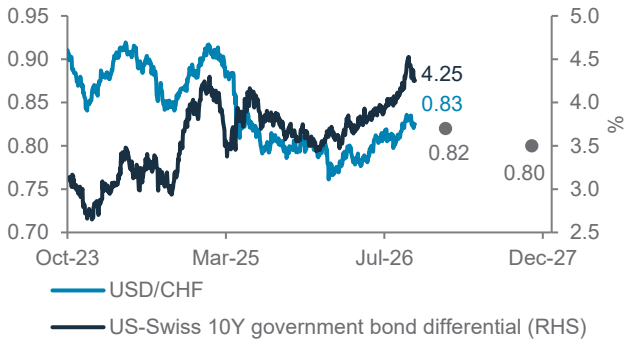
Source: Bloomberg, Standard Chartered

Fig. 27 France's fiscal risks weigh on the EUR in the near term, despite a medium-term recovery
EUR/USD and Germany-France 10-year bond yield spread



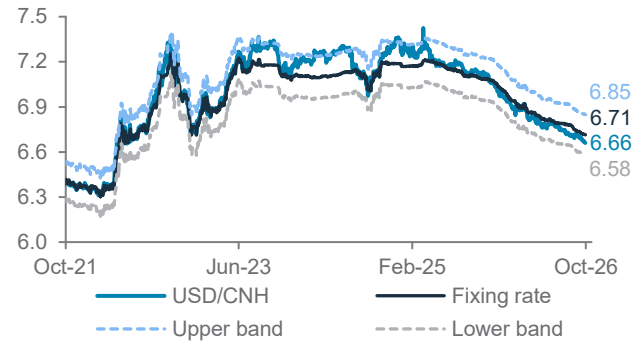
Source: Bloomberg, Standard Chartered

Fig. 28 CHF safe-haven demand limits USD/CHF upside, despite wide US-Swiss yield differentials
USD/CHF and US-Swiss 10-year bond yield differential



Source: Bloomberg, Standard Chartered

Fig. 29 USD/CNH declines alongside firmer PBoC fixing guidance
USD/CNH and the PBoC fixing rate



Source: Bloomberg, Standard Chartered

Fig. 30 **Summary of major FX forecasts and drivers**

Currency	Spot*	3m	12m	Rationale
EUR/USD	1.1202	1.14	1.17	**Constructive:** French fiscal risks and high US bond yields weigh in the near term. Germany's multi-year investment programme, resilient exports and a narrowing US rate advantage support medium-term EUR recovery.
GBP/USD	1.3374	1.33	1.35	**Rangebound:** Higher UK inflation and stronger October PMI support BoE tightening expectations. While Healey's plan deferred the biggest fiscal decisions rather than resolving them, any future fiscal slippage or gilt market stress would limit GBP gains.
USD/JPY	156.87	157	153	**Rangebound with bearish bias:** Further BoJ tightening, lower US rates and moderating oil prices support the JPY. However, negative Japanese real rates and overseas investment flows could limit the pace of JPY appreciation.
AUD/USD	0.7036	0.72	0.74	**Constructive:** Weak employment and a contracting October PMI temper near term AUD gains. However, the RBA's restrictive policy, resilient commodity demand and a narrowing US rate advantage support gradual AUD appreciation.
NZD/USD	0.5699	0.56	0.57	**Rangebound:** Q3 inflation eased to 3.7% y/y from 4.1%, reducing pressure for additional RBNZ tightening. Subdued domestic growth and elevated US yields favour NZD consolidation towards 0.56 in the near term, before a softer medium-term USD supports a recovery towards 0.57.
USD/CAD	1.4003	1.40	1.37	**Rangebound with bearish bias:** US-Canada trade uncertainty and softer Canadian employment limit near-term CAD gains. We expect the Fed to ease in H2 2027, narrowing the US interest rate advantage and supporting gradual CAD appreciation.
USD/CHF	0.8250	0.82	0.80	**Modestly bearish:** French fiscal uncertainty supports CHF safe-haven inflows, outweighing the wide US-Swiss rate differential, favouring appreciation towards 0.82 near-term. Fading US rate support from H2 2027 favours further appreciation; zero SNB rates and CHF's funding role are likely to keep CHF appreciation pace gradual.
USD/CNH	6.6690	6.62	6.52	**Modestly bearish:** September exports grew 36.3% y/y and the trade surplus widened to USD 133.5bn, strengthening exporter USD conversion support. Industrial production growth accelerated to 5.5%, while retail sales growth remained subdued at 1.1%. PBoC fixing guidance and strong external flows support controlled CNH appreciation towards 6.52.
USD/SGD	1.2781	1.28	1.26	**Near-term rangebound; medium-term modestly bearish:** The Monetary Authority of Singapore maintained its S$NEER appreciation policy unchanged in October, following a "very slight" increase in July. Q3 GDP expanded 5.4% y/y, supported by technology-related activity. The unchanged appreciating policy band and narrowing medium-term US rate advantage favour gradual SGD appreciation towards 1.26.
USD/INR	94.94	–	96	**Modestly constructive:** October composite PMI strengthened to 56.7 from 55.9, while the RBI raised its repo rate by 25bps to 5.50%, supporting the INR through tighter monetary policy. However, September's USD 30.2bn trade deficit, elevated oil import costs and external funding needs sustain USD demand, favouring gradual INR depreciation towards 96.
USD/MYR	4.0857	–	4.00	**Modestly bearish:** September exports grew 54.5% y/y and the trade surplus widened to MYR 33.7bn, strengthening export-related FX conversion. Resilient GDP growth of 5.3% y/y and a softer medium-term USD support gradual MYR appreciation towards 4.00.
USD/KRW	1,360	–	1,450	**Bullish:** Strong semiconductor exports support Korea's external surplus, but concerns over AI investment returns and concentrated technology equity exposure have increased foreign portfolio selling. Overseas investment and the US-South Korea yield advantage sustain USD demand, supporting our forecast for USD/KRW to rise towards 1,450.

Source: Bloomberg, Standard Chartered
*As of 4am, 26 Oct 2026 SGT

Quant perspective: Modestly UW equity as near-term risk rose

Francis Lim
Senior Quantitative Strategist

Maggie, Au Yeung
Quantitative Analyst

Summary

Our stock-bond model (3-6 months) is at -2 (minimum: -5) in October, signalling a modest Underweight (UW) in global equities. Historically, a decline in the model score to -2 has been associated with flat to slightly negative returns. The shift was driven by stretched valuations in both global and Asian equities, weaker fundamentals and deteriorating market technicals. On fundamentals, market risk aversion has risen sharply, while PMI new orders have declined over the past three months, pointing to a slowdown in the pace of industrial expansion. On technicals, the share of equity markets trading above their 200-day moving averages, a key gauge of long-term support, has fallen below 60% for the first time since January 2025. The model rebalances in the middle of each month and has generated 11bps of alpha from the equity Underweight initiated on 15 October 2026, lifting YTD alpha vs. the 60/40 equity-bond benchmark to 4.0%.

Our 1-3-month equity market regime model indicates contained bear market risks across US and global equities. Estimated bear market probabilities are 4.2% for the S&P500 and 7.7% for the MSCI AC World, compared with 0.9% and 6.4% respectively in the September outlook. Across both models, volatility measures are the main factors keeping probabilities low, supported by momentum signals. Together, these outweigh modest upward contributions from macro and cross-market factors, leaving little evidence of a bear market regime over the next 1-3 months.

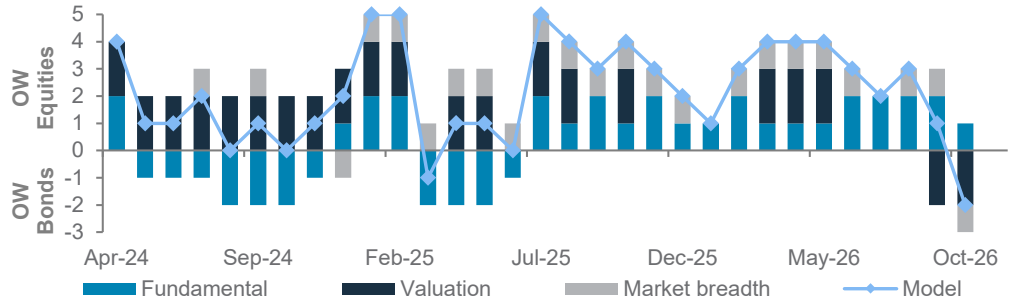
Our market diversity indicator flags reversal risk in MSCI Europe Real Estate and MSCI China Industrials, which are down over 12% and 19% respectively from their August peaks. US equity and USD positioning remain broadly neutral.

Key chart

Our stock-bond model shifted its Overweight allocation towards bonds as valuation and technical signals weakened

Fig. 31 Breakdown of our stock-bond rotation model's scores

Our model reduced equity weight to 36% from 68% as the model score fell to -2

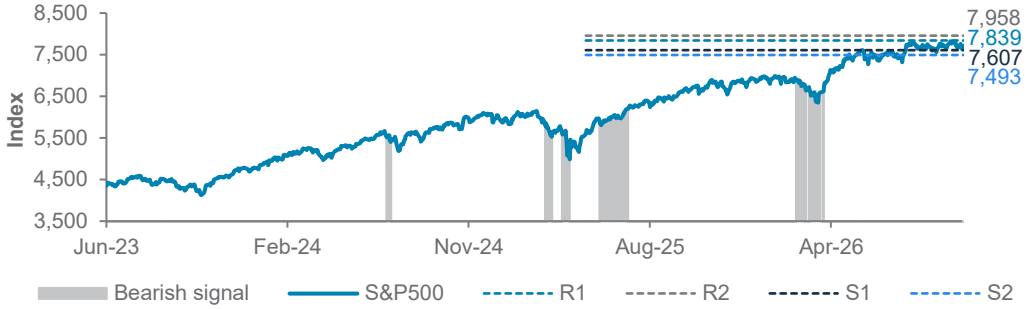


Source: Bloomberg, Standard Chartered; 28-October-2026

Volatility and momentum signals continue to keep bear market probabilities low. The latest results remain consistent with a non-bear market regime over the next 1-3 months, rather than signalling a major downturn

Fig. 32 Our technical model remains bullish on the S&P500

S&P500 Index; model's bearish signal; technical support and resistance levels



Source: Bloomberg, Standard Chartered; 29-October-2026

Fig. 33 **Long- and short-term quantitative models remain bullish on risk assets**

Long-term models below have a typical time horizon of 3-6 months, while short-term models have a 1-3-month horizon

Long-term	Stock or bond	US recession model
Current view	**Modest equity underweight**	**25% probability within the next 6 months**
What factors is this view based on?	• **Fundamental:** +1. Fundamentals weakened, with macro risk indicator rising above 0.5 threshold and the negative three-month change in PMI new orders pointing to a slowdown in industrial activity expansion • **Valuation:** -2. Both DM and Asian equities are expensive as their valuation scores exceeded the model's 1 z-score threshold • **Technical: -**1. The percentage of equity markets above their 200-day moving averages has fallen steeply from above 80% since in August to current 47%	**Estimated probability rose slightly from 21%** • Conference board consumer confidence worsened to -14.3% y/y • PMI new orders to inventory ratio is at 1.14x, below its historical average of 1.2x • Conference board leading indicators improved but remained negative at -0.7% y/y • Fed funds rate to natural rate ratio is still high at 1.7x, reflecting a restrictive monetary policy compared to historical average of 1.3x
Key model factors	• Economic activity, macro risk and surprise indices, corporate earnings, forward P/E ratio and technical factors	• Conference Board leading indicator, Consumer Confidence Index, ISM New Orders and Fed funds rate
How does it work?	• A monthly scorecard of -5 to 5 based on fundamentals, valuations and market breadth factors to indicate the relative preference for bonds and equities. A positive score favours equities and vice versa	• A probability model based on regression. Long-term statistical tests are conducted to identify the four key economic factors above

Short-term	Technical analysis	Investor positioning
Current views	**Bullish S&P 500 & MSCI AC World**	**MSCI Europe Real Estate and China Industrials**
What factors is this view based on?	• **Bullish S&P500 and MSCI AC World.** Bear market probabilities remain low at 4.2% and 7.7% respectively. Volatility measures are the main factors keeping these estimates low, supported by momentum signals and outweighing modest contributions from macro and cross-market factors	• **Market diversity indicator flags reversal risk in Europe Real Estate and China Industrials**. The indices have declined by more than 12% and 19%, respectively, from their August peaks • **Investor positioning** remains broadly neutral across both US equities and the US dollar, indicating that investor exposure is not especially stretched in either direction
Key model factors	• **Market factors:** Momentum, volatility, interest rate differentials, relative returns, inflation swap rates, economic surprises, etc	• **Price action:** Overbought conditions occur when prices rise sharply; oversold conditions happen when prices fall rapidly in a short time
How does it work?	• Scanning through 7,000+ factors, the framework uses ML to forecast market regimes or future trends based on identified market drivers	• A market indicator based on fractal analysis that provides a timely indication of investor positioning based on price actions

Source: Standard Chartered

Foundation: Asset allocation summary

Summary	View	FOUNDATION Moderate	Balanced	Aggressive
Cash	▼	4	4	4
Fixed Income	◆	58	38	18
Equity	◆	33	53	73
Gold	▲	6	6	6
Asset class				
USD Cash	▼	4	4	4
DM IG Bonds		35	22	9
*DM IG Government Bonds**	▼	21	12	4
*DM IG Corporate Bonds**	◆	15	10	5
DM HY Corporate Bonds	◆	3	2	1
EM Bonds		11	9	5
EM USD Government Bonds	▲	8	7	5
EM Local Ccy Government Bonds	◆	3	2	0
Asia USD Bonds	◆	8	5	3
North America Equities	▲	23	36	49
Europe ex-UK Equities	◆	4	7	9
UK Equities	▼	0	1	1
Japan Equities	◆	2	3	4
Asia ex-Japan Equities	▲	4	7	9
Gold	▲	6	6	6
		100	**100**	**100**

Summary	FOUNDATION Conservative
Cash	10
Fixed Income	90
Asset class	**Moderate**
Cash	10
Floating Rate Notes	45
DM IG Govt (Short duration)	10
DM IG Corp (Short duration)	15
DM HY (Short duration)	5
EM USD Govt (Short duration)	5
EM LCY Govt	5
Asia USD bonds	5
	100

Legends: ▲ Most preferred | ▼ Least preferred | ◆ Core holding

Source: Standard Chartered

Notes: All figures in %; (i) For small allocation we recommend investors to implement through global equity/global bond product; (ii) Allocation figures may not add up to 100 due to rounding. *FX-hedged; (iii) DM IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (iv) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

Foundation+: Asset allocation summary

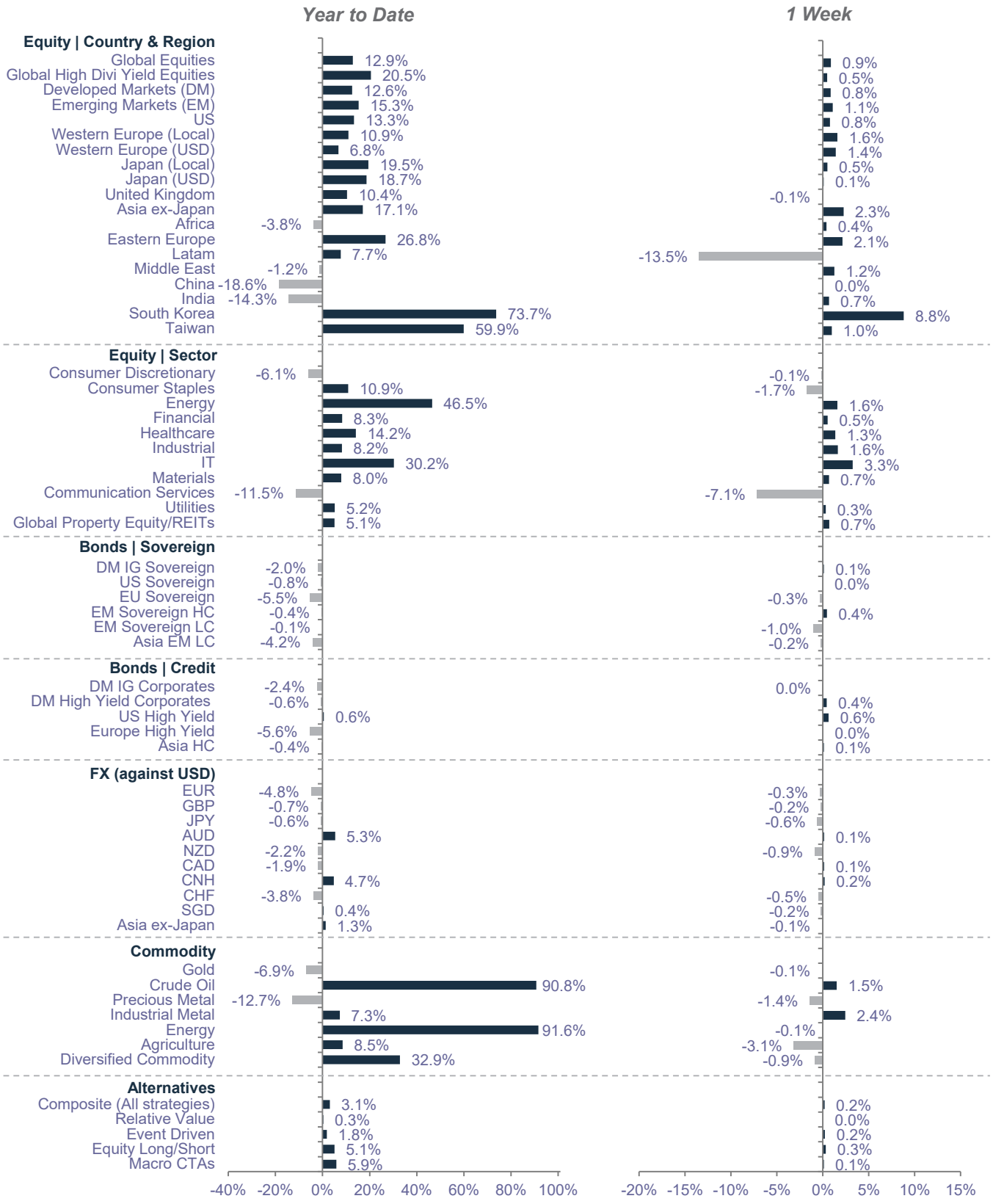
		FOUNDATION+		
Summary	**View**	**Moderate**	**Balanced**	**Aggressive**
Cash	▼	4	3	3
Fixed Income	◆	49	30	13
Equity	◆	28	42	54
Alternatives	◆	20	25	29
Asset class				
USD Cash	▼	4	3	3
DM IG Bonds		30	17	7
*DM IG Government Bonds**	▼	18	10	3
*DM IG Corporate Bonds**	◆	12	8	4
DM HY Corporate Bonds	◆	3	2	1
EM Bonds		9	7	4
EM USD Government Bonds	▲	7	5	4
EM Local Ccy Government Bonds	◆	3	2	0
Asia USD Bonds	◆	7	4	2
North America Equities	▲	19	28	37
Europe ex-UK Equities	◆	3	5	7
UK Equities	▼	0	1	1
Japan Equities	◆	2	2	3
Asia ex-Japan Equities	▲	3	5	7
Gold	▲	5	5	4
Hedge Fund Strategies	◆	2	3	4
Private Equity	◆	2	5	8
Private Real Assets	◆	4	4	4
Private Debt	◆	5	6	7
Digital Assets	◆	2	2	2
		100	**100**	**100**

Legends: ▲ Most preferred | ▼ Least preferred | ◆ Core holding

Source: Standard Chartered

Notes: All figures in %; (i) For small allocation we recommend investors to implement through global equity/global bond product; (ii) Allocation figures may not add up to 100 due to rounding. *FX-hedged; (iii) DM IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (iv) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

Market performance summary*



Source: MSCI, JPMorgan, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

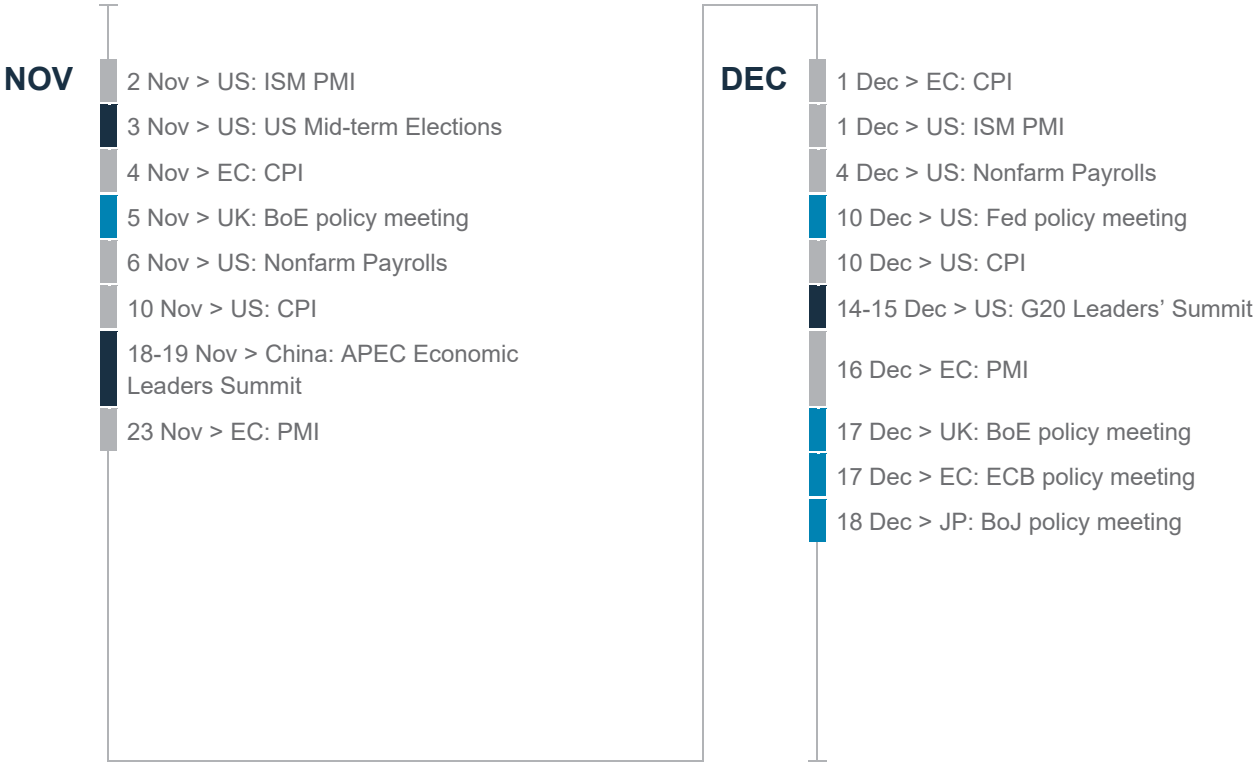
*All performance shown in USD terms, unless otherwise stated

*YTD performance data from 31 December 2025 to 29 October 2026; 1-week performance from 22 October 2026 to 29 October 2026

Our key forecasts and calendar events

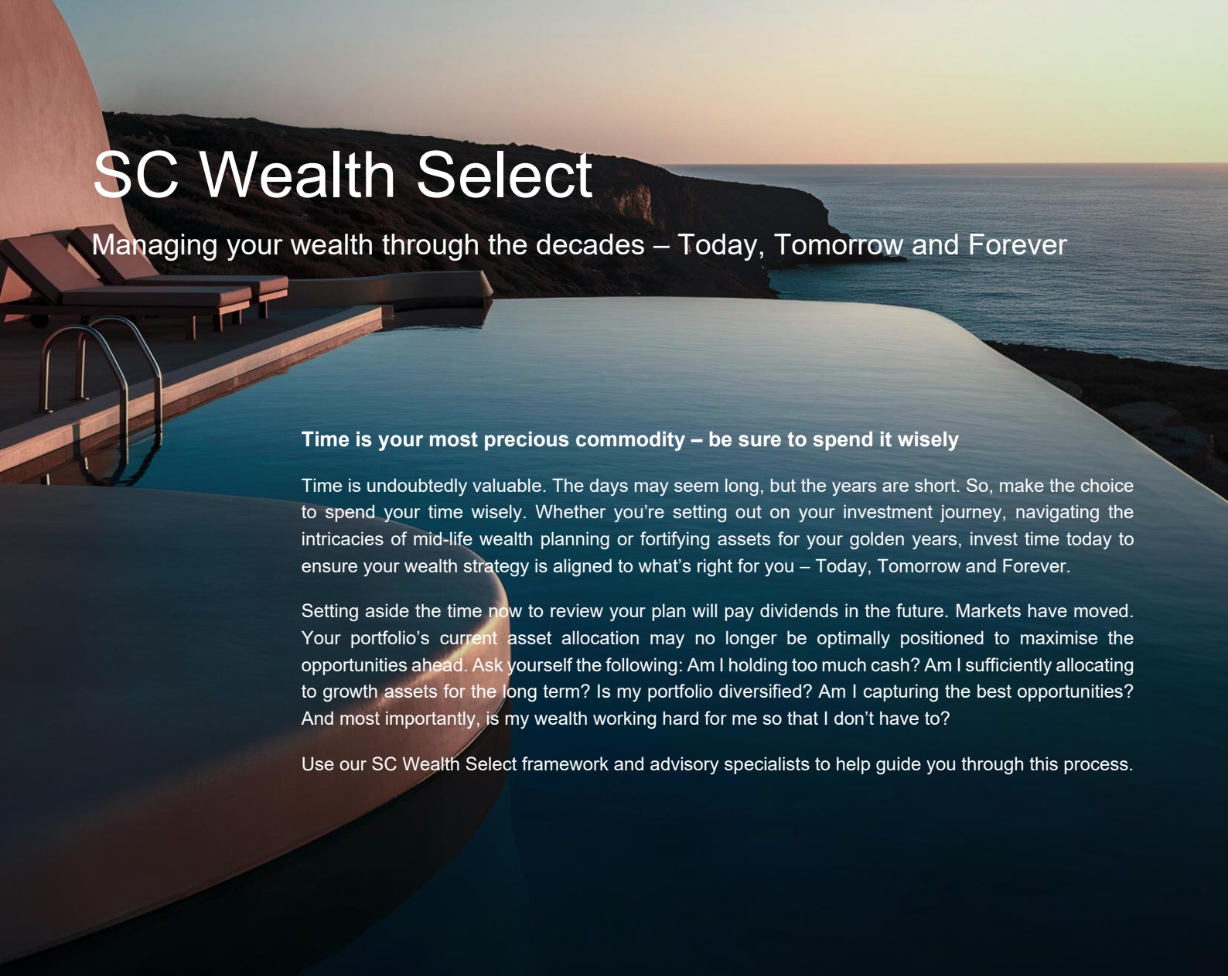
Currency	USD (DXY)	EUR/ USD	GBP/ USD	USD/ JPY	AUD/ USD	NZD/ USD	USD/ CAD	USD/ CNH	USD/ CHF	Oil (WTI, USD/ bbl)	Gold (USD/ oz)	Fed policy rate (upper bound)	US Treasury 10Y yield (%)	ECB policy rate
3m forecast	101	1.14	1.33	157	0.72	0.56	1.40	6.62	0.82	100	4,350	4.25%	5.00-5.25%	2.75%
12m forecast	98.5	1.17	1.35	153	0.74	0.57	1.37	6.52	0.80	80	4,700	4.25%	4.75-5.00%	2.50%

Source: Standard Chartered



Legends: Central bank policy | Geopolitics | Economic data

X – Date not confirmed | ECB – European Central Bank | FOMC – Federal Open Market Committee (US) | BoJ – Bank of Japan | BoE – Bank of England



SC Wealth Select

Managing your wealth through the decades – Today, Tomorrow and Forever

Time is your most precious commodity – be sure to spend it wisely

Time is undoubtedly valuable. The days may seem long, but the years are short. So, make the choice to spend your time wisely. Whether you're setting out on your investment journey, navigating the intricacies of mid-life wealth planning or fortifying assets for your golden years, invest time today to ensure your wealth strategy is aligned to what's right for you – Today, Tomorrow and Forever.

Setting aside the time now to review your plan will pay dividends in the future. Markets have moved. Your portfolio's current asset allocation may no longer be optimally positioned to maximise the opportunities ahead. Ask yourself the following: Am I holding too much cash? Am I sufficiently allocating to growth assets for the long term? Is my portfolio diversified? Am I capturing the best opportunities? And most importantly, is my wealth working hard for me so that I don't have to?

Use our SC Wealth Select framework and advisory specialists to help guide you through this process.

Purpose

Today, Tomorrow, Forever

Our approach to helping you grow and manage your wealth starts with you. We use a goals-aware approach to understand your vision of Today, Tomorrow and Forever for yourself, your family and beyond, and then design portfolios to meet your various needs.

Using our 'Today, Tomorrow and Forever' approach, we ensure your wealth needs for the near term (Today) are met, while ensuring your wealth needs for the decades ahead (Tomorrow and Forever) are also planned for.

Your vision of 'Today, Tomorrow and Forever' is unique to you. Our specialists partner with you to build well-diversified, long-term Foundation portfolios, aligned to your Today, Tomorrow and Forever needs. Opportunistic ideas are added to capture short-term opportunities, and sufficient protection is included to address the objectives of you and your family.

Today, Tomorrow and Forever Approach

Planning for Today

Requires ensuring liquidity and income flows take centre stage

Securing Tomorrow

Entails a well-diversified investment and protection portfolio with a focus on growth, ensuring inflation is accounted for and risks are mitigated

Building for Forever

Involves greater focus on long-term returns given the time horizon of your portfolio can be measured in decades, and might also include business interests, real estate, collectibles or charitable funds

Principles

that stand the test of time

Adhering to time-tested principles, to ensure your investment decisions remain robust and consistently applied, is paramount to your success Today, Tomorrow and Forever. We use five Wealth Principles to guide and guardrail your wealth decisions.

Discipline – ensure consistency and prudence over your emotions

- Reacting to emotions, such as optimism and fear, can lead to poor investment decisions at the worst times
- Have a plan and stick to it – this helps you to stay focused on the bigger picture

Diversification – simply put, don't put all your eggs in one basket

- Reduce risk by holding a variety of financial assets. Multi-asset diversification in your Foundation portfolio is important
- As a guide, make sure your portfolio contains a variety of asset classes and investments that have low correlation with one another

Time in the Market – a more robust strategy than timing the market

- Predicting market selloffs is challenging, and timing your exit and re-entry is difficult
- Missing out on the best performing days of a market can have a significantly detrimental impact on your portfolio
- 'Time in the market' and buying the market with a longer-term view provide more consistent returns that can ride out bumps along the way

Risk and Return – make sure the risk is worth the return

- To achieve higher investment returns, you will likely have to accept a greater level of risk in your portfolio
- Therefore, it's important to understand the risks and manage these on an ongoing basis

Protection – don't let the unexpected catch you unprepared

- Even though you may feel healthy, or financially stable now, protection offers the ability to overcome times of financial uncertainty and mitigate the long-term impact of unforeseen events on your wealth
- A good protection plan not only safeguards your wealth today, but also considers the value of your future earnings over your lifetime, in today's terms

Advisory Process

Following a holistic approach to managing your wealth

We follow a rigorous process to ensure your needs and objectives are well-understood, and your portfolio is well-aligned and manages to deliver on these objectives.

However, markets constantly evolve and your needs change. Hence, we encourage you to undertake regular portfolio reviews to ensure your portfolio remains aligned to your Today, Tomorrow and Forever objectives. This proactive approach includes strategic rebalancing based on insights from our Chief Investment Office.

Learn more

Scan the QR code below to learn more about our approach to growing, managing and protecting your wealth.

The five-step process

Showcase
Learn how our advisory framework can help you

Discover
Let us understand your needs, preferences and goals better

Propose
We'll design a Foundation portfolio with Opportunistic overlays, which is tailored for you

Implement
Allow us to implement your portfolio seamlessly and efficiently

Monitor & Review
It's important to regularly review and rebalance your portfolio

Please be sure to reach out to your Relationship Manager today to arrange a portfolio review.

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >

SC Wealth Insights

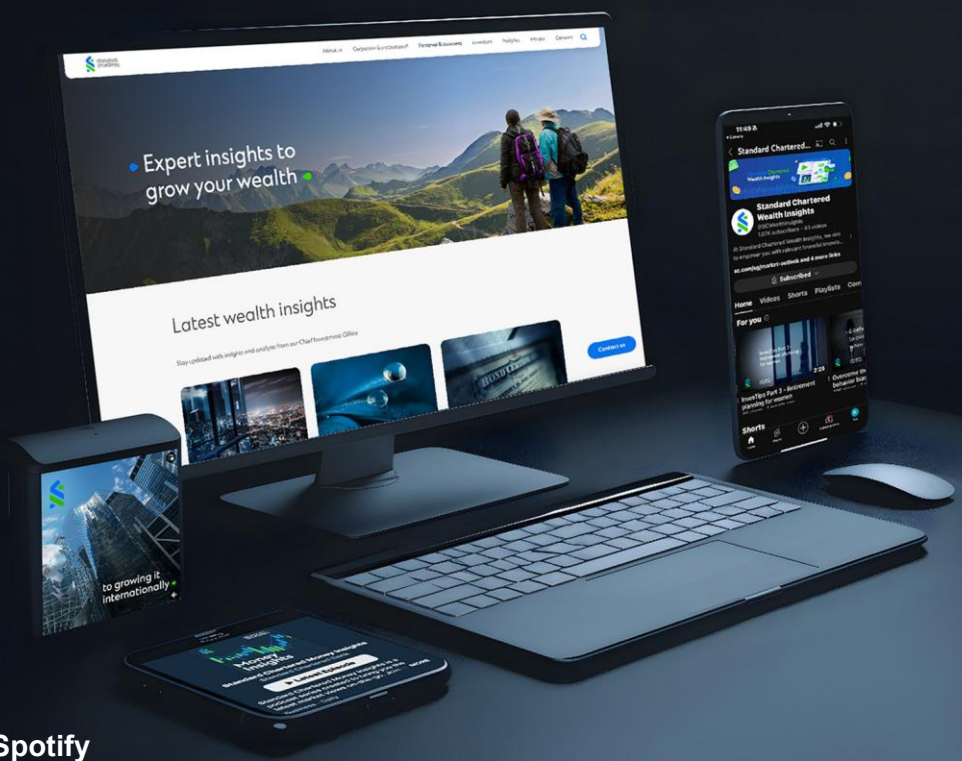
Find out more >

YouTube >

Facebook >

LinkedIn >

PvB LinkedIn >



SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify >

Apple Podcasts >

Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Explanatory notes

1. The figures on page 5 show allocations for a moderately aggressive risk profile only – different risk profiles may produce significantly different asset allocation results. Page 5 is only an example, provided for general information only and they do not constitute investment advice, an offer, recommendation or solicitation. They do not take into account the specific investment objectives, needs or risk tolerances of a particular person or class of persons and they have not been prepared for any particular person or class of persons.

2. Contingent Convertibles are complex financial instruments and are not a suitable or appropriate investment for all investors. This document is not an offer to sell or an invitation to buy any securities or any beneficial interests therein. Contingent convertible securities are not intended to be sold and should not be sold to retail clients in the European Economic Area (EEA) (each as defined in the Policy Statement on the Restrictions on the Retail Distribution of Regulatory Capital Instruments (Feedback to CP14/23 and Final Rules) ("Policy Statement"), read together with the Product Intervention (Contingent Convertible Instruments and Mutual Society Shares) Instrument 2015 ("Instrument", and together with the Policy Statement, the "Permanent Marketing Restrictions"), which were published by the United Kingdom's Financial Conduct Authority in June 2015), other than in circumstances that do not give rise to a contravention of the Permanent Marketing Restrictions.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an "SC Group Entity") according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Copyright © 2026, Accounting Research & Analytics, LLC d/b/a CFRA (and its affiliates, as applicable). Reproduction of content provided by CFRA in any form is prohibited except with the prior written permission of CFRA. CFRA content is not investment advice and a reference to or observation concerning a security or investment provided in the CFRA SERVICES is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. The CFRA content contains opinions of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are

subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. While CFRA exercised due care in compiling this analysis, CFRA, ITS THIRD-PARTY SUPPLIERS, AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes. No content provided by CFRA (including ratings, credit-related analyses and data, valuations, model, software or other application or output therefrom) or any part thereof may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, and such content shall not be used for any unlawful or unauthorized purposes. CFRA and any third-party providers, as well as their directors, officers, shareholders, employees or agents do not guarantee the accuracy, completeness, timeliness or availability of such content. In no event shall CFRA, its affiliates, or their third-party suppliers be liable for any direct, indirect, special, or consequential damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with a subscriber's, subscriber's customer's, or other's use of CFRA's content.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright "buy", "sell", "hold" or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group's trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MCSI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Shariah ("Shariah Compliant or Shariah Compliance")

For any reason to enter only into transactions which comply or are consistent with the principles of the Shariah, the client certifies that he/she/it has made his /her/its own investigation into and satisfied itself as to the Shariah compliance of the Islamic security and all necessary action to confirm that the Islamic security is Shariah compliant has been taken (including the obtaining of a fatwa, where required) and the Client will not claim any dispute on the grounds of any lack of Shariah compliance of these

investments. The Client has not relied on Standard Chartered Group or any written declaration, fatwa, opinion or other documents prepared by, on behalf or at the request of Standard Chartered Group for the purposes of a determination or confirmation that these instruments are Shariah compliant.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana:** This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46.04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam:** This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland:** This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong:** In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not be disposed of, to any person unless such person is outside Hong Kong or is a "professional investor" as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana:** Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India:** Standard Chartered Bank, India ("Bank") (ARN-1209) is an AMFI-registered distributor of select Mutual Funds and a referrer of certain third-party financial products. The Bank is not registered with SEBI as an Investment Adviser and does not provide investment advisory services or financial planning services as defined under the SEBI (Investment Advisers) Regulations, 2013. Any information contained herein is for informational purposes only and should not be construed as investment advice, recommendation, research report, or an offer to buy or sell any security or financial product. Mutual Fund investments are subject to market risks. Please read all scheme-related documents carefully before investing. The services/products described herein are not intended for any person resident in a jurisdiction where their distribution, solicitation or use would be contrary to local laws or regulations. **Indonesia**: This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey:** The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential

Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom, and all business transacted with Standard Chartered Bank, Jersey Branch and other Standard Chartered Group Offices outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya:** This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia:** This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad ("SCBMB"). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria:** This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan:** This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore:** This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, "SCBSL"). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 ("SFA")). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary

Authority of Singapore. **Taiwan:** SC Group Entity or Standard Chartered Bank (Taiwan) Limited ("SCB (Taiwan)") may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE:** DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18.The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority ("DFSA"). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis**. Uganda:** Our Investment products and services are distributed by Standard Chartered Bank Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom:** In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. V**ietnam:** This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia:** This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.



standard chartered

WS Global CIO Office
30 October 2026

November 2026

Global Market Outlook

Transitioning to mid-cycle

We now favour a more balanced stance between stocks and bonds. Near-term event risks and high earnings expectations prompt us to trim equities to a Core holding. The US and Asia ex-Japan (AxJ) remain our preferred regions. We upgrade India to Overweight.

Higher bond yields are improving the outlook for future returns and offering increasingly attractive income opportunities. We are Overweight Emerging Market (EM) USD bonds and favour corporate over sovereign debt, but limit duration to 3-7 years.

We remain Overweight gold. Prices are likely to grind higher as near-term headwinds from higher bond yields are offset by EM central bank demand.

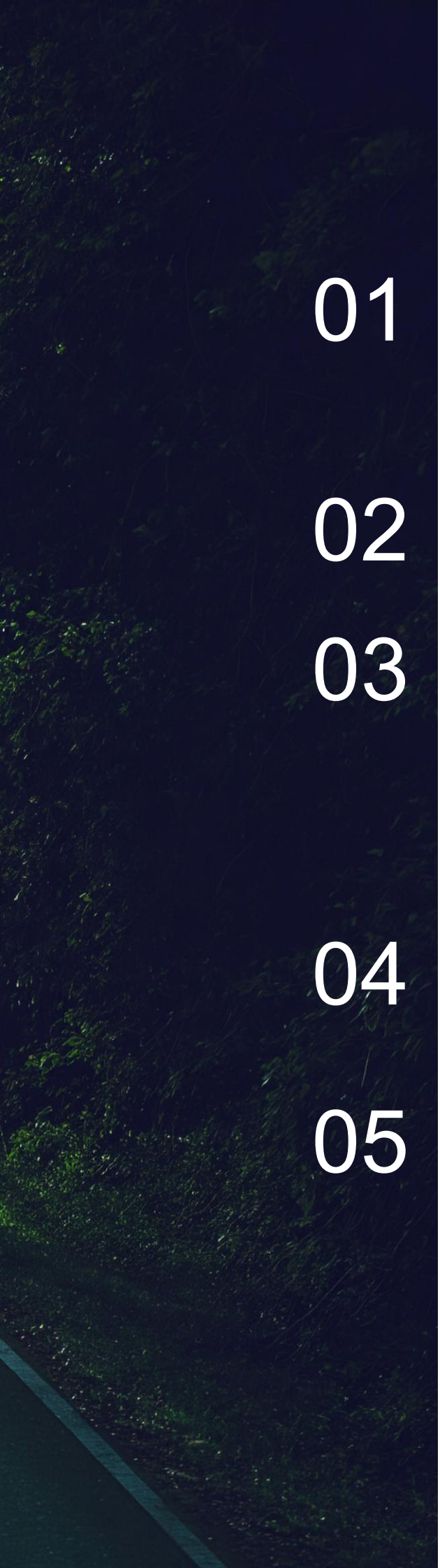
\+

Where are the tactical opportunities?

Are central banks likely to continue hiking rates?

Are quantitative models still bullish on equities?

Important disclosures can be found in the Disclosures Appendix.



Contents

01 **Strategy**

Investment Strategy: Transitioning to mid-cycle 03

Foundation asset allocation models 05

Foundation: Our tactical asset allocation 06

02 **Macro overview – at a glance**

Our macroeconomic outlook and key questions 07

03 **Asset classes**

Fixed income 09

Equity 12

Equity opportunistic views 14

Gold and crude oil 15

FX 16

04 **Additional perspectives**

Quant perspective: Modestly UW equity as near-term risk rose 18

05 **Performance review**

Foundation: Asset allocation summary 20

Foundation+: Asset allocation summary 21

Market performance summary 22

Our key forecasts and calendar events 23

SC Wealth Select 24

Explanatory notes 27

Investment strategy and key themes

Steve Brice
Global Chief Investment Officer

Manpreet Gill
Chief Investment Officer, EMEA

Raymond Cheng, CFA, CPA
Chief Investment Officer, North Asia



12m Foundation Overweights:

- Gold
- US, Asia ex-Japan equities
- Emerging Market USD bonds

Opportunistic Ideas – Equities:

- **Global:** High dividend
- **US:** Healthcare^
- **Euro area (EA):** Banks, MSCI Switzerland^
- **Asia:** Japan banks

Top Global Sectors:

- **US:** Technology, healthcare^, financials, materials
- **EA:** Financials
- **Asia:** Japan financials

Opportunistic Ideas – Bonds:

- **US:** Treasury Inflation-protected Securities (TIPS), AAA-rated collateralised loan obligations (CLOs), US High-yield (HY)
- **Others:** AUD corporates

^New

Transitioning to mid-cycle

- **We now favour a more balanced stance between stocks and bonds.** Near-term event risks and high earnings expectations prompt us to trim equities to a Core holding. The US and Asia ex-Japan (AxJ) remain our preferred regions. Within AxJ, we upgrade India to Overweight.
- **Higher bond yields are improving the outlook for future returns and offering increasingly attractive income opportunities.** We are Overweight Emerging Market (EM) USD bonds and favour corporate over government bonds, but limit duration to 3-7 years.
- **We remain Overweight gold.** Prices are likely to grind higher as near-term headwinds from higher bond yields are offset by EM central bank demand.

Great expectations

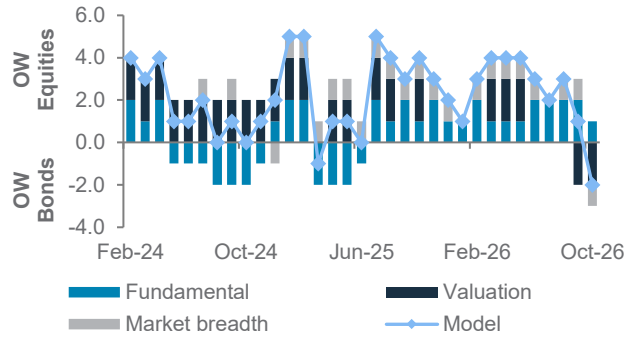
Individual risk events, high earnings expectations and a higher cost of capital point to a more moderate return environment ahead. In the very near term, financial markets must navigate key event risks, such as (i) the US mid-term elections, which have historically been associated with elevated market volatility and (ii) renewed geopolitical tensions, with several reports suggesting the US is considering renewed strikes on Iran. These concerns have pushed the Brent oil price well above USD 110/bbl despite significant ongoing crude oil flows through the Strait of Hormuz.

Higher bond yields combined with high earnings expectations raise the risk of an expectations reset. The US Q3 earnings season is attracting significant attention given high earnings expectations, particularly for the AI sector. However, higher US bond yields may start to bite as debt-financed capex takes on a greater share of total capex over the coming year. This, combined with already-high expectations, raises the risk of disappointment and a near-term repricing of expected earnings growth pace.

Despite the current challenges, healthy growth continues to underpin the economic backdrop. The US economic outlook remains well supported, and the absolute level of year-ahead earnings expectations is high. We do not expect Fed rate hikes to result in overly restrictive policy. Our caution, thus, stems from the risk of an expectations repricing rather than an outright economic slowdown.

Fig. 1 Our quant model score has fallen to levels associated with flat-to-modestly-negative equity returns

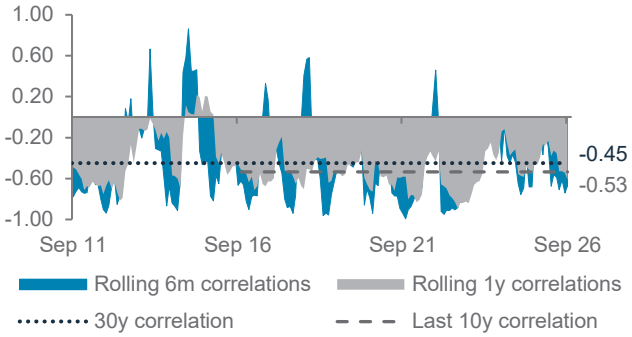
Our quantitative stock-bond model



Source: Bloomberg, Standard Chartered

Fig. 2 Negative gold-USD correlation has held back gold amid USD strength. This is unlikely to persist

Gold and USD correlations over the last 15 years



Source: Bloomberg, Standard Chartered

A more balanced stock-bond mix

We trim global equities to a Core holding, leaving us Neutral on both equities and bonds and Overweight gold. The concerns laid out earlier point to near-term volatility risks and a somewhat lower long-term growth trajectory for equities. Our quant model also reflects this cautious outlook, having downgraded equities to a level usually associated with flat-to-modestly-negative returns.

From a relative perspective, though, the higher yields on offer from bonds also raise the bar by presenting an increasingly compelling return outlook after several years of very low yields. We believe this argues for portfolios that are increasingly balanced between equities and bonds.

Ways to diversify equity exposure

We continue to favour global equity market diversification, with a preference for US and AxJ equities. We remain Overweight US and AxJ equities, expecting them to outperform other major regions. Earnings growth remains the main driver of this view – while growth rates could decelerate somewhat, we still expect them to remain higher than those of other major regions.

Japan and Euro area equities remain attractive as regional diversifiers. Our positive view on both markets' financial sectors supports our Core holding view on them.

Within Asia, we are Overweight Taiwan and India. Indian equities have lagged the region this year, in part due to limited listed AI-related exposure. However, we believe this is increasingly likely to become an advantage as investors seek greater diversification away from excessive concentration in the AI theme. This comes at a time when the economic and earnings growth outlook for Indian equities is starting to improve. We retain a more Neutral view on Chinese equities amid a still-challenging growth outlook.

We also favour greater sector diversification. In the US, we favour diversifying across our Overweight sectors of technology, financials, materials and healthcare. We also favour financials in Japan and the Euro area.

Changes to our equity opportunistic ideas also reflect a more defensive stance. In recent weeks, we have closed our global semiconductors, MSCI Taiwan, US communication services and global power & electrification ideas and have opened new ideas on US healthcare and MSCI Switzerland.

Riding the yield train

We believe bond markets offer an attractive opportunity to lock in yields. The 10-year US government bond yield is now in a range last witnessed in 2007. While the process of rising yields results in lower bond prices – as painfully experienced in recent months – the yield level itself starts to significantly improve the outlook for future returns.

Favour corporate over government bonds, but check your duration. Still-high credit quality means that we continue to favour taking on credit risk to earn a higher yield (EM USD bonds are preferred, but we also see investment-grade (IG) and high-yield (HY) bonds as Core holdings). However, limiting duration to 3-7 years remains key to avoiding excessive exposure to any inflation surprises.

Changes to our bond opportunistic ideas also reflect a more balanced stance. We close our EU bank contingent convertible bonds (CoCos[2] – *please refer page 27*) and US utilities corporate hybrids ideas. We also close our opportunistic idea on US 10-year government bonds following the recent pullback in yields, locking in gains.

Alternatives and gold to remain relevant

Alternatives are an effective tool for portfolio risk management. Hedge funds and private markets provide a differentiated return stream, while rotating into alternatives helps reduce equity beta exposure. We examine downside capture and how beta is reduced via hedge fund sub-strategies and private markets in our asset allocation section.

Gold remains a key Overweight. We trim our three- and 12-month forecasts modestly, but see gold forming a strong base above USD 4,000/oz. Rising bond yields and the USD were recent headwinds, but we expect a softer USD and continued EM central bank demand to result in 12-month gains.

Foundation asset allocation models

The **Foundation** and **Foundation+** models are allocations that you can use as the starting point for building a diversified investment portfolio. The Foundation model showcases a set of allocations focusing on traditional asset classes that are accessible to most investors, while the Foundation+ model includes allocations to private assets that may be accessible to investors in some jurisdictions, but not others.

Fig. 3 **Foundation asset allocation for a balanced risk profile**

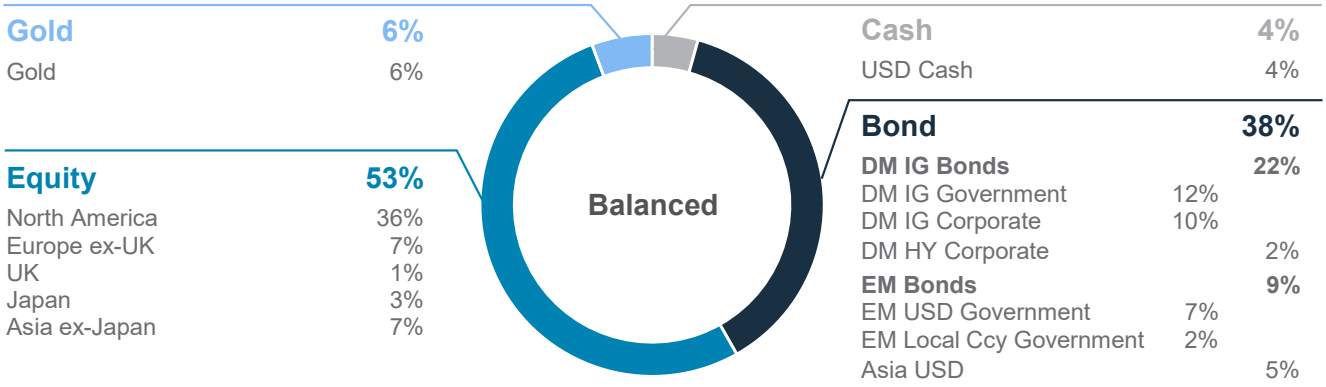


Fig. 4 **Foundation+ asset allocation for a balanced risk profile**

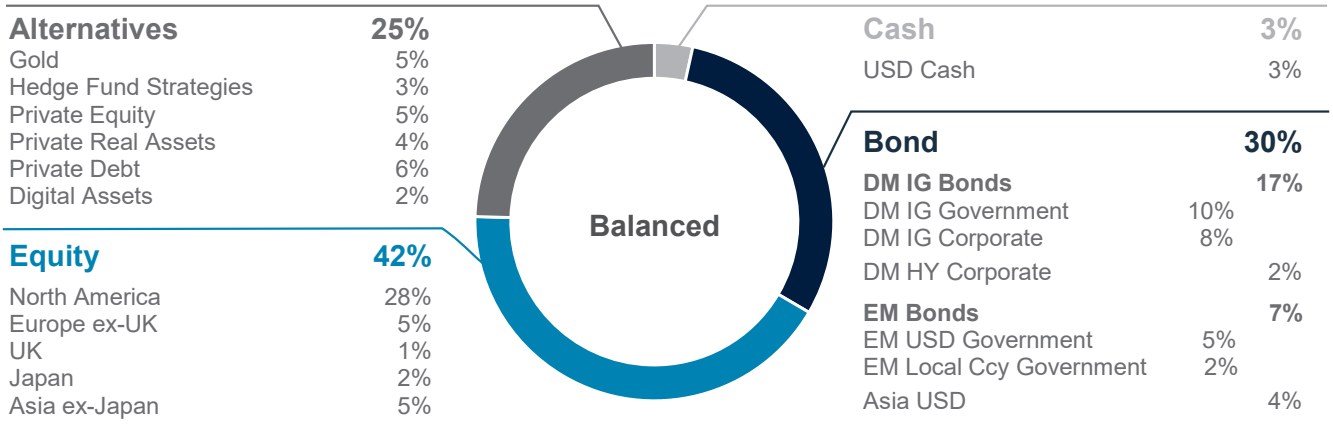
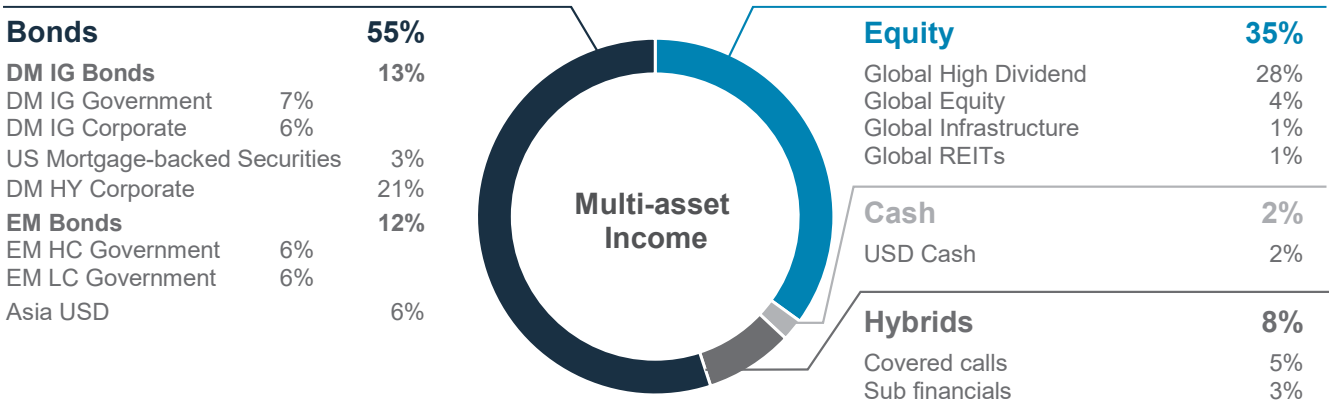


Fig. 5 **Multi-asset income allocation for a moderate risk profile**



Source: Standard Chartered

Notes: (i) Developed Market (DM) IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (ii) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

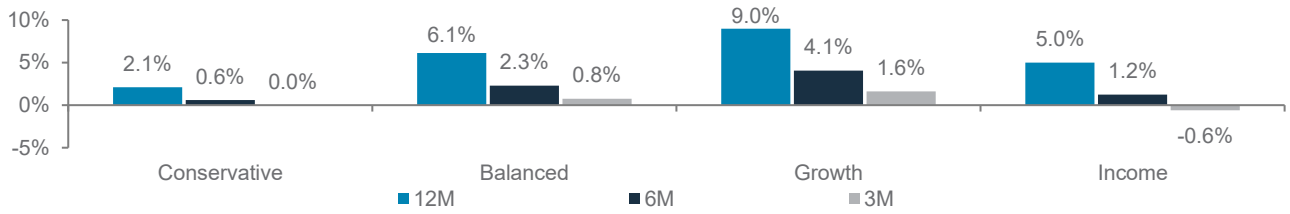
Foundation: Our tactical asset allocation

	View	Detail
USD cash	▼	+ Short-term safety || - Likely to underperform vs. major asset classes
Bonds	◆	
DM IG Govt	▼	+ High credit quality, attractive yields || - High sensitivity to inflation, monetary policy
DM IG Corporate	◆	+ High credit quality, improving valuations || - Expected supply, especially in the US
DM HY Corporate	◆	+ Attractive yield, low rate sensitivity || - Sensitive to growth and credit quality risks
EM USD Govt	▲	+ Attractive yield, sensitive to US rates || - EM credit quality, US trade policy risks
EM Local Ccy Govt	◆	+ Attractive yield, benefit from USD weakness || - US trade policy risks, inflation and FX risks
Asia USD	◆	+ Moderate yield, low volatility || - Sensitive to China growth
Equities	◆	
North America	▲	+ Earnings growth, AI uptrend || - US policy uncertainty, rising bond yields
Europe ex-UK	◆	+ Undemanding valuations, German fiscal spending || - US trade policy risks, oil prices
UK	▼	+ Attractive valuations, dividend yield || - Stagflation risks, US trade policy risks
Japan	◆	+ Reasonable valuations, rising dividends/share buybacks || - JPY strength, US trade policy
Asia ex-Japan	▲	+ Earnings, policy support, Easing oil prices || - China growth concerns, US trade policy
Gold	▲	+ Portfolio hedge, central bank demand || - Resilient USD, elevated real yields

Legends: ▲ Overweight | ▼ Underweight | ◆ Core

Source: Standard Chartered Global Investment Committee; **Green** = Upgrade; **Red** = Downgrade

Fig. 6 **Performance of our Foundation Allocations***



Source: Bloomberg, Standard Chartered; *12-month performance data from 28 October 2025 to 28 October 2026, Six-month performance from 28 April 2026 to 28 October 2026, Three-month performance from 28 July 2026 to 28 October 2026

Fig. 7 **Opportunistic ideas performance**

Key call		Inception/open date	Close date	Absolute return
Bond – open	1-10yr TIPS bonds	10-Apr-25		5.6%
	AAA-rated CLO	11-Dec-25		4.2%
	AUD corporate credit	19-Mar-26		2.1%
	US HY bonds	18-Jun-26		-1.5%
Bond – closed	EU bank AT1 FX-hedged	11-Dec-25	22-Oct-26	2.0%
	US Utilities Corporate Hybrids	19-Mar-26	29-Oct-26	0.5%
	US 10Y govt bonds	25-Sep-26	22-Oct-26	1.7%
Equity – open	Global High Dividend	18-Jun-26		4.8%
	Japan Banks	18-Jun-26		1.5%
	Euro area Banks	27-Aug-26		-9.7%
	US Healthcare	12-Oct-26		7.1%
	MSCI Switzerland	29-Oct-26		–
Equity – closed	US Communication Services	18-Jun-26	12-Oct-26	1.9%
	MSCI Taiwan	9-Jul-26	2-Oct-26	10.0%
	Global Power & Electrification	30-Jul-26	29-Oct-26	-6.5%
	Global Semiconductors	9-Sep-26	2-Oct-26	8.1%

Source: Bloomberg, Standard Chartered. Performance as of 29 Oct 2026

Macro overview – at a glance

Rajat Bhattacharya
Senior Investment Strategist

Key themes

Core scenario (soft landing, 45% probability): An economic soft landing remains our core scenario, with the global economy overcoming this year's oil price shock thanks to a surge in AI investment in the US and Asia. Record wealth generation driven by the stock market rally is supporting US consumption. Fiscal easing in the US, Germany and Japan is supporting growth. Meanwhile, inflation has reaccelerated due to a rebound in fuel prices as the Middle East conflict drags on. Against this backdrop, the Fed, ECB and BoJ all hiked rates in the same month (in September) for the first time. Although all three subsequently paused in October, we expect the Fed to hike twice more, the ECB once more and the BoJ thrice more by June 2027. Nevertheless, we expect the energy and tariff effects on inflation to fade by H2 2027, enabling the Fed and the ECB to cut rates by Q3 2027. Meanwhile, China is likely to target credit easing and accelerate fiscal spending in H1 2027 to revive domestic growth.

Upside risk (no landing, 30% probability): We maintain the probability at 30% as AI-driven investment growth continues. There is a reasonable chance that lower oil prices next year, the AI-fuelled wealth boom and fiscal easing in Germany and Japan will boost 'animal spirits'. A potential global defence spending boom, led by the US and Europe, could also lift global growth.

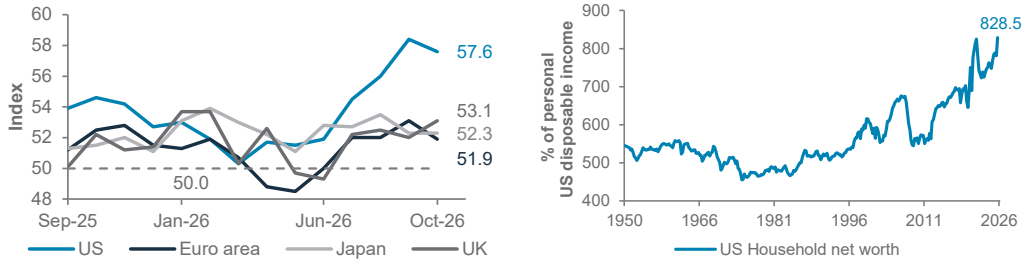
Downside risk (25% probability): We raised the risk of a recession to 15%, especially if central banks are forced to accelerate the pace of rate hikes to douse rising inflation. A stock market downturn negating the wealth effect or a bond sell-off due to fiscal concerns are other tail risks. We cut stagflation probability to 10% as we see low risk of oil prices sustaining above USD 120/bbl.

Key chart

The US-led AI-focused investment boom has lifted business confidence. The resulting equity market rally has boosted US household wealth, supporting consumption

Fig. 8 Robust business confidence amid AI boom; equity rally lifts US household net worth

Purchasing managers indices; US household net worth as percentage of personal disposable income



Source: Bloomberg, Standard Chartered

Policy rates watch

We expect the Fed to hike twice more by Q2 2027, then ease in H2 2027, as AI-led expansion continues. The US economy remains firmly in expansion. In Q3, annualised GDP growth accelerated to 3.4%, led by AI investments and consumption. In October, the composite Purchasing Managers' Index (PMI) remained strong at 57.6. Since our last monthly report, the consensus estimate for 2026 GDP growth has been nudged up to 2.3% from 2.1%, and the 2027 estimate has risen to 2.2%. That matches the Fed's upgraded growth projection of 2.3% for 2026, but remains below the Fed's 2.4% estimate for 2027. AI investment, fiscal support and household wealth are the main growth drivers, although consumer activity lags business spending. Higher bond yields and elevated oil prices are headwinds, but recession risks look contained. Our core scenario remains a 'soft landing', at 45%, with a meaningful 30% chance of a 'no-landing' upside.

Rising gasoline and diesel prices pushed US core personal consumption expenditures (PCE) inflation to 0.3% m/m and 3.1% y/y, matching estimates. Consensus sees core PCE inflation slowing from 3.2% in Q4 2026 to 2.4% by Q4 2027 as energy and tariff effects fade. Underlying price momentum is softening, and recent PCE methodology revisions have lowered core inflation. However, fuel costs passed on to wider consumers and AI-driven chip shortages remain upside risks.

In October, the Fed held rates at 4.0%, after hiking in September for the first time since 2023. We expect the Fed to hike rates by 25bps in December and 25bps more in H1 2027 due to elevated near-term energy inflation. It is likely to follow with a 25bps cut to 4.25% in Q3 2027 as disinflation returns. This aligns with the Fed's projected policy path, although it implies a more dovish trajectory than money markets, which are pricing another 56bps of hikes over the next 12 months. Political uncertainty after the mid-term election is a key risk.

ECB to hike once more in December, then pause. The Euro area recovery is firming. GDP grew 1.2% y/y in Q2 2026, up from 0.6% in Q1, and the manufacturing PMI stayed robust at 52.4 in October. Consensus 2026 growth has been raised to 1.0% from 0.9%, and 2027 is unchanged at 1.3%. The main supports are resilient exports and German infrastructure and defence spending. However, cautious consumers and soft private investment limit the recovery, and energy costs are squeezing household incomes and business margins. Recession is not the central expectation. French fiscal stress and sustained high energy costs remain the key risks.

Higher energy prices pushed Euro area headline inflation up to 3.8% y/y in September from 3.2% y/y in August, while core inflation rose to 2.5% y/y. Consensus expects headline and core inflation to ease to 2% y/y and 2.4% y/y by Q4 2027, respectively. Encouragingly, energy has had limited impact on core prices, and longer-term inflation expectations remain stable at around 2.1%. Together, these should allow inflation to moderate in 2027. The main risk is that energy, and especially gas, prices stay high for longer than expected.

The ECB held its deposit rate at 2.5% in October after raising it by 50bps this year. Inflation data continue to favour an additional hike in December. We expect an ECB rate hold in H1 2027, followed by a cut by Q3 2027 as disinflation returns. This policy path is more dovish than money markets, which are pricing more than 60bps of hikes over the next 12 months.

China to provide targeted support to defend growth floor. China's growth momentum recovered in September. Both the manufacturing PMI (50.1) and the non-manufacturing PMI (50.2) moved back into expansion. The construction PMI rose above 50 for the first time this year as infrastructure spending started to take effect. Exports grew 36.3% y/y, pushing the trade surplus to a record USD 133.5bn. We expect growth in 2026 to meet the lower end of the 4.5-5.0% target. Growth is increasingly bifurcated, though, with technology firms and exporters doing well, while household demand stays weak.

Prices are rising again, but only narrowly. Consumer inflation edged up to 0.9% y/y in September, and producer inflation surged to 5% y/y, its highest since 2022, driven by energy and metals prices and concentrated in upstream sectors. With domestic demand weak and a high comparison base next year, the boost from energy prices is likely to fade in 2027.

Policy is in 'targeted easing' mode. We expect a modest fiscal package to defend the growth floor rather than a large stimulus. The PBoC cut a key rate by 25bps to 1.5% to fund 'Six Networks' infrastructure projects and raised its relending quotas. A new interest subsidy on first-home mortgages provides limited support to demand. We expect no policy rate cut this year. There is still room to speed up fiscal spending, including by using CNY 500bn of unused local-government debt quota. If the PBoC switches to an overnight reverse repo rate as its policy rate, that would imply a de facto rate cut as the overnight rate is lower than the 7-day official policy rate.

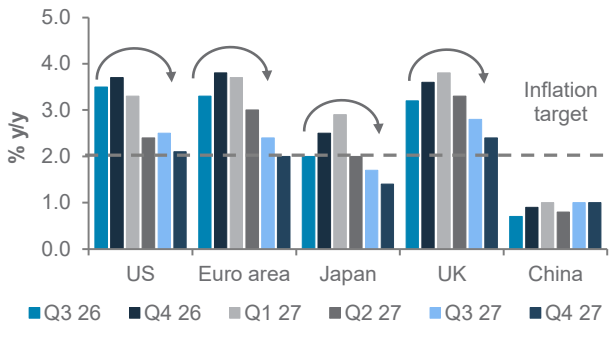
BoJ to hike at a quarterly pace until Q2 2027. Japan's economy remains solid. Wages are growing above 4%, and the labour market is tight. The main headwind is high energy prices, which is slowing growth. Fiscal spending gives some support: the FY27 draft budget includes ambitious spending plans, alongside a proposed two-year cut to the consumption tax on food and a new five-year defence programme. However, this extra spending raises questions about fiscal sustainability. The BoJ unveiled plans to triple the pace of ETF sales from January 2027, potentially funding the tax cut.

Price pressures now look firmly established. Headline and core inflation rose above 2% for the first time this year, and core-core inflation (ex-fresh food and energy) jumped to 2.4% and is expected to rise towards 3% in Q1 2027. Breakeven inflation rates have stayed above 2% most of this year. Real interest rates remain negative, hurting savers and pensioners.

The BoJ held its policy rate at 1.25% in October, after raising it in September, only three months after its previous hike. This points to an accelerated quarterly hiking pace. We expect the quarterly pace of hikes to continue, taking the rate to 2% by June 2027. Money markets have caught up with our hawkish view in recent months. The BoJ noted for the first time that underlying inflation has reached its 2% target, marking a shift from creating inflation to containing it. Politics could slow the hiking cycle in H2 2027. Two government-appointed board members voted against the September hike, and the two most hawkish members are due to leave in July 2027.

Fig. 9 Inflation is likely to ease globally by H2 2027

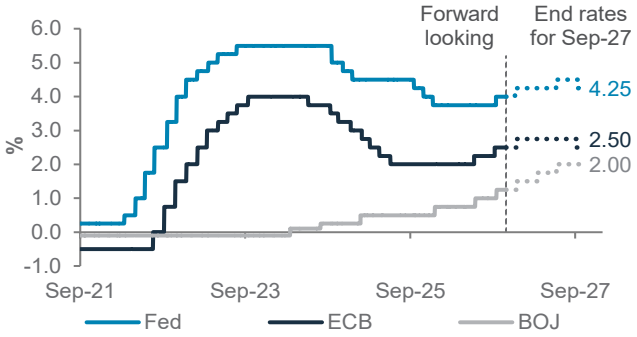
Consensus inflation estimates across major economies



Source: Bloomberg, Standard Chartered

Fig. 10 We expect limited central bank hikes over 12m

Our estimates of key central bank policy rates over 12 months



Fixed Income – at a glance

Jonathan Liang, CFA
CIO, Fixed Income & FX

Cedric Lam
Senior Investment Strategist

Ray Heung
Senior Investment Strategist

Anthony Naab, CFA
Investment Strategist

Our view

Foundation: Bond yields remain near multi-year highs, offering an attractive entry point. We view fixed income as a Core holding (ie, a Neutral allocation) in our multi-asset portfolios. Within the asset class, we maintain an Overweight stance on EM USD government bonds, given their attractive risk-reward. We hold an Underweight view on Developed Market (DM) government bonds due to the tail risks associated with term premia.

The Fed's decision to hold rates at 3.75-4.00% in October amid still-elevated energy prices suggests that every Fed meeting from here is 'live', with a rate change possible on incoming data. With US inflation still running hot and the labour market tight, we expect two more 25bps hikes (one by year-end and one in H1 2027), bringing the Fed's target range for the federal funds rate to 4.25-4.5%. We continue to favour the 3-7-year part of the US government bond yield curve as the best hedge against any risk-off move driven by AI-related growth fears. As inflation pressures ease in H2 2027, we see room for the Fed to consider a rate cut, which should pull nominal yields lower. Solid corporate fundamentals and supportive technicals should keep spreads tight, but there is limited room for them to tighten further. We still favour EM USD over local-currency (LCY) government bonds.

Opportunistic ideas: We are bullish on US TIPS, AAA-rated CLOs, broad US HYs and Australian dollar (AUD) corporate bonds.

Key charts

Fig. 11 **Rate forecasts and our view of bond classes**

Region	Horizon	2-year	10-year	30-year
US	Q4 2026	4.50 – 4.75%	5.00 – 5.25%	5.25 – 5.50%
	Q3 2027	4.00 – 4.25%	4.75 – 5.00%	5.50 – 5.75%
Euro area	Q4 2026	3.00 – 3.25%	3.25 – 3.50%	3.75 – 4.00%
	Q3 2027	2.75 – 3.00%	3.00 – 3.25%	3.75 – 4.00%
Japan	Q4 2026	1.75 – 2.00%	3.00 – 3.25%	4.00 – 4.25%
	Q3 2027	2.00 – 2.25%	3.25 – 3.50%	4.00 – 4.25%

Bond class	Our views
DM rates	▼
DM IG corps	◆
DM HY corps	◆
EM USD govt	▲
EM LCY govt	◆
Asia USD	◆

Legends: ▲ Most preferred / Overweight | ▼ Least preferred / Underweight | ◆ Core holding / Neutral allocation.
Green / **Red** represents an upgrade / downgrade from the prior GMO.
Source: Standard Chartered.

DM rates – Underweight

We remain Underweight DM government bonds. In the US, government bond yields have retraced meaningfully after a sharp bear steepening through September and early October. We expect real yields to stay elevated over the next six months as AI capex and productivity growth continue to drive above-trend economic growth. We expect two more 25bps rate hikes by June 2027.

Over the next few months, we expect US government bond yields to remain rangebound. The near-term path hinges on five factors: 1) the 3 November US mid-term election, where a 'Democratic sweep' would likely be bond-supportive by constraining US President Trump's fiscal spending agenda, while a 'Republican sweep' would likely weigh on bonds as markets price in further fiscal expansion and a higher term premium; 2) Fed communication at upcoming policy meetings; 3) the US Treasury's quarterly refunding announcement on 4 November, where any signal of reduced long-end issuance would likely compress long-end yields; 4) softening auction demand and repatriation by foreign investors, which add uncertainty around demand for US government bonds; and 5) the fluid geopolitical situation in the Middle East, which is keeping oil prices elevated, with a risk of further upside.

Going into H2 2027, we expect moderating oil prices and the fading inflationary impact of tariffs to give the Fed room to consider rate cuts. The US 30-year yield, however, is likely to stay elevated as fiscal deficit remains substantial next year.

We expect a final ECB hike to 2.75% by December 2026, then a pause in H1 2027, followed by a 25bps cut in Q3 2027. In Japan, we expect quarterly pace of BoJ hikes, with one hike that takes the policy rate to 1.50% by December 2026 and two more in H1 2027, reaching 2.00% before pausing at mid-year.

DM corporates – Core holding

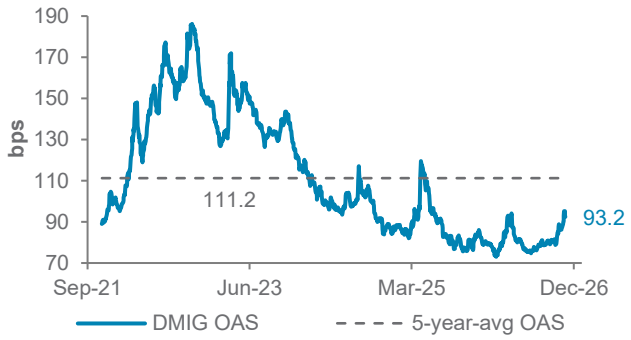
We maintain a Neutral allocation to both DM IG and DM HY corporate bonds, with a tactical bias to add exposure on episodic weakness, as carry continues to dominate total returns across DM credit. Credit spreads have widened from their lows but remain close to historical tights, while yields are still attractive, reinforcing a carry-led stance. This tight-spread regime is anchored by robust issuer fundamentals, strong profitability and resilient balance sheets, despite a visible moderation in rating upgrades over the past quarter.

Technical supply dynamics are reshaping sector dispersion, especially in the IG space, where heavy AI-related issuance is weighing on the long end of the curve. AI-driven supply is surpassing USD 250bn in 2026 and making up a growing share of US IG gross issuance, but there are growing signs that hyperscalers are turning to private markets for funding, which should help ease public bond market supply pressures.

We remain selective at the long end of the yield curve and favour a duration of 3-7 years, where risk-adjusted carry remains most durable. Issuance-driven concessions in sectors with strong capex cycles (notably technology, capital goods and basic industries) present opportunities for investors who can stomach near-term volatility.

Fig. 12 DM IG spreads have widened from their lows, but remain near historically tight levels

Bloomberg Global Aggregate Corp Index, option-adjusted spread (OAS)



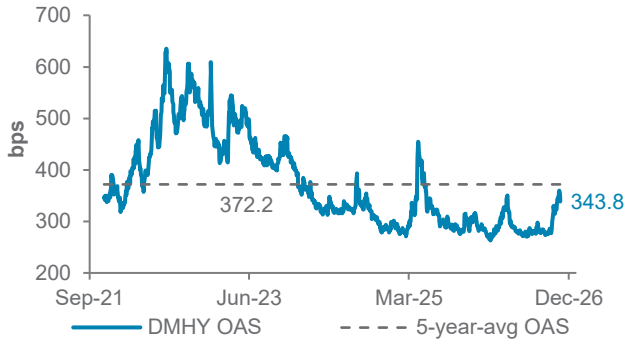
Source: Bloomberg, Standard Chartered

DM HY spreads have widened to roughly a six-month high. Persistent doubts about whether hyperscalers can generate adequate returns on massive AI capex investments triggered a broad risk asset sell-off. The CCC tier has become the focal point of genuine credit concern, with yields hovering near the high-15% range and spreads near a four-year high. Market focus has shifted to the funding pressures facing AI-related neocloud companies. We view this as idiosyncratic for now and see a limited impact on the broader HY universe. The underlying credit picture is mixed. Leverage is elevated and interest coverage is thin, but the broad market has not yet shown signs of systemic stress. The US HY default rate remains below trend in 2026.

HY offers an attractive income proposition, with all-in yields of over 8%. Its shorter-duration profile, combined with its lower sensitivity to changes in the term premium and rate volatility, make it an attractive sleeve in the current phase of the cycle. We remain attentive to evolving credit rating migration trends and sector-specific supply pressures, particularly as upgrades slow and new issuance clusters around key themes. However, healthy issuer fundamentals and stable credit metrics continue to support it as a Core holding allocation.

Fig. 13 DM HY spreads are off the tights

Bloomberg Global HY Aggregate Corporate Index, OAS



Source: Bloomberg, Standard Chartered

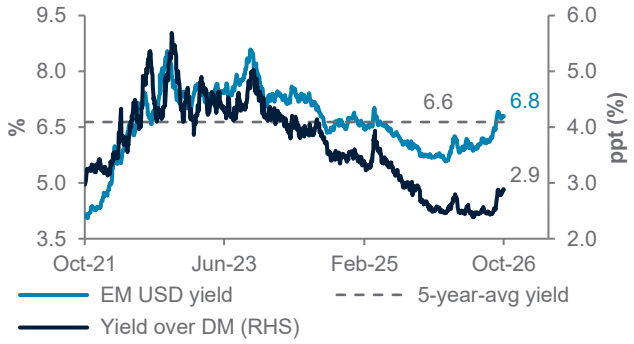
EM government bonds – Overweight USD/Core holding for LCY

We are Overweight EM USD government bonds and retain EM LCY government bonds as a Core holding, reflecting a balanced perspective across both regional performance and currency dynamics. In EM USD sovereign debt, the recent spread widening offered an attractive entry point to gain exposure to areas benefiting from resilient global growth and stable external conditions. Technicals remain favourable, with supply being front-loaded and investor positioning remaining relatively light compared with historical levels.

Many EM central banks having tightened earlier and more aggressively post-pandemic, preserving credibility and maintaining positive real rates. External balances have improved, reserve buffers have increased and greater reliance on domestic funding reduces external vulnerability. Lula's surprise win in Brazil's presidential election raises political risk. The country's fiscal trajectory under the incoming administration is a key risk to monitor. Fiscal slippage could trigger a broader repricing of LATAM risk. In Asia, higher-rated issuers continue to offer a valuable buffer during bouts of global rate volatility, while select frontier exposures in EMEA remain more sensitive to liquidity shifts and changes in risk appetite. Index composition also shapes resilience: the EM USD benchmark is less exposed to oil price shocks, as countries that are not oil importers account for a larger share of the benchmark than in the LCY benchmark. We expect returns to be primarily driven by carry rather than further spread compression.

Fig. 14 EM USD government bonds offer a yield pick-up of nearly 3ppt over DM peers

Bloomberg EM USD Government Bond Index, yield to worst



Source: Bloomberg, Standard Chartered

EM LCY debt faces additional headwinds, especially as elevated US real yields and an appreciating USD dampen demand from foreign investors and reduce the comparative attractiveness of broad-based duration strategies. However, real yields remain comparatively supportive in several markets, and current valuations signal selective opportunities, especially given the restrictive monetary policy stances prevalent across many EM economies. Accordingly, EM LCY bonds retain their Core holding status, with portfolio emphasis placed on country selection and measured duration exposure, reflecting the differentiated currency dynamics at play.

Key risks to both the USD and LCY segments include a potential escalation of the Middle East conflict, higher oil prices, renewed hawkishness from the Fed that could support further USD strength and weather-related disruptions, such as the effects of El Niño. Climate risks could prolong inflation pressures and hinder disinflation in vulnerable EM regions.

Asia USD bonds – Core holding

We retain a Neutral allocation to Asia USD bonds, an asset class that continues to reward investors with attractive nominal yields, favourable supply-demand technicals and robust credit fundamentals. Healthy corporate cash flows, low leverage and a high share of sovereign-linked issuers lend the segment a defensive quality relative to broader credit.

The resilience has been evident year to date (YTD). Asia USD bonds have outperformed both DM government and DM IG corporate bonds on a total-return basis. We expect this relative strength to persist. The combination of carry and credit quality (over 60% of issues are sovereign or sovereign-related) anchors our conviction in the asset class, even as we maintain a Neutral stance.

Bond opportunistic views

Bullish US HY bonds

We are opportunistically bullish on US HY bonds. We expect HY corporate earnings and cash flows to remain solid and leverage to remain stable. US HY bonds' shorter-duration profile offers lower sensitivity to interest-rate volatility, which is an attractive characteristic in an environment of elevated term premia.

Bullish US inflation-protected bonds (TIPS)

Real yields remain elevated versus historical standards, driven by rate hike expectations. Inflation concerns persist as energy prices remain subject to upside risks. We believe TIPS offer protection against near-term inflation uncertainty.

Bullish AUD corporate bonds

The threshold for further RBA hikes has risen, as higher energy prices weigh on the growth outlook and complicate the policy trade-off. The transmission channel matters too, where higher long-end yields could feed through to the property market, tightening financial conditions without the RBA having to act, casting further doubt on the case for additional hikes.

Technicals have improved slightly as higher yields slow new supply. Supply remains a tail risk, though. The AUD bond market is much smaller than the USD market, especially at the long end of the curve, where demand for duration is thinner and the term premium is most sensitive to supply.

Bullish AAA-rated CLOs

Concerns about spillovers from private credit are mounting amid deteriorating covenant protections in parts of the leveraged credit market. However, we believe AAA-rated CLOs backed by solid asset portfolios and substantial credit enhancements underneath senior tranches should help dampen credit risk and volatility. We see a compelling case for floating-rate and shorter-duration alternatives as portfolio diversifiers amid elevated term premia.

Close utilities corporate hybrids

AI capex is set to keep rising, but funding it has become harder. Tighter financial conditions now coincide with growing competition for capital. Utilities' credit fundamentals remain strong. Even so, we close our utilities corporate hybrids idea to lock in a gain of 0.5% as a risk-management step.

[2] Contingent convertibles (CoCos) are complex financial instruments. Please refer to important disclosures on page 27.

Equity – at a glance

Sundeep Gantori, CFA, CAIA
Chief Investment Officer, Equities

Fook Hien Yap
Senior Investment Strategist

Cindy Lam, CFA
Senior Investment Strategist

Our view

We downgrade global equities from Overweight to a Core allocation as we expect higher volatility in the near term. We expect this volatility to arise as equity market leadership broadens during the transition to a mid-cycle bull market**.** Equity returns will likely moderate from the 15-20% annualised range of the last few years but remain positive. We remain **Overweight US and AxJ equities**, which are expected to deliver the highest earnings growth in 2027 among the major regions.

Within AxJ, **we remain Overweight Taiwan**, given structural AI-driven growth, and **upgrade India to Overweight,** for diversified non-AI growth exposure. South Korea is a Core holding, with attractive valuations but extreme volatility. China is also a Core holding, with attractive valuations but lacking a positive catalyst. We are Underweight ASEAN, which has a weaker growth profile.

We maintain **Japan as a Core holding** as nominal growth supports broad-based earnings revisions. We also maintain a **Core allocation to Europe ex-UK**, which is enjoying an earnings recovery. We remain **Underweight UK** equities, given the market's limited exposure to growth sectors.

Key chart

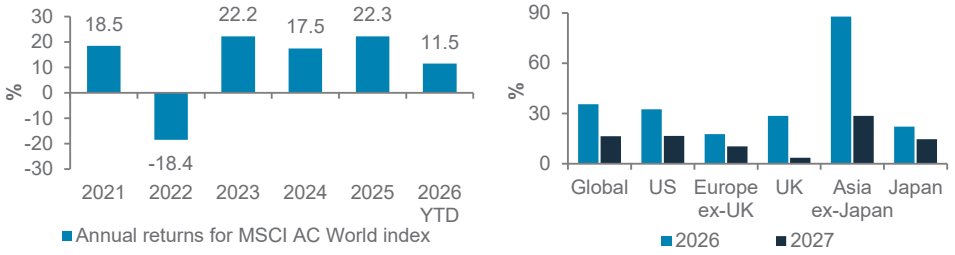
Earnings growth is driving gains in equities

Index	12m forecast	Upside to target^
S&P500	8,400	9%
Nasdaq 100	32,400	10%
Euro Stoxx 50	6,580	6%
FTSE 100	11,170	4%
Hang Seng	24,600	7%
Nifty 50	25,000	9%
Nikkei 225	68,500	6%

^Based on 29-Oct closing levels

Fig. 15 Broad-based earnings strength is supporting global equities. Our Overweight views on AxJ and US equities are supported by robust earnings growth

Annual returns for the MSCI AC World Index. 2026 and 2027 consensus earnings growth estimates for MSCI equity regional indices



Source: FactSet, Bloomberg, Standard Chartered

	The bullish case	The bearish case
US equities ▽ ◇ ▲	+ Exceptional earnings growth going into Q3 + Valuation de-rated to an attractive point + Relatively safe from global energy shocks	– Two-sided AI tail risk; AI winter/disruption – Higher yields and oil prices weigh on growth – AI capex raises profit margin bubble risk
AxJ equities ▽ ◇ ▲	+ Strongest EPS growth from AI supercycle + PE valuation hits trough at 2008 GFC level + Corporate reforms drive long term growth	– Extreme concentration risks in index – Rising oil prices hurt Asian oil importers – Trade tensions and geopolitical risks linger
Within AxJ	Taiwan ▲ India ▲ South Korea ◆ China ◆ ASEAN ▼	
Japan equities ▽ ◆ △	+ Reflation and investment supports upside + EPS growth boosted by nominal growth + Corporate reforms still delivering value	– Hawkish BoJ pivot with more hikes expected – Long-end yields at multi-decade highs – Sensitive to energy prices as net importer
Europe ex-UK equities ▽ ◆ △	+ Earnings recovery after 3 stagnant years + Fiscal expansion lifts domestic demand + Higher rates favour banks and value	– Energy shocks are inflation headwinds – French election risk yield spread may widen – Muted earnings growth trails major regions
UK equities ▼ ◇ △	+ Defensive hedge amid AI fears + Takeover activity puts floor on valuation + Outperforms when oil rallies and rates rise	– Highest long-end yields in developed world – Defensive composition lags in a growth rally – Muted earnings growth with low AI exposure

Preference order

Legends: ▲ Overweight | ▼ Underweight | ◆ Core **Green** = Upgrade; **Red** = Downgrade

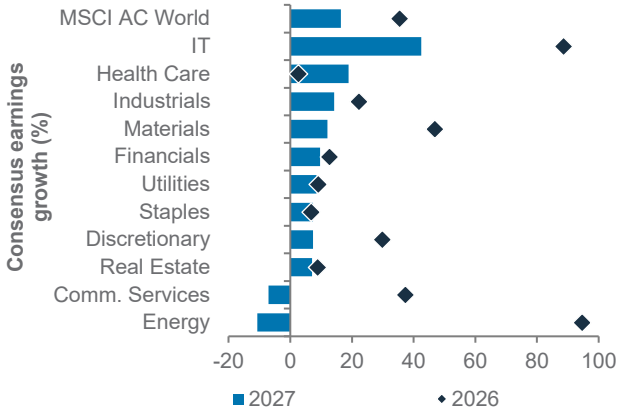
Source: Standard Chartered Global Investment Committee

Shifting to a mid-cycle bull market

The last few years have seen strong annual returns of 15-20% for global equities, consistent with the early cycle of a bull market, driven in large part by a rapid AI buildout. As the AI infrastructure buildout is increasingly debt funded – we estimate 40% of AI capex in 2027 would be debt-financed – the market is increasingly concerned about the quality of this growth and execution risks. We remain positive on the structural AI theme, but we expect investor focus to shift from rapid buildout to monetisation. During this transition, we expect **market leadership to broaden** beyond technology. We believe this shift will also be accompanied by **higher near-term volatility** and a **moderation in global equity returns**, consistent with a transition to a mid-cycle bull market.

Fig. 16 Projected 16% earnings growth for global equities in 2027 provides a strong tailwind for positive equity returns

2026 and 2027 consensus earnings growth estimates for MSCI AC World sectors



Source: FactSet, Bloomberg, Standard Chartered

US equities – Overweight

US equity valuations have declined this year, with the 12-month forward P/E falling to 19x from 22x at the start of the year. This reflects higher rates, a valuation headwind, and worries about the quality of growth, which is increasingly debt-funded. As market leadership broadens and the US mid-term election nears, we expect higher near-term volatility in the US market. Nonetheless, US equities have broad-based strength, with the ongoing Q3 earnings season pointing to a robust economy. In a world of rising geopolitical risks, the US is also relatively insulated by its domestically driven growth.

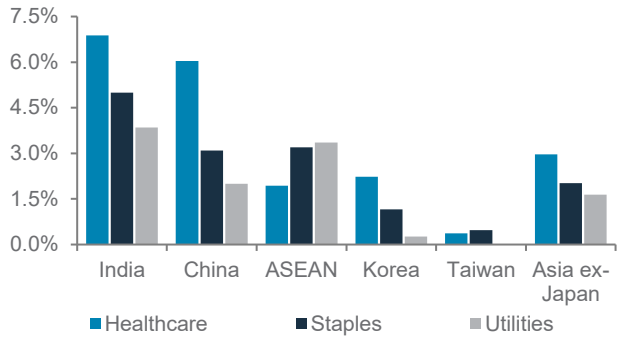
AxJ equities – Overweight

AxJ has the **strongest earnings growth** among major markets, as its technology sector remains a key beneficiary of the AI capex cycle. AxJ's P/E valuations have also dropped to attractive trough levels, the lowest among major regions. Within AxJ, we are **Overweight Taiwan**, which benefits from clear visibility on AI-driven growth and dominance in manufacturing advanced AI chips. We also **upgrade India to Overweight** due to its resilient domestically driven earnings, providing diversification beyond AI-related growth. India offers the highest exposure to defensive sectors (healthcare, consumer staples and utilities) within AxJ. Both Taiwan and India offer attractive returns on equity.

South Korea equities remain a Core holding. We are positive on long-term agreements that improve earnings visibility for memory chipmakers. Valuations are attractive (the lowest in AxJ), with supportive corporate governance reforms. Still, extreme volatility remains the key overhang. **China remains a Core holding,** given inexpensive valuations, but re-rating potential appears delayed amid AI monetisation struggles, lingering regulatory risks and weak domestic demand. **We remain Underweight ASEAN**, as Indonesia's downgrade warning, oil shocks and a well-supported USD could weigh on the region, although Singapore offers defensive growth.

Fig. 17 India offers highest AxJ exposure to defensive sectors (healthcare, consumer staples and utilities)

Sector weights for MSCI equity indices



Source: FactSet, Bloomberg, Standard Chartered

Japan equities – Core allocation

Rising nominal growth is supporting solid broad-based earnings revisions, with rising rates supportive of bank earnings. Corporate governance reforms also continue to boost shareholder value. The fiscal support for strategic industries is pro-growth, offsetting energy shocks.

Europe ex-UK equities – Core allocation

Europe ex-UK is seeing an earnings recovery after three stagnant years, and we expect to see a continuation of this narrative with Q3 results. Rising rates are supportive of banks' earnings and fiscal expansion is benefiting domestic demand. The fiscal situation in France has no easy solution, but we do not expect a contagion widening in government bond spreads, as the ECB has tools in place to limit contagion.

UK equities – Underweight

The UK lacks exposure to growth sectors, with relatively muted earnings growth. We expect this to weigh on the UK, making it lag the performance of other markets over the next 12 months, although UK equities tend to hold up better during bouts of volatility.

Equity opportunistic views

Robin Xie, CFA
Senior Investment Strategist

Ryan Goh
Investment Strategist

Jason Wong
Senior Equity Analyst

Add MSCI Switzerland and US Healthcare, remove Global Power & Electrification, MSCI Taiwan, Global Semis and US Comm Services

We initiate an opportunistic Idea on **MSCI Switzerland** on 29 October 2026, having initiated one on **US Healthcare** on 12 October 2026. Healthcare and Consumer Staples account for over 50% of the MSCI Switzerland Index's weight, providing exposure to more resilient demand. It also has a sizeable financial sector supported by steady wealth management growth and well-capitalised insurers, which benefit from disciplined underwriting and resilient premium income.

We closed our opportunistic ideas in **Global Semiconductors** (9 September 2026 to 2 October 2026: +8.1%), **MSCI Taiwan** (9 July 2026 to 2 October 2026: +10.0%), **US Communication Services** (18 June 2026 to 12 October 2026: +1.9%), and **Global Power & Electrification** (30 July 2026 to 29 October 2026: -6.5%). This reflects a tactical reduction in exposure to tech-related sectors amid higher expected near-term volatility, rather than a deterioration in the fundamental outlook. Over the longer term, we remain constructive on these structural themes and may revisit these ideas at more attractive entry points.

Fig. 18 Opportunistic Ideas

Region	Idea
Global	Global High Dividend
US	US Healthcare*
Europe	Euro Area Banks
	MSCI Switzerland*
Asia	Japan Banks

Source: Standard Chartered. * New idea

Ongoing Opportunistic Ideas

US Healthcare: We expect US Healthcare to offer resilience amid shifting market leadership, with the sector projected to grow by 23% in 2027, the second-fastest growth rate among MSCI US sectors, underpinned by healthcare innovation.

Euro area banks: A 'higher-for-longer' rate backdrop should extend the earnings upcycle, with further ECB tightening expected. Corporate loan demand is showing recovery, while non-interest income is growing. Strong capital generation supports higher dividends and continued share buybacks.

Japan Banks: BoJ policy normalisation drives net interest margin upside, while Japan's reflation cycle supports nominal loan demand, corporate capex and household wealth activity. Governance reform is a re-rating driver independent of the rate cycle. This includes recycling legacy holdings towards growth, buybacks and dividends.

Global High Dividend: Provides a higher-income equity allocation with historically lower volatility than the MSCI ACWI and modest downside cushioning on balance.

Sector views: Continue to broaden & diversify

We made two changes on 12 October 2026: we **downgraded US Communication Services to Neutral** to reduce concentration in tech-related sectors and **upgraded US Healthcare to Overweight,** where its defensive exposure stands to benefit as investors diversify beyond concentrated AI exposure. **This month, we downgrade Europe ex-UK Industrials to Neutral**, as energy-cost shocks and supply-chain pressures outweigh fiscal support. Elsewhere, **US Information Technology (IT) remains Overweight.** Rising funding and execution risks warrant near-term caution, but structural AI tailwinds should continue to provide long-term growth opportunities. **US Materials also stays Overweight** on sustained demand for industrial metals and construction materials. We remain bullish on gold. The **Financial sector remains Overweight across the US, Europe ex-UK and Japan**, supported by stable earnings, elevated rates boosting net interest income and continued capital market recovery.

In China, we maintain a broad Overweight stance to preserve sector diversification. **IT and Communication Services remain Overweight**, with rapid innovation and investment in AI localisation providing tailwinds. Beyond these, we are also **Overweight Materials** on structurally elevated commodity prices, **Healthcare** on biotech innovation and a robust drug pipeline and the **Financial sector** on easing margin pressure, recovering fee income and capital market reform.

Fig. 19 Our sector views

Top preferred Global sectors	China sectors
US IT	IT
US healthcare ▲	Financials
US financials	Communication services
US materials	Materials
Europe ex-UK financials	Healthcare
Japan financials	Energy
	Industrials
	Discretionary
	Utilities
	Consumer staples
	Real estate

Legends: Overweight | Core | Underweight
▲ Upgrade from last month | ▼ Downgrade from last month
Source: Standard Chartered

Gold, crude oil – at a glance

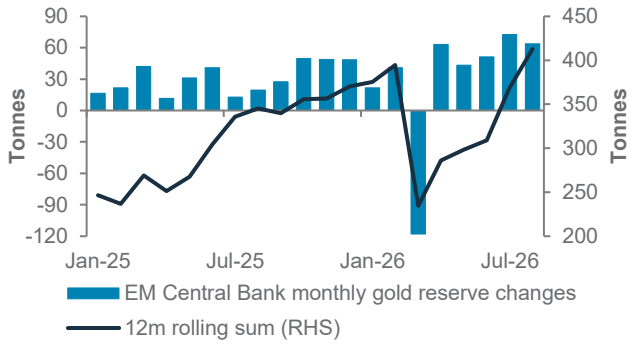
Anthony Naab, CFA
Investment Strategist

Our view

- We remain Overweight gold, but trim our three- and 12-month price targets to **USD 4,350/oz** and **4,700/oz**, respectively.
- We retain our three- and 12-month West Texas Intermediate (WTI) oil forecast at **USD 100/bbl** and **USD 80/bbl,** respectively.

Key charts

Fig. 20 **EM central bank demand a key support for gold**
Selected EM central bank gold reserve changes



Source: World Gold Council, Standard Chartered

Fig. 21 **Gold's recent correction coincides with renewed USD strength**
Gold price vs. DXY



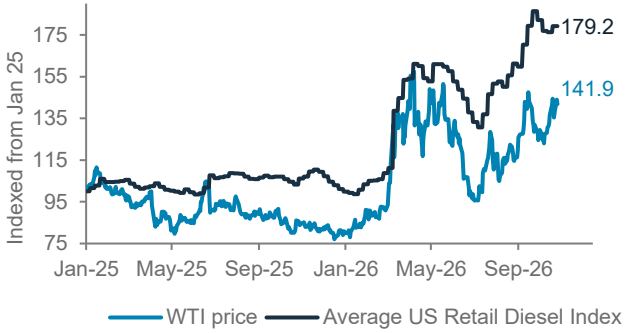
Source: Bloomberg, Standard Chartered

Fig. 22 **WTI trails March-April conflict highs as tanker freight rates have more than doubled**
WTI spot price vs. Baltic Dirty Tanker Index



Source: Bloomberg, Standard Chartered

Fig. 23 **Diesel prices have outpaced crude oil prices as downstream pressures intensify**
WTI crude oil prices vs. US retail diesel prices, (Jan-25=100)



Source: EIA, Bloomberg, Standard Chartered

Gold outlook: We remain constructive over 6-12 months, viewing the latest pullback as liquidity-driven rather than a deterioration in fundamentals. USD strength is a headwind, but gold's sensitivity to real yields has eased amid continued central bank buying, led by China, and resilient investor demand. Speculative positioning near May lows raises scope for renewed inflows. High oil prices sustain near-term volatility but may eventually lift gold if they constrain global growth.

Oil outlook: Crude prices remain elevated as shipping disruptions drive freight costs to multi-year highs, sustaining a geopolitical risk premium. While Middle East exports have proven resilient, threats to production infrastructure are mounting. Refined products, especially diesel, face the greatest supply pressure amid depleting inventories and constrained refining capacity. With limited emergency supply buffers, oil markets remain vulnerable to prolonged disruption.

FX – at a glance

Jonathan Liang, CFA
CIO, Fixed Income & FX

Vincent Tan
Senior Investment Strategist

Iris Yuen
Investment Strategist

USD view

USD consolidation with limited upside: Our three-month US Dollar Index (DXY) forecast stands at 101, revised upwards from 100.20 last month, reflecting a higher expected Fed rate path. With the October Fed rate pause and a potential December rate hike largely priced in, further tightening would offer limited additional USD support. Persistent inflation, elevated US government bond yields and resilient business activity continue to underpin the USD's interest-rate advantage. However, in September, payroll growth slowed sharply to 29,000 (from 133,000 in August), the unemployment rate rose to 4.2% from 4.1%, annual wage growth eased to 3.0% from 3.1% and housing starts fell 5.2% m/m. These signs of cooling demand temper expectations of more aggressive Fed tightening. We expect DXY to remain rangebound between 101 and 103, with our three-month forecast at 101.00.

Peaking Fed rates and narrowing rate differentials favour gradual USD weakness: We maintain our 12-month DXY forecast at 98.50. We expect a Fed rate hike in December 2026 and another in H1 2027, taking the federal funds target range to a peak of 4.25-4.50%, before easing in H2 2027. Further BoJ normalisation and the ECB's relatively restrictive policy stance should progressively narrow the USD's rate advantage. Persistent fiscal and current account deficits increase reliance on foreign capital inflows, adding to medium-term pressure on the USD. Resilient US growth, AI-related capital inflows and elevated US government bond yields remain important offsets, supporting DXY's gradual decline towards 98.50.

Key charts

Fig. 24 **USD to consolidate near-term; expected Fed hike peak in H1 2027 supports a decline to 98.50 over 12 months**
DXY and interest rate differentials



Source: Bloomberg, Standard Chartered

Fig. 25 **France's fiscal risks weigh on the EUR in the near term, despite a medium-term recovery**
EUR/USD and Germany-France 10-year bond yield spread



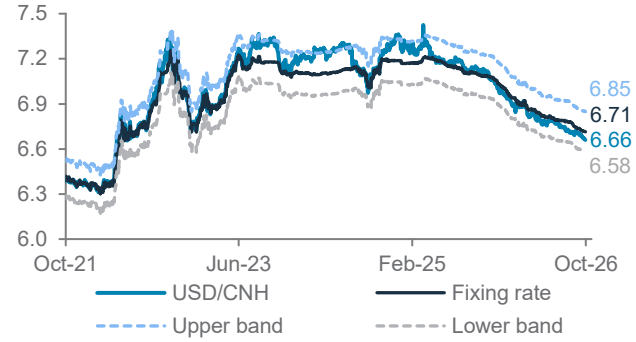
Source: Bloomberg, Standard Chartered

Fig. 26 **CHF safe-haven demand limits USD/CHF upside, despite wide US-Swiss yield differentials**
USD/CHF and US-Swiss 10-year bond yield differential



Source: Bloomberg, Standard Chartered

Fig. 27 **USD/CNH declines alongside firmer PBoC fixing guidance**
USD/CNH and the PBoC fixing rate



Source: Bloomberg, Standard Chartered

Fig. 28 **Summary of major FX forecasts and drivers**

Currency	Spot*	3m	12m	Rationale
EUR/USD	1.1202	1.14	1.17	**Constructive:** French fiscal risks and high US bond yields weigh in the near term. Germany's multi-year investment programme, resilient exports and a narrowing US rate advantage support medium-term EUR recovery.
GBP/USD	1.3374	1.33	1.35	**Rangebound:** Higher UK inflation and stronger October PMI support BoE tightening expectations. While Healey's plan deferred the biggest fiscal decisions rather than resolving them, any future fiscal slippage or gilt market stress would limit GBP gains.
USD/JPY	156.87	157	153	**Rangebound with bearish bias:** Further BoJ tightening, lower US rates and moderating oil prices support the JPY. However, negative Japanese real rates and overseas investment flows could limit the pace of JPY appreciation.
AUD/USD	0.7036	0.72	0.74	**Constructive:** Weak employment and a contracting October PMI temper near term AUD gains. However, the RBA's restrictive policy, resilient commodity demand and a narrowing US rate advantage support gradual AUD appreciation.
NZD/USD	0.5699	0.56	0.57	**Rangebound:** Q3 inflation eased to 3.7% y/y from 4.1%, reducing pressure for additional RBNZ tightening. Subdued domestic growth and elevated US yields favour NZD consolidation towards 0.56 in the near term, before a softer medium-term USD supports a recovery towards 0.57.
USD/CAD	1.4003	1.40	1.37	**Rangebound with bearish bias:** US-Canada trade uncertainty and softer Canadian employment limit near-term CAD gains. We expect the Fed to ease in H2 2027, narrowing the US interest rate advantage and supporting gradual CAD appreciation.
USD/CHF	0.8250	0.82	0.80	**Modestly bearish:** French fiscal uncertainty supports CHF safe-haven inflows, outweighing the wide US-Swiss rate differential, favouring appreciation towards 0.82 near-term. Fading US rate support from H2 2027 favours further appreciation; zero SNB rates and CHF's funding role are likely to keep CHF appreciation pace gradual.
USD/CNH	6.6690	6.62	6.52	**Modestly bearish:** September exports grew 36.3% y/y and the trade surplus widened to USD 133.5bn, strengthening exporter USD conversion support. Industrial production growth accelerated to 5.5%, while retail sales growth remained subdued at 1.1%. PBoC fixing guidance and strong external flows support controlled CNH appreciation towards 6.52.
USD/SGD	1.2781	1.28	1.26	**Near-term rangebound; medium-term modestly bearish:** The Monetary Authority of Singapore maintained its S$NEER appreciation policy unchanged in October, following a "very slight" increase in July. Q3 GDP expanded 5.4% y/y, supported by technology-related activity. The unchanged appreciating policy band and narrowing medium-term US rate advantage favour gradual SGD appreciation towards 1.26.
USD/INR	94.94	–	96	**Modestly constructive:** October composite PMI strengthened to 56.7 from 55.9, while the RBI raised its repo rate by 25bps to 5.50%, supporting the INR through tighter monetary policy. However, September's USD 30.2bn trade deficit, elevated oil import costs and external funding needs sustain USD demand, favouring gradual INR depreciation towards 96.
USD/MYR	4.0857	–	4.00	**Modestly bearish:** September exports grew 54.5% y/y and the trade surplus widened to MYR 33.7bn, strengthening export-related FX conversion. Resilient GDP growth of 5.3% y/y and a softer medium-term USD support gradual MYR appreciation towards 4.00.
USD/KRW	1,360	–	1,450	**Bullish:** Strong semiconductor exports support Korea's external surplus, but concerns over AI investment returns and concentrated technology equity exposure have increased foreign portfolio selling. Overseas investment and the US-South Korea yield advantage sustain USD demand, supporting our forecast for USD/KRW to rise towards 1,450.

Source: Bloomberg, Standard Chartered
*As of 4am, 26 Oct 2026 SGT

Quant perspective: Modestly UW equity as near-term risk rose

Francis Lim
Senior Quantitative Strategist

Maggie, Au Yeung
Quantitative Analyst

Summary

Our stock-bond model (3-6 months) is at -2 (minimum: -5) in October, signalling a modest Underweight (UW) in global equities. Historically, a decline in the model score to -2 has been associated with flat to slightly negative returns. The shift was driven by stretched valuations in both global and Asian equities, weaker fundamentals and deteriorating market technicals. On fundamentals, market risk aversion has risen sharply, while PMI new orders have declined over the past three months, pointing to a slowdown in the pace of industrial expansion. On technicals, the share of equity markets trading above their 200-day moving averages, a key gauge of long-term support, has fallen below 60% for the first time since January 2025. The model rebalances in the middle of each month and has generated 11bps of alpha from the equity Underweight initiated on 15 October 2026, lifting YTD alpha vs. the 60/40 equity-bond benchmark to 4.0%.

Our 1-3-month equity market regime model indicates contained bear market risks across US and global equities. Estimated bear market probabilities are 4.2% for the S&P500 and 7.7% for the MSCI AC World, compared with 0.9% and 6.4% respectively in the September outlook. Across both models, volatility measures are the main factors keeping probabilities low, supported by momentum signals. Together, these outweigh modest upward contributions from macro and cross-market factors, leaving little evidence of a bear market regime over the next 1-3 months.

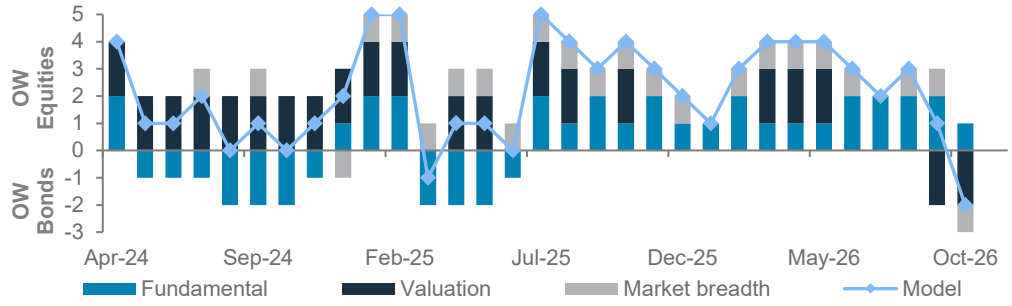
Our market diversity indicator flags reversal risk in MSCI Europe Real Estate and MSCI China Industrials, which are down over 12% and 19% respectively from their August peaks. US equity and USD positioning remain broadly neutral.

Key chart

Our stock-bond model shifted its Overweight allocation towards bonds as valuation and technical signals weakened

Fig. 29 Breakdown of our stock-bond rotation model's scores

Our model reduced equity weight to 36% from 68% as the model score fell to -2

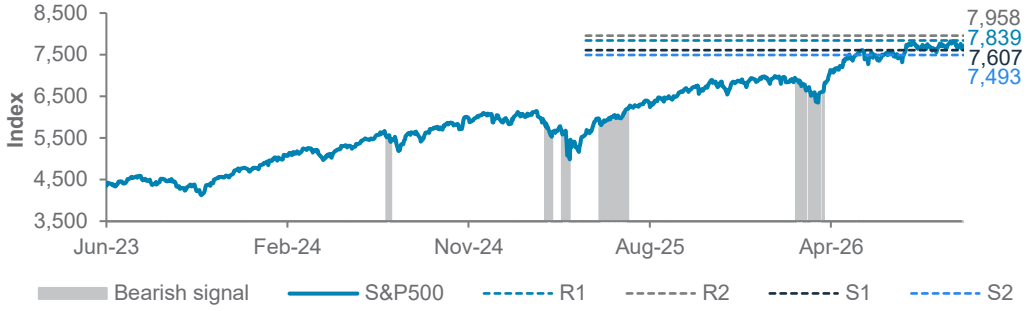


Source: Bloomberg, Standard Chartered; 28-October-2026

Volatility and momentum signals continue to keep bear market probabilities low. The latest results remain consistent with a non-bear market regime over the next 1-3 months, rather than signalling a major downturn

Fig. 30 Our technical model remains bullish on the S&P500

S&P500 Index; model's bearish signal; technical support and resistance levels



Source: Bloomberg, Standard Chartered; 29-October-2026

Fig. 31 **Long- and short-term quantitative models remain bullish on risk assets**

Long-term models below have a typical time horizon of 3-6 months, while short-term models have a 1-3-month horizon

Long-term	Stock or bond	US recession model
Current view	**Modest equity underweight**	**25% probability within the next 6 months**
What factors is this view based on?	• **Fundamental:** +1. Fundamentals weakened, with macro risk indicator rising above 0.5 threshold and the negative three-month change in PMI new orders pointing to a slowdown in industrial activity expansion • **Valuation:** -2. Both DM and Asian equities are expensive as their valuation scores exceeded the model's 1 z-score threshold • **Technical: -**1. The percentage of equity markets above their 200-day moving averages has fallen steeply from above 80% since in August to current 47%	**Estimated probability rose slightly from 21%** • Conference board consumer confidence worsened to -14.3% y/y • PMI new orders to inventory ratio is at 1.14x, below its historical average of 1.2x • Conference board leading indicators improved but remained negative at -0.7% y/y • Fed funds rate to natural rate ratio is still high at 1.7x, reflecting a restrictive monetary policy compared to historical average of 1.3x
Key model factors	• Economic activity, macro risk and surprise indices, corporate earnings, forward P/E ratio and technical factors	• Conference Board leading indicator, Consumer Confidence Index, ISM New Orders and Fed funds rate
How does it work?	• A monthly scorecard of -5 to 5 based on fundamentals, valuations and market breadth factors to indicate the relative preference for bonds and equities. A positive score favours equities and vice versa	• A probability model based on regression. Long-term statistical tests are conducted to identify the four key economic factors above

Short-term	Technical analysis	Investor positioning
Current views	**Bullish S&P 500 & MSCI AC World**	**MSCI Europe Real Estate and China Industrials**
What factors is this view based on?	• **Bullish S&P500 and MSCI AC World.** Bear market probabilities remain low at 4.2% and 7.7% respectively. Volatility measures are the main factors keeping these estimates low, supported by momentum signals and outweighing modest contributions from macro and cross-market factors	• **Market diversity indicator flags reversal risk in Europe Real Estate and China Industrials**. The indices have declined by more than 12% and 19%, respectively, from their August peaks • **Investor positioning** remains broadly neutral across both US equities and the US dollar, indicating that investor exposure is not especially stretched in either direction
Key model factors	• **Market factors:** Momentum, volatility, interest rate differentials, relative returns, inflation swap rates, economic surprises, etc	• **Price action:** Overbought conditions occur when prices rise sharply; oversold conditions happen when prices fall rapidly in a short time
How does it work?	• Scanning through 7,000+ factors, the framework uses ML to forecast market regimes or future trends based on identified market drivers	• A market indicator based on fractal analysis that provides a timely indication of investor positioning based on price actions

Source: Standard Chartered

Foundation: Asset allocation summary

Summary	View	FOUNDATION Moderate	Balanced	Aggressive
Cash	▼	4	4	4
Fixed Income	◆	58	38	18
Equity	◆	33	53	73
Gold	▲	6	6	6
Asset class				
USD Cash	▼	4	4	4
DM IG Bonds		35	22	9
*DM IG Government Bonds**	▼	21	12	4
*DM IG Corporate Bonds**	◆	15	10	5
DM HY Corporate Bonds	◆	3	2	1
EM Bonds		11	9	5
EM USD Government Bonds	▲	8	7	5
EM Local Ccy Government Bonds	◆	3	2	0
Asia USD Bonds	◆	8	5	3
North America Equities	▲	23	36	49
Europe ex-UK Equities	◆	4	7	9
UK Equities	▼	0	1	1
Japan Equities	◆	2	3	4
Asia ex-Japan Equities	▲	4	7	9
Gold	▲	6	6	6
		100	**100**	**100**

Summary	FOUNDATION Conservative
Cash	10
Fixed Income	90
Asset class	**Moderate**
Cash	10
Floating Rate Notes	45
DM IG Govt (Short duration)	10
DM IG Corp (Short duration)	15
DM HY (Short duration)	5
EM USD Govt (Short duration)	5
EM LCY Govt	5
Asia USD bonds	5
	100

Legends: ▲ Most preferred | ▼ Least preferred | ◆ Core holding

Source: Standard Chartered

Notes: All figures in %; (i) For small allocation we recommend investors to implement through global equity/global bond product; (ii) Allocation figures may not add up to 100 due to rounding. *FX-hedged; (iii) DM IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (iv) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

Foundation+: Asset allocation summary

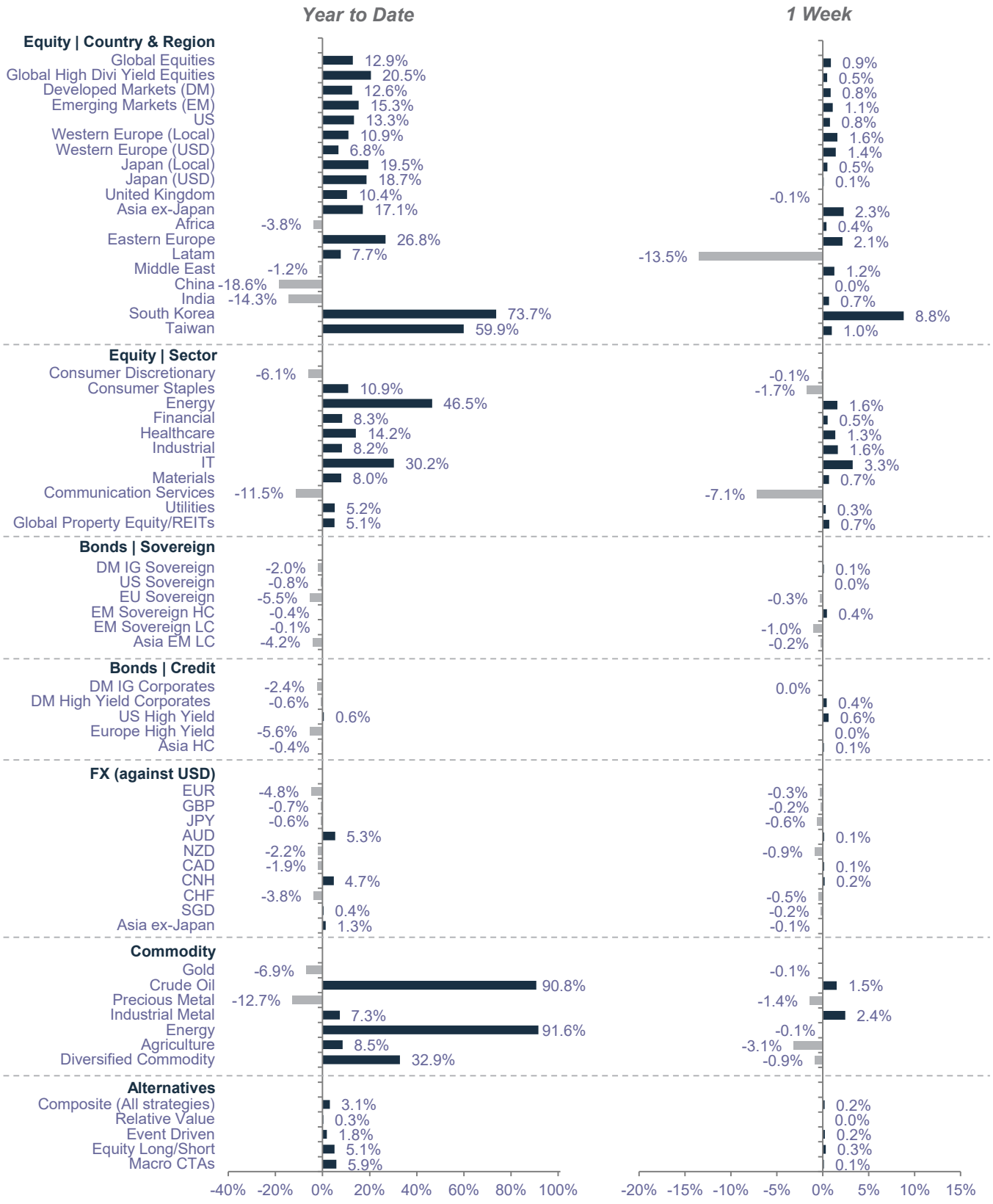
		FOUNDATION+		
Summary	**View**	**Moderate**	**Balanced**	**Aggressive**
Cash	▼	4	3	3
Fixed Income	◆	49	30	13
Equity	◆	28	42	54
Alternatives	◆	20	25	29
Asset class				
USD Cash	▼	4	3	3
DM IG Bonds		30	17	7
*DM IG Government Bonds**	▼	18	10	3
*DM IG Corporate Bonds**	◆	12	8	4
DM HY Corporate Bonds	◆	3	2	1
EM Bonds		9	7	4
EM USD Government Bonds	▲	7	5	4
EM Local Ccy Government Bonds	◆	3	2	0
Asia USD Bonds	◆	7	4	2
North America Equities	▲	19	28	37
Europe ex-UK Equities	◆	3	5	7
UK Equities	▼	0	1	1
Japan Equities	◆	2	2	3
Asia ex-Japan Equities	▲	3	5	7
Gold	▲	5	5	4
Hedge Fund Strategies	◆	2	3	4
Private Equity	◆	2	5	8
Private Real Assets	◆	4	4	4
Private Debt	◆	5	6	7
Digital Assets	◆	2	2	2
		100	**100**	**100**

Legends: ▲ Most preferred | ▼ Least preferred | ◆ Core holding

Source: Standard Chartered

Notes: All figures in %; (i) For small allocation we recommend investors to implement through global equity/global bond product; (ii) Allocation figures may not add up to 100 due to rounding. *FX-hedged; (iii) DM IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (iv) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

Market performance summary*



Source: MSCI, JPMorgan, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

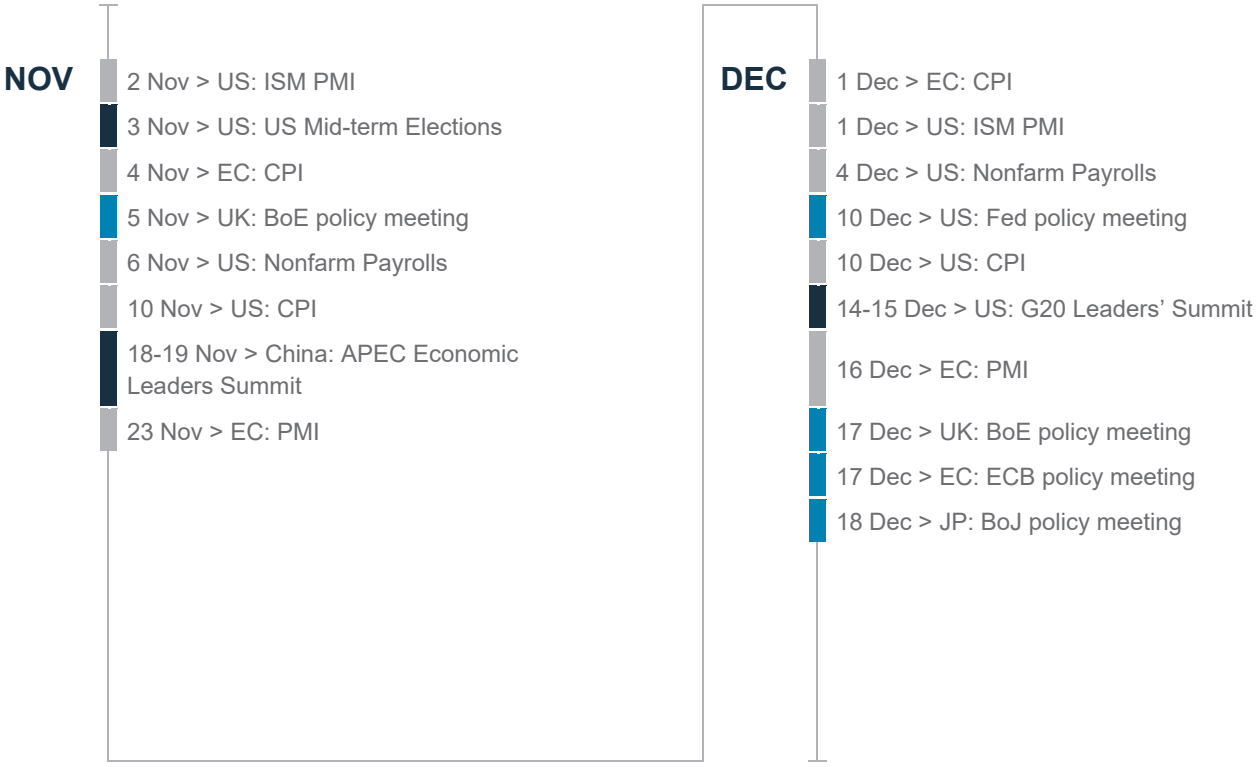
*All performance shown in USD terms, unless otherwise stated

*YTD performance data from 31 December 2025 to 29 October 2026; 1-week performance from 22 October 2026 to 29 October 2026

Our key forecasts and calendar events

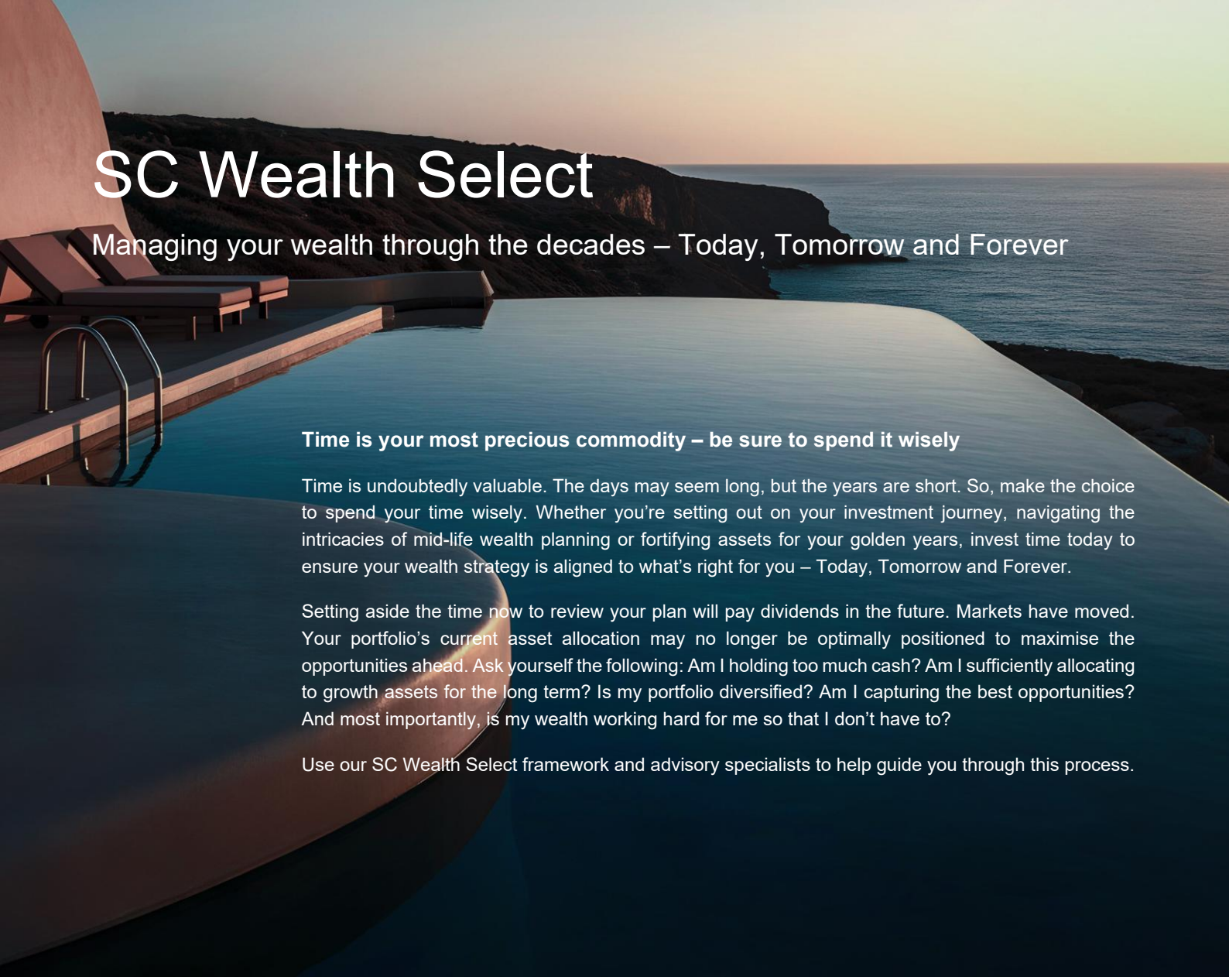
Currency	USD (DXY)	EUR/ USD	GBP/ USD	USD/ JPY	AUD/ USD	NZD/ USD	USD/ CAD	USD/ CNH	USD/ CHF	Oil (WTI, USD/ bbl)	Gold (USD/ oz)	Fed policy rate (upper bound)	US Treasury 10Y yield (%)	ECB policy rate
3m forecast	101	1.14	1.33	157	0.72	0.56	1.40	6.62	0.82	100	4,350	4.25%	5.00-5.25%	2.75%
12m forecast	98.5	1.17	1.35	153	0.74	0.57	1.37	6.52	0.80	80	4,700	4.25%	4.75-5.00%	2.50%

Source: Standard Chartered



Legends: Central bank policy | Geopolitics | Economic data

X – Date not confirmed | ECB – European Central Bank | FOMC – Federal Open Market Committee (US) | BoJ – Bank of Japan | BoE – Bank of England



SC Wealth Select

Managing your wealth through the decades – Today, Tomorrow and Forever

Time is your most precious commodity – be sure to spend it wisely

Time is undoubtedly valuable. The days may seem long, but the years are short. So, make the choice to spend your time wisely. Whether you're setting out on your investment journey, navigating the intricacies of mid-life wealth planning or fortifying assets for your golden years, invest time today to ensure your wealth strategy is aligned to what's right for you – Today, Tomorrow and Forever.

Setting aside the time now to review your plan will pay dividends in the future. Markets have moved. Your portfolio's current asset allocation may no longer be optimally positioned to maximise the opportunities ahead. Ask yourself the following: Am I holding too much cash? Am I sufficiently allocating to growth assets for the long term? Is my portfolio diversified? Am I capturing the best opportunities? And most importantly, is my wealth working hard for me so that I don't have to?

Use our SC Wealth Select framework and advisory specialists to help guide you through this process.

Purpose

Today, Tomorrow, Forever

Our approach to helping you grow and manage your wealth starts with you. We use a goals-aware approach to understand your vision of Today, Tomorrow and Forever for yourself, your family and beyond, and then design portfolios to meet your various needs.

Using our 'Today, Tomorrow and Forever' approach, we ensure your wealth needs for the near term (Today) are met, while ensuring your wealth needs for the decades ahead (Tomorrow and Forever) are also planned for.

Your vision of 'Today, Tomorrow and Forever' is unique to you. Our specialists partner with you to build well-diversified, long-term Foundation portfolios, aligned to your Today, Tomorrow and Forever needs. Opportunistic ideas are added to capture short-term opportunities, and sufficient protection is included to address the objectives of you and your family.

Today, Tomorrow and Forever Approach

Planning for Today

Requires ensuring liquidity and income flows take centre stage

Securing Tomorrow

Entails a well-diversified investment and protection portfolio with a focus on growth, ensuring inflation is accounted for and risks are mitigated

Building for Forever

Involves greater focus on long-term returns given the time horizon of your portfolio can be measured in decades, and might also include business interests, real estate, collectibles or charitable funds

Principles

that stand the test of time

Adhering to time-tested principles, to ensure your investment decisions remain robust and consistently applied, is paramount to your success Today, Tomorrow and Forever. We use five Wealth Principles to guide and guardrail your wealth decisions.

Discipline – ensure consistency and prudence over your emotions

- Reacting to emotions, such as optimism and fear, can lead to poor investment decisions at the worst times
- Have a plan and stick to it – this helps you to stay focused on the bigger picture

Diversification – simply put, don't put all your eggs in one basket

- Reduce risk by holding a variety of financial assets. Multi-asset diversification in your Foundation portfolio is important
- As a guide, make sure your portfolio contains a variety of asset classes and investments that have low correlation with one another

Time in the Market – a more robust strategy than timing the market

- Predicting market selloffs is challenging, and timing your exit and re-entry is difficult
- Missing out on the best performing days of a market can have a significantly detrimental impact on your portfolio
- 'Time in the market' and buying the market with a longer-term view provide more consistent returns that can ride out bumps along the way

Risk and Return – make sure the risk is worth the return

- To achieve higher investment returns, you will likely have to accept a greater level of risk in your portfolio
- Therefore, it's important to understand the risks and manage these on an ongoing basis

Protection – don't let the unexpected catch you unprepared

- Even though you may feel healthy, or financially stable now, protection offers the ability to overcome times of financial uncertainty and mitigate the long-term impact of unforeseen events on your wealth
- A good protection plan not only safeguards your wealth today, but also considers the value of your future earnings over your lifetime, in today's terms

Advisory Process

Following a holistic approach to managing your wealth

We follow a rigorous process to ensure your needs and objectives are well-understood, and your portfolio is well-aligned and manages to deliver on these objectives.

However, markets constantly evolve and your needs change. Hence, we encourage you to undertake regular portfolio reviews to ensure your portfolio remains aligned to your Today, Tomorrow and Forever objectives. This proactive approach includes strategic rebalancing based on insights from our Chief Investment Office.

Learn more

Scan the QR code below to learn more about our approach to growing, managing and protecting your wealth.

The five-step process

Showcase
Learn how our advisory framework can help you

Discover
Let us understand your needs, preferences and goals better

Propose
We'll design a Foundation portfolio with Opportunistic overlays, which is tailored for you

Implement
Allow us to implement your portfolio seamlessly and efficiently

Monitor & Review
It's important to regularly review and rebalance your portfolio

Please be sure to reach out to your Relationship Manager today to arrange a portfolio review.

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >

SC Wealth Insights

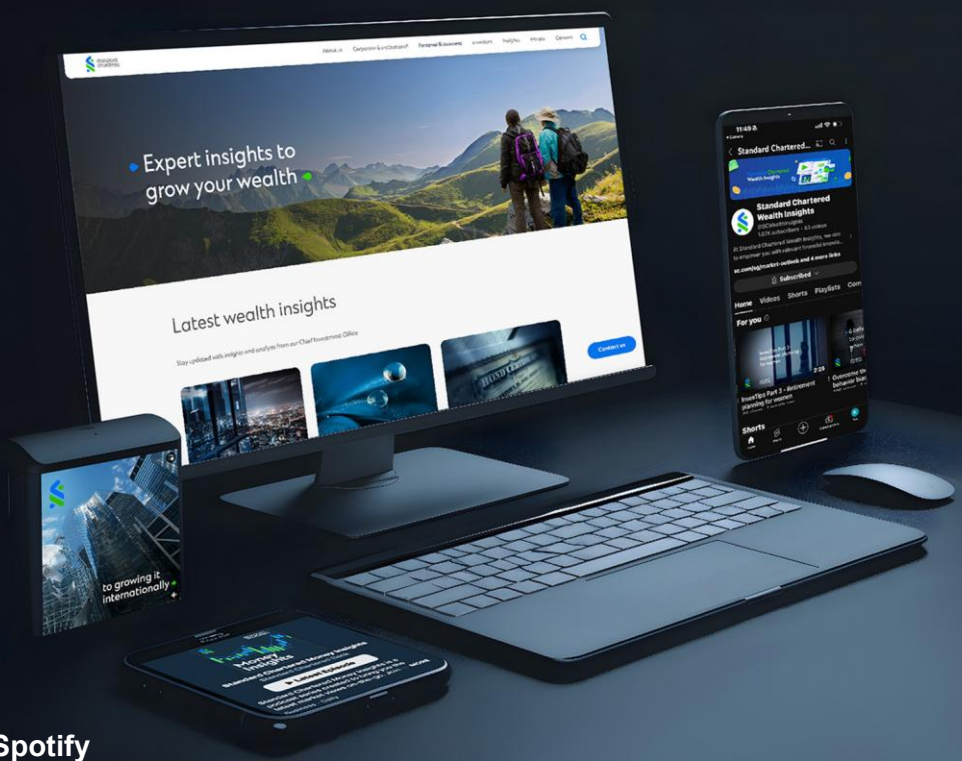
Find out more >

YouTube >

Facebook >

LinkedIn >

PvB LinkedIn >



SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify >

Apple Podcasts >

Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Explanatory notes

1. The figures on page 5 show allocations for a moderately aggressive risk profile only – different risk profiles may produce significantly different asset allocation results. Page 5 is only an example, provided for general information only and they do not constitute investment advice, an offer, recommendation or solicitation. They do not take into account the specific investment objectives, needs or risk tolerances of a particular person or class of persons and they have not been prepared for any particular person or class of persons.

2. Contingent Convertibles are complex financial instruments and are not a suitable or appropriate investment for all investors. This document is not an offer to sell or an invitation to buy any securities or any beneficial interests therein. Contingent convertible securities are not intended to be sold and should not be sold to retail clients in the European Economic Area (EEA) (each as defined in the Policy Statement on the Restrictions on the Retail Distribution of Regulatory Capital Instruments (Feedback to CP14/23 and Final Rules) ("Policy Statement"), read together with the Product Intervention (Contingent Convertible Instruments and Mutual Society Shares) Instrument 2015 ("Instrument", and together with the Policy Statement, the "Permanent Marketing Restrictions"), which were published by the United Kingdom's Financial Conduct Authority in June 2015), other than in circumstances that do not give rise to a contravention of the Permanent Marketing Restrictions.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an "SC Group Entity") according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Copyright © 2026, Accounting Research & Analytics, LLC d/b/a CFRA (and its affiliates, as applicable). Reproduction of content provided by CFRA in any form is prohibited except with the prior written permission of CFRA. CFRA content is not investment advice and a reference to or observation concerning a security or investment provided in the CFRA SERVICES is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. The CFRA content contains opinions of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are

subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. While CFRA exercised due care in compiling this analysis, CFRA, ITS THIRD-PARTY SUPPLIERS, AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes. No content provided by CFRA (including ratings, credit-related analyses and data, valuations, model, software or other application or output therefrom) or any part thereof may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, and such content shall not be used for any unlawful or unauthorized purposes. CFRA and any third-party providers, as well as their directors, officers, shareholders, employees or agents do not guarantee the accuracy, completeness, timeliness or availability of such content. In no event shall CFRA, its affiliates, or their third-party suppliers be liable for any direct, indirect, special, or consequential damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with a subscriber's, subscriber's customer's, or other's use of CFRA's content.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright "buy", "sell", "hold" or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group's trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MCSI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Shariah ("Shariah Compliant or Shariah Compliance")

For any reason to enter only into transactions which comply or are consistent with the principles of the Shariah, the client certifies that he/she/it has made his /her/its own investigation into and satisfied itself as to the Shariah compliance of the Islamic security and all necessary action to confirm that the Islamic security is Shariah compliant has been taken (including the obtaining of a fatwa, where required) and the Client will not claim any dispute on the grounds of any lack of Shariah compliance of these

investments. The Client has not relied on Standard Chartered Group or any written declaration, fatwa, opinion or other documents prepared by, on behalf or at the request of Standard Chartered Group for the purposes of a determination or confirmation that these instruments are Shariah compliant.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana:** This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46.04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam:** This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland:** This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong:** In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not be disposed of, to any person unless such person is outside Hong Kong or is a "professional investor" as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana:** Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India:** Standard Chartered Bank, India ("Bank") (ARN-1209) is an AMFI-registered distributor of select Mutual Funds and a referrer of certain third-party financial products. The Bank is not registered with SEBI as an Investment Adviser and does not provide investment advisory services or financial planning services as defined under the SEBI (Investment Advisers) Regulations, 2013. Any information contained herein is for informational purposes only and should not be construed as investment advice, recommendation, research report, or an offer to buy or sell any security or financial product. Mutual Fund investments are subject to market risks. Please read all scheme-related documents carefully before investing. The services/products described herein are not intended for any person resident in a jurisdiction where their distribution, solicitation or use would be contrary to local laws or regulations. **Indonesia**: This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey:** The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential

Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom, and all business transacted with Standard Chartered Bank, Jersey Branch and other Standard Chartered Group Offices outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya:** This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia:** This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad ("SCBMB"). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria:** This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan:** This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore:** This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, "SCBSL"). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 ("SFA")). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary

Authority of Singapore. **Taiwan:** SC Group Entity or Standard Chartered Bank (Taiwan) Limited ("SCB (Taiwan)") may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE:** DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18.The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority ("DFSA"). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis**. Uganda:** Our Investment products and services are distributed by Standard Chartered Bank Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom:** In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. V**ietnam:** This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia:** This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.

standard chartered
global private bank

WS Global CIO Office
25 September 2026

October 2026

Global Market Outlook

Earnings above all

Higher oil prices are in a tussle with stronger growth. We expect strong growth to help the global economy weather inflation risks, allowing equities to focus on the strength of earnings growth. Oil prices remain the key risk to monitor.

Maintain a preference for equities over bonds and cash. Strong earnings growth is why we would use the recent pause to add exposure to our preferred markets and themes. The US and Asia ex-Japan remain preferred regions.

Take advantage of higher bond yields via credit risk but cap duration. The risk of higher bond yields looks most pressing in ultra-long maturities, but credit quality remains strong. We are Overweight EM USD bonds.

+

Where are the tactical opportunities?

Do you expect more central bank rate hikes?

Are quantitative models still bullish on equities?

Important disclosures can be found in the Disclosures Appendix.



Contents

01

Strategy

Investment Strategy: Earnings above all 03

Foundation asset allocation models 05

Foundation: Our tactical asset allocation 06

Asset allocation: Walking the line - why this rate cycle isn't the one to fear, yet 07

02

Macro overview – at a glance

Our macroeconomic outlook and key questions 10

03

Asset classes

Fixed income 12

Equity 15

Equity opportunistic views 17

Gold and crude oil 18

FX 19

04

Additional perspectives

Quant perspective: Reducing Equity Overweight as Valuation Weakened 21

05

Performance review

Foundation: Asset allocation summary 23

Foundation+: Asset allocation summary 24

Market performance summary 25

Our key forecasts and calendar events 26

SC Wealth Select 27

Explanatory notes 30

Investment strategy and key themes

Steve Brice
Global Chief Investment Officer

Manpreet Gill
Chief Investment Officer, EMEA

Raymond Cheng, CFA, CPA
Chief Investment Officer, North Asia



12m Foundation Overweights:

- Global equities, gold
- US, Asia ex-Japan equities
- Emerging Market USD bonds

Opportunistic Ideas – Equities:

- **Global:** Semiconductors^, High dividend, power & electrification
- **US:** Communication services
- **Euro area (EA):** Banks
- **Asia:** Japan banks, MSCI Taiwan

Top Global Sectors:

- **US:** Technology, communication services, financials, materials^
- **EA:** Financials, industrials
- **Asia:** Japan financials

Opportunistic Ideas – Bonds:

- **US:** Treasury Inflation-protected Securities (TIPS), AAA-rated collateralised loan obligations (CLOs), utilities sector hybrids, US High-yield (HY)
- **EA:** Bank AT1s FX-hedged
- **Others:** AUD corporates

^New

Earnings above all

- **Higher oil prices are in a tussle with stronger growth.** We expect strong growth to help the global economy weather inflation risks, allowing equities to focus on the strength of earnings growth. Oil prices remain the key risk to monitor
- **Maintain a preference for equities over bonds and cash.** Strong earnings growth means we would use the recent pause to add exposure to our preferred markets and themes. The US and Asia ex-Japan remain our preferred regions
- **Take advantage of higher bond yields via credit risk but cap duration.** The risk of higher bond yields looks most pressing in ultra-long maturities, but credit quality remains strong. We are Overweight EM USD bonds

Hits from the 1990s

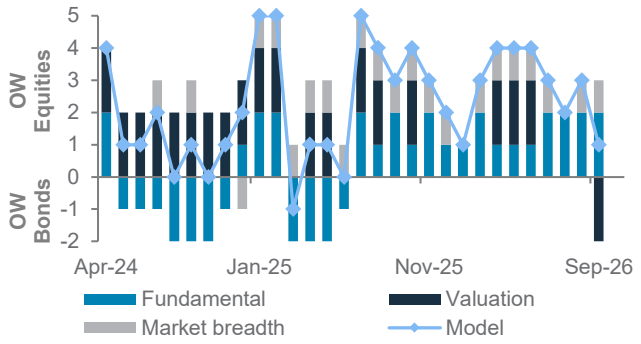
Rising bond yields have been a key market theme. Since mid-year, 10-year government bond yields have risen approximately 40-80bps across the US, Japan and Euro area. Against this backdrop, gold has delivered high single-digit returns, while global equities have delivered low single-digit returns.

Higher oil prices are in a tussle with robust growth data. The lack of progress towards a negotiated settlement in the US-Iran conflict and rising fears of shipping restrictions extending to the Bab al-Mandab Strait have meant that oil prices are once again testing the USD 100/bbl level. These worries have been exacerbated by increasing worries about refined product (eg. diesel, jet fuel, etc) supply. Despite these concerns, US growth data has held up remarkably well, as illustrated by the latest PMI and retail sales data. This is underpinned by AI investment growth.

Real, rather than nominal, energy prices are key. A chart of inflation-adjusted energy prices, though, illustrates why the global economy has managed to hold up despite these risks. Oil prices in real (inflation-adjusted) terms are closer to long term averages rather than at true 'oil shock' levels. This, together with the global economy's lower oil intensity relative to history, is why we expect growth and inflation to avoid worst-case scenarios as long as nominal oil prices avoid an excursion into the USD 120-150/bbl range.

Fig. 1 Our quant model score for equities has softened, but fundamentals remain a key positive

Our quantitative stock-bond model



Source: Bloomberg, Standard Chartered

Fig. 2 After accounting for inflation, oil prices are high but not at 'oil price shock' levels

Brent oil price adjusted for inflation*



Source: Bloomberg, Standard Chartered; using US CPI inflation

The Fed is likely to hike twice more by mid-2027. The acceleration in AI-driven investment growth means we believe the chances of a shift from our core soft-landing to no-landing economic scenario have gone up. This, combined with still-high inflation readings mean we now expect the Fed to hike rates twice more by mid-2027. In contrast, the BoJ and ECB are expected to hike thrice and once more respectively.

Buy-the-dip in equities

1990s rate hikes a better parallel then 2022. There is understandably some concern about whether rising central bank policy rates, and rising bond yields across maturities, will present a challenge to equity markets. However, we believe rate hikes in the 1990s are a better historical parallel, when central banks were hiking rates into strong economic and earnings growth, resulting in equity markets maintaining their pace of gains. The 2022 hiking cycle, in contrast, represented an inflation surprise, which we believe is not the case today.

Strong earnings growth overwhelms other factors today. Still-strong economic and earnings growth means that we remain constructive on the outlook for equities and other risky assets going into year-end and beyond. The pause over the last couple of months was likely driven by a combination or rising bond yields, September seasonality and excessive investor optimism around mid-year.

However, earnings expectations for global equities remain very strong (especially in our preferred US and Asia ex-Japan regional markets). We believe these earnings remain sufficiently robust to outweigh the drag from higher bond yields. Therefore, we remain Overweight equities relative to bonds and cash, though we believe it is prudent to ensure the size of the equities Overweight is not excessive. Within Asia, we also trim China equities to a core holding, leaving Taiwan as our only regional Overweight, given the ongoing focus on AI investment-driven markets for now.

Bumps remain part of the journey. As we laid out in our mid-year outlook, the second half of this year is expected to be characterised by positive, but bumpy returns as a result of the factors laid out in the previous section, but also US mid-term election risks. The second half has thus far played out as expected given sufficient bumps, but still robust earnings growth. We would not be surprised by some volatility around US mid-term elections, but any further pullbacks or pauses would be opportunities to raise exposure given strong earnings growth is expected to ultimately dominate.

Prefer credit over duration

Corporate credit quality remains strong. Aggregate indicators of credit quality suggest credit quality remains strong across both Investment Grade and High Yield bonds across most regions. US IG bond yields face some upward pressure from significant hyperscaler supply, but supply-driven spread widening tends to be relatively short-lived in nature and should not signal significant credit quality worries.

Longer-maturity bonds remain at risk of further volatility. In contrast, we continue to be concerned that the volatility in very long maturity bonds could extend. Continued inflation and debt worries mean it is possible investors continue to demand a greater 'term premium' (ie. a premium for holding bonds with very long maturities). We continue to believe limiting bond duration to 3-7 years remains appropriate.

We continue to prefer corporate and EM over government bonds. This implies earning a higher yield by taking on more credit risk (via corporate or EM bonds) rather than adding more duration risk. Within bonds, we remain Overweight EM USD bonds and view IG and HY bonds as core holdings.

Modest USD weakness; gold to grind higher

USD bounce led by pricing of Fed hikes. However, we believe Fed hikes are now excessively priced. At the same time, we see room for non-US rates to rise further, especially in Japan where the undervalued JPY is likely to strengthen. This is why modest USD weakness is likely to resume.

Gold to continue grinding higher. While the move higher is likely to be characterised by two-steps-forward-one-step-back, we believe an ultimately softer USD and continued EM central bank demand should result in continued gains in the precious metal over both the next 3- and 12-month periods.

Foundation asset allocation models

The **Foundation** and **Foundation+** models are allocations that you can use as the starting point for building a diversified investment portfolio. The Foundation model showcases a set of allocations focusing on traditional asset classes that are accessible to most investors, while the Foundation+ model includes allocations to private assets that may be accessible to investors in some jurisdictions, but not others.

Fig. 3 **Foundation asset allocation for a balanced risk profile**

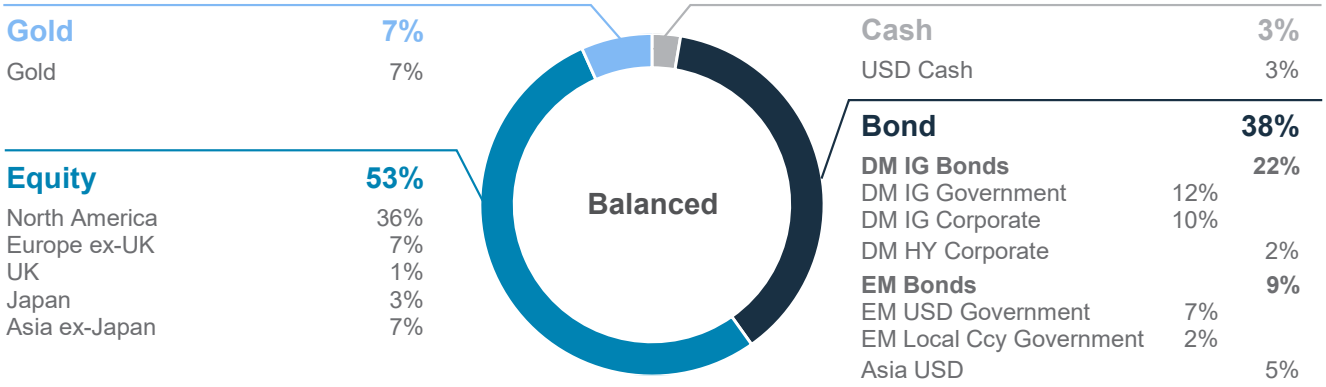


Fig. 4 **Foundation+ asset allocation for a balanced risk profile**

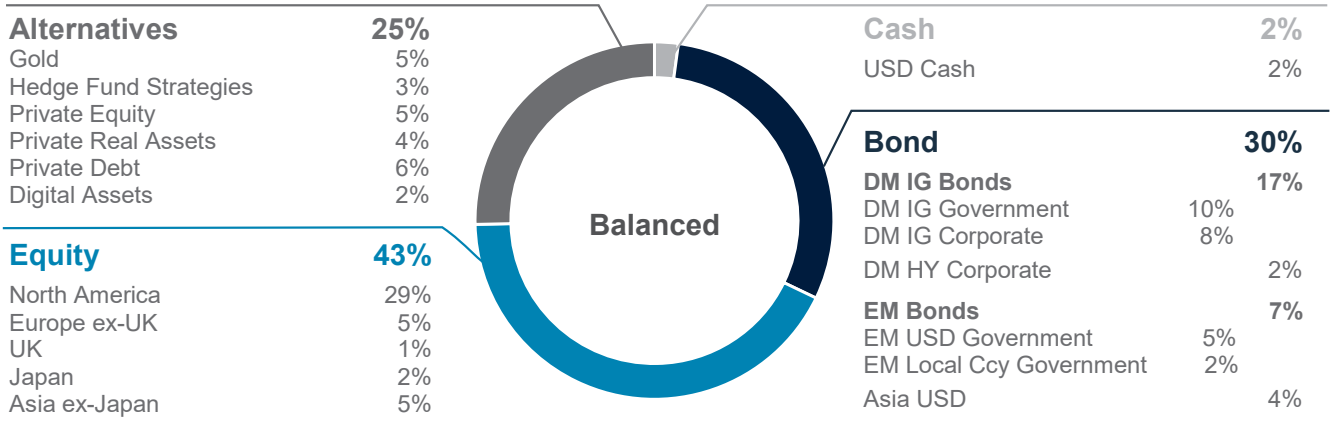
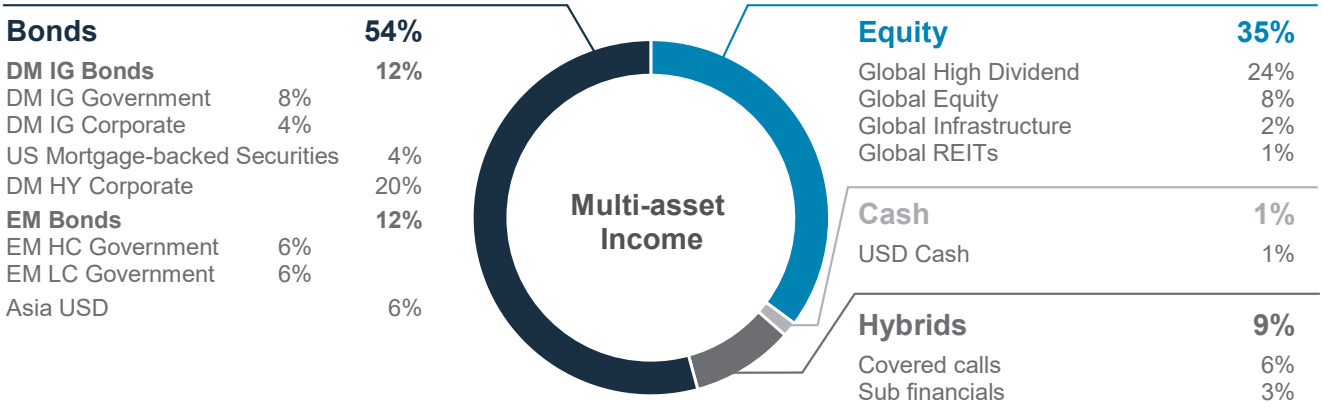


Fig. 5 **Multi-asset income allocation for a moderate risk profile**



Source: Standard Chartered

Notes: (i) Developed Market (DM) IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (ii) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

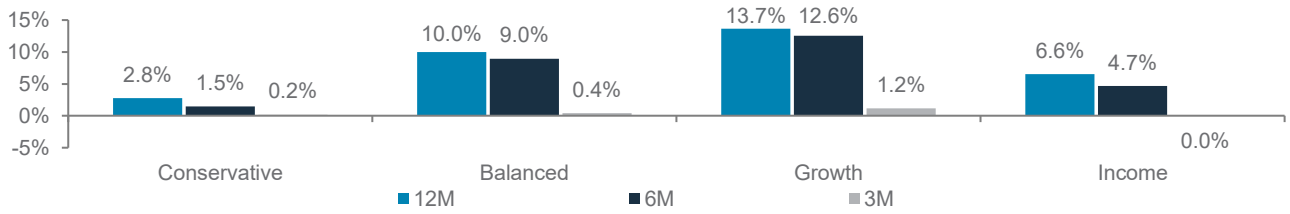
Foundation: Our tactical asset allocation

	View	Detail
USD cash	▼	+ Short-term safety || - Likely underperform vs. major asset classes
Bonds	◆	
DM IG Govt	▼	+ High credit quality, attractive yields || - High sensitivity to inflation, monetary policy
DM IG Corporate	◆	+ High credit quality, improving valuations || - Expected supply, especially in the US
DM HY Corporate	◆	+ Attractive yield, low rate sensitivity || - Sensitive to growth and credit quality risks
EM USD Govt	▲	+ Attractive yield, sensitive to US rates || - EM credit quality, US trade policy risks
EM Local Ccy Govt	◆	+ Attractive yield, benefit from USD weakness || - US trade policy risks, inflation and FX risks
Asia USD	◆	+ Moderate yield, low volatility || - Sensitive to China growth
Equities	▲	
North America	▲	+ Earnings growth, AI uptrend || - US policy uncertainty, rising bond yields, investor positioning
Europe ex-UK	◆	+ Undemanding valuations, German fiscal spending || - US trade policy risks, oil prices
UK	▼	+ Attractive valuations, dividend yield || - Stagflation risks, US trade policy risks
Japan	◆	+ Reasonable valuations, rising dividends/share buybacks || - JPY strength, US trade policy
Asia ex-Japan	▲	+ Earnings, policy support, Easing oil prices || - China growth concerns, US trade policy
Gold	▲	+ Portfolio hedge, central bank demand || - Resilient USD, elevated real yields

Legends: ▲ Overweight | ▼ Underweight | ◆ Core

Source: Standard Chartered Global Investment Committee; **Green** = Upgrade; **Red** = Downgrade

Fig. 6 **Performance of our Foundation Allocations***



Source: Bloomberg, Standard Chartered; *12-month performance data from 23 September 2025 to 23 September 2026, Six-month performance from 23 March 2026 to 23 September 2026, Three-month performance from 22 June 2026 to 23 September 2026

Fig. 7 **Opportunistic ideas performance**

Key call		Inception/open date	Close date	Absolute return
Bond – open	1-10Y TIPS Bonds	10-Apr-25		3.7%
	EU Bank AT1 FX-hedged	11-Dec-25		2.8%
	AAA-rated CLOs	11-Dec-25		3.9%
	AUD Corporate Credit	19-Mar-26		1.1%
	US Utilities Corporate Hybrids	19-Mar-26		0.3%
	US HY Bonds	18-Jun-26		-0.9%
Equity – open	Global High Dividend	18-Jun-26		4.1%
	US Communication Services	18-Jun-26		2.1%
	Japan Banks	18-Jun-26		5.3%
	MSCI Taiwan	9-Jul-26		10.1%
	Global Power & Electrification	30-Jul-26		-2.7%
	Euro Area Banks	27-Aug-26		0.1%
	Global Semiconductors	9-Sep-26		3.9%
Equity – closed	Hang Seng Tech	31-Oct-24	24-Sep-26	-1.2%
	MSCI World Equal Weight	21-May-26	9-Jul-26	2.2%

Source: Bloomberg, Standard Chartered. Performance as of 24 Sep 2026

Asset allocation: Walking the line - why this rate cycle isn't the one to fear, yet

Sylvain Huard
Head of Asset Allocation

Hannah Chew
Portfolio Strategist

Summary

With the Federal Reserve's latest decision to raise its benchmark rate by 25 basis points in September 2026, as well as the one to two additional hikes predicted before the end of the year, we are entering a new interest-rate hiking cycle. This marks an important shift for investors, but higher policy rates do not necessarily imply weaker portfolio returns. What matters is why rates are rising, how quickly they increase, and whether economic growth can absorb tighter financial conditions.

Our framework places the current environment in a healthy/high-yield regime. Growth remains resilient, credit spreads are tight and the yield curve is normalising. At the same time, the economy is approaching an important boundary. Inflation remains above target and the 10-year US government bond yield has reached 5%. A renewed rise in inflation or a sharper slowdown in activity could move markets into an unhealthy/high-yield regime.

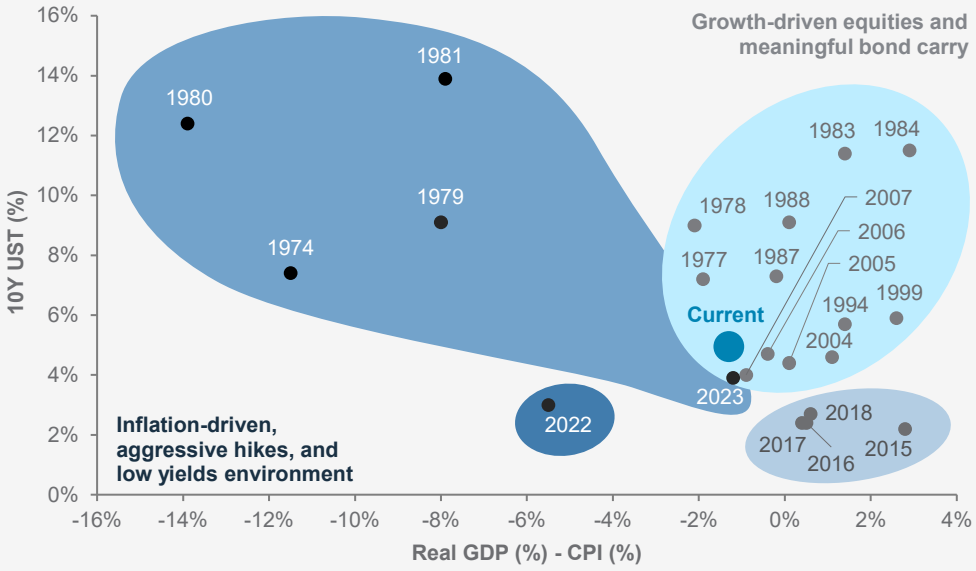
This argues for measured risk-taking rather than an aggressively defensive stance. We maintain a slight overweight in equities, hold a strong overweight in gold and a neutral allocation to fixed income. Diversification remains key near a regime boundary, and hedge funds can provide useful sources of return that are less dependent on the direction of traditional markets.

Not all interest-rate hiking cycles are the same

Traditional market analysis often treats rising rates as uniformly negative. History suggests a more nuanced conclusion.

We classify hiking cycles along two dimensions: whether the increase in rates is healthy or unhealthy, and whether it occurs in a high- or low-yield environment.

Fig. 8 **The different regimes of interest-rate hiking cycle**
Historical interest-rate hiking cycle defined by real growth and US 10-Year treasury yields



Source: Bloomberg, Standard Chartered; Since 1974

A healthy increase in rates is generally associated with firm demand, above-trend growth, resilient equities and stable credit markets. Central banks can move gradually and remain data-dependent because the economy is strong enough to withstand tighter financial conditions. An unhealthy increase is more likely to be driven by supply constraints or persistent inflationary pressures. Growth slows, credit spreads widen, equities de-rate and central banks are forced to react more aggressively.

The second dimension is the starting level of yields. In a high-yield environment, bonds offer meaningful income and a greater cushion against moderate price declines. In a low-yield environment, that protection is limited. This distinction matters because the same increase in yields can have very different portfolio consequences depending on the income available at the outset.

Fig. 9 Market signals across tightening cycles

Reference framework between healthy and unhealthy tightening regimes.

Signal	Healthy hike	Unhealthy hike
Inflation driver	Sticky but easing	Re-accelerating/ Spiking
GDP growth	Resilient	Slowing or below trend
Hike pace	Gradual (25bps)	Aggressive (>50bps+)
FED tone	Confident, data-dependent	Urgent, reactive
Yield curve	Steepening or flat	Inverting
Equity reaction	Resilient/positive	De-rating/negative
Credit spreads	Stable or tightening	Widening
Growth against Inflation	Positive	Negative
10Y UST	High bond carry	Low bond carry

Legend: Current environment

Source: Standard Chartered

Assessing today's market regime: Walking the fine line

We assess the current environment as healthy/high yield (see Fig. 9), although it is moving closer to the boundary with an unhealthy/high-yield regime. Growth remains resilient, with 2026 consensus GDP growth of around 2.1%, but it is below its longer-term trend. Inflation has eased, but remains above target, with headline CPI at 3.4% year-on-year in August 2026, leaving the Fed focused on the balance between persistent price pressures and a potential growth slowdown.

Market signals over the next 6-12 months remain broadly supportive. The 10-year US government bond yield is around 5%, providing the highest bond carry since 2007, while the yield curve is re-steepening after its prolonged inversion. Equities remain positive, supported by AI-related earnings and soft-landing expectations, and high-yield credit spreads are near post-global-financial-crisis lows.

Overall, resilient markets and benign credit conditions support the healthy classification. However, slower growth and above-target inflation leave little room for disappointment. Further disinflation would help sustain the current regime, while sticky inflation, a rapid rise in yields or a sharp growth slowdown could push it into unhealthy territory.

Higher rates, different outcomes

Historical returns vary significantly across the four regimes (see Fig. 10), but history shows that some hiking regimes have generated solid returns across major asset classes.

Unhealthy regimes are more complicated. Unhealthy/high-yield periods (top-left corner) have historically still generated positive average returns, but these averages can conceal considerable volatility and dispersion. The most damaging combination has been unhealthy/low yield (as in 2022), when traditional 60/40 portfolios declined by an average of 15.8%. The lesson is that the economic cause of higher rates, and the level of yields, matter more than the label "rate hike" alone.

Fig. 10 Historical returns by hiking-cycle regime

Average returns for equities, bonds, Gold and a 60% equity/40% bond portfolio during rate-hiking periods.

Hiking-cycle regime	60/40	Equity	Bonds	Gold
Healthy/High Yield	8.4%	11.3%	4.7%	5.8%
Healthy/Low Yield	4.2%	5.7%	1.8%	2.4%
Unhealthy/High Yield	8.7%	11.6%	4.3%	29.1%
Unhealthy/Low Yield	-15.8%	-17.7%	-13.0%	-0.3%
All Hike Years	**6.5%**	**8.8%**	**3.6%**	**9.1%**

Source: Bloomberg (equities and bond returns based on MSCI World and global aggregate benchmarks, Standard Chartered

Why equities can coexist with 5% bond yields

The absolute level of bond yields does not, by itself, determine equity performance. **Investors must also consider the direction, speed and underlying cause of the move.**

When yields rise gradually because growth and investment demand are strong, corporate earnings growth can offset pressure on valuation multiples. By contrast, a rapid increase driven by an inflation shock or disorderly repricing is more difficult for equities to absorb. Historically, several high-yield episodes combined positive real growth with resilient equity markets, while inflation-driven episodes, such as in 2022, were more challenging.

The current level of yields has also been substantially incorporated into market prices. Investors have had time to adjust discount rates, equity valuations and financing assumptions to a world in which the 10-year Treasury yield is around 5%. This does not eliminate risk, but it means high yields are no longer a wholly new shock. The greater threat would be a further rapid and unexpected increase in yields.

AI investment sits at the centre of today's market dynamic. Heavy spending on data centres, semiconductors, power generation and digital infrastructure is supporting earnings and helping equities remain resilient, despite elevated yields. At the same time, AI-related capital demand is competing with rising government borrowing and bond issuance. If productivity gains and earnings growth ultimately justify the investment, higher yields and stronger equities can coexist.

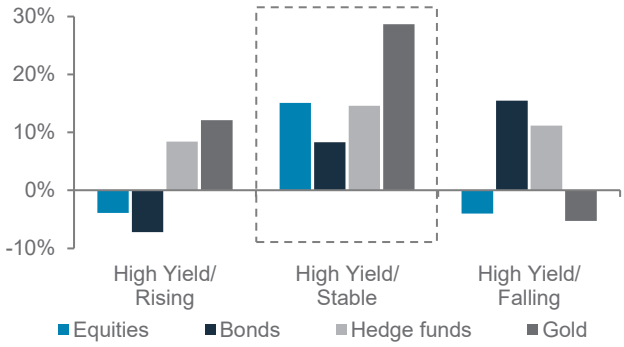
However, if bond supply outpaces available savings or AI returns disappoint, yields could rise more sharply and put pressure on valuations. The balance between productive investment demand and expanding sovereign debt supply remains a key market theme.

Translating the hiking-cycle regimes and yields level into portfolio positioning

Our positioning reflects a healthy/high-yield regime, while recognising we are close to the boundary with a less favourable environment. Historically, this regime has supported positive returns across equities, bonds, gold and 60/40 portfolios. However, performance has varied considerably depending on whether yields were rising, stable or falling (see Fig. 11), reinforcing the case for selective risk-taking and broad diversification.

Fig. 11 Asset average returns under different high-yield scenarios

Historical average performance of major asset classes across different path of bond yields.



Source: Bloomberg, Standard Chartered

We maintain a **slight overweight in equities**, focused on US AI-related stocks and Asia ex-Japan. Equities performed particularly well when high yields were stable, historically returning 15.1% on average, but struggled when yields rose. Our moderate overweight, therefore, allows participation in resilient growth and earnings while limiting exposure to a renewed rate shock.

We hold a **strong overweight in gold**, which performed well in both rising- and stable-yield environments and delivered the highest return of any asset when high yields were stable. **Our fixed-income allocation is neutral**. Although today's yields offer attractive income, bonds have historically been vulnerable when yields were rising and underperformed when yield were stable.

Diversification beyond a traditional 60/40 portfolio remains important at this inflection point. Hedge funds generated positive returns across all regimes - rising, stable and falling high-yield periods - making them a useful complement when the direction of rates and the path between healthy and unhealthy regimes is uncertain.



Macro overview – at a glance

Rajat Bhattacharya
Senior Investment Strategist

Key themes

Core scenario (soft landing, 45% probability): We have slightly reduced the probability of a soft landing from 50% by raising the odds of a 'no-landing'. The global economy has picked up steam this summer, powered by AI investments in the US and Asia. This is reflected in robust upgrades to corporate earnings estimates and PMIs. Fiscal easing in Germany and Japan is supporting growth. Meanwhile, inflation has picked up amid higher energy prices due to a resurgent Middle East conflict. As a result, the Fed turned hawkish, hiking rates for the first time since 2023. It was joined by the ECB and BoJ – the first time all three major central banks hiked rates in the same month. We expect the Fed to hike twice more, the ECB once more and the BoJ thrice more by June 2027. Nevertheless, disinflation should return by next year as energy and tariff effects fade, enabling the Fed and the ECB to cut rates by Q3 2027. Meanwhile, China is likely to accelerate fiscal spending to revive domestic growth.

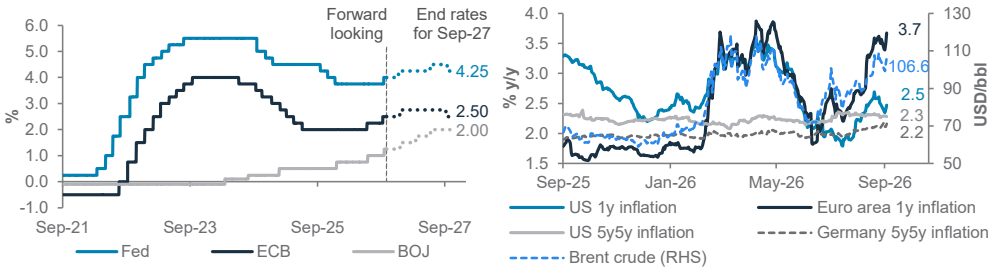
Upside risk (no landing, 30% probability): We raised the probability from 25% amid an acceleration in the AI-driven investment growth. If oil prices ease, US tax cuts, an AI-fuelled stock market boom and fiscal easing in Germany and Japan could boost "animal spirits" further. A global defence spending boom, led by the US and Europe, could also spur global growth.

Downside risk (25% probability): This tail risk scenario includes 15% chance of a stagflation unfolding if geopolitical conflicts worsen and oil stays above USD 120/bbl. We also assign a 10% chance to a recession, potentially caused by a more rapid pace of rate hikes to quell inflation, a stock market downturn negating the wealth effect, or a bond selloff due to fiscal concerns.

Key chart

We expect the Fed to hike rates twice more, the ECB to deliver another insurance hike, and the BoJ to hike once a quarter until June 2027 to counter near-term inflation pressures.

Fig. 12 More rate hikes until June 2027, before cuts in H2 2027 as inflation pressures fade
Our policy rate outlook*; oil price and US, Euro area, German near-term, long-term inflation



Source: Bloomberg, Standard Chartered; *dotted lines reflect our expected rates path over the next 12m

Policy rates watch

Fed turns hawkish to build credibility as oil reignites inflation; likely to hike twice more by June 2027. The US economy appears resilient, with consensus estimates for 2026 GDP clustering around 2.1% for both 2026 and 2027. The main engine is the AI investment boom and hyperscaler datacentre buildout, reinforced by easy financial conditions and healthy private-sector balance sheets. The robust outlook was reflected in August's PMI data, with both manufacturing and service sector confidence beating expectations.

The labour market has picked up this year, with average monthly payrolls of 80,000 vs. 10,000 in 2025. The unemployment rate at 4.1% suggests full employment, and the workweek lengthened in August. Offsetting vulnerabilities include a low savings rate, fading fiscal support, soft real personal spending and oil prices close to USD 100/bbl.

Inflation remains a challenge. Core PCE inflation has run above 3% every month since March, and the hawkish case rests on supercore inflation remaining around 3%, raising concerns about energy cost pass-through. Nevertheless, August's firm inflation print came from airfares, hotels and a record jump in wireless plans (which is idiosyncratic), while shelter cooled and core goods rose just 0.7% y/y. Core consumer inflation at 2.4% y/y is the lowest since 2021, and BEA methodology changes in end-September should mechanically shave 0.2-0.3pp off historical core PCE inflation.

Following the unanimous Fed vote to hike in September, and still elevated inflation, we pencil in one more rate hike this year, followed by another 25bps hike to 4.5% by June 2027. This pace is slower than market pricing of another c. 90bps of hikes in the next 12 months. However, we expect disinflation to resume next year as the impact of oil prices and tariffs fade. This should create space for the Fed to cut rates by Q3 2027.

ECB to hike once more: Euro area activity has proved more resilient than expected. The consensus 2026 growth estimate has been revised up to 0.9%, from 0.5% as recently as July, with ECB staff projections upgraded to 1.4% for 2027 and 1.5% for 2028. Manufacturing PMIs have improved to 52.7 regionally and services PMI to 53.0, helped by German fiscal delivery and falling household savings rates. A softer Q3 looks weather-driven, due to heatwaves and low Rhine water levels, though higher energy prices and real yields still cap demand.

Headline inflation hit a near three-year high of 3.3% y/y in August and may peak around 3.4-3.6% in Q4 2026 before easing through 2027. Underlying pressures look calmer: core inflation drifted down to 2.4%, services eased, and negotiated wage growth slowed to 2.4% y/y in Q2, down from a peak of 5.6% in 2024. Long-term inflation expectations remain anchored with no evidence of second-round effects. Inflation risks are two-sided – oil above USD 100/bbl and gas above EUR 70/MWh are fuelling near-term inflation, which in turn should hurt demand, driving inflation below 2% by H2 2027.

The ECB raised its deposit rate to 2.50% in September, the top of neutral estimates. We see scope for one more rate hike to 2.75% by year-end before a pause in H1 2027. As such pricing of 95bps more tightening toward an above-3% terminal rate appears too hawkish. We expect easing of energy-driven price pressures to allow for ECB rate cuts by Q3 2027.

China to boost fiscal spending to support growth. China is entering a stabilisation phase in which production is firming, but the recovery remains narrow. The official manufacturing PMI rose to 49.8 in August from 49.2, with new orders, export orders and production back in expansionary territory, while export growth accelerated to 25.0% y/y. Momentum, however, is concentrated in high-tech and export manufacturing: retail sales, fixed-asset investment and credit growth remain soft, and the property downturn has yet to bottom. Full-year 2026 growth should land near 4.5–4.6%, broadly in line with the official 4.5–5% target, as domestic demand stays weak.

Reflation is under way, but shallow and cost-driven rather than demand-led. Headline consumer inflation edged up to 0.8% y/y in August and producer inflation to 3.8%, lifted by higher commodity and energy prices and by official efforts to curb excessive price-cutting. Full-year inflation is expected around 0.8–1.0%, against roughly zero in 2025, with producer inflation swinging from −2.6% to about +2.5%. The persistent supply-demand imbalance should cap the reflation impulse.

Policy settings remain supportive, but with no rush to stimulate. Fiscal policy takes the primary role via faster spending and utilisation of bond proceeds, with broad fiscal spending potentially accelerating in H2 versus a sharp contraction in H1, and the augmented fiscal deficit widening modestly. Monetary policy plays a complementary role: a 25bps cut in bank reserve requirements is likely, while the policy rate should stay unchanged. Slow public financing raises the likelihood of further policy fine-tuning this autumn.

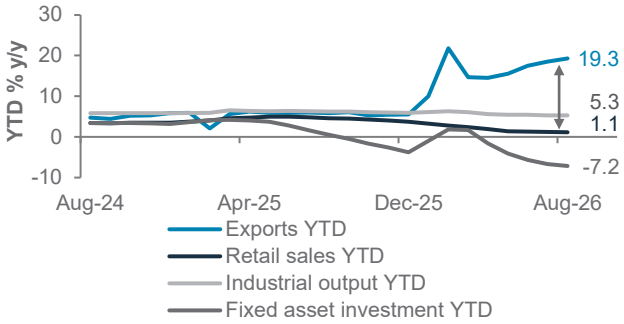
BoJ to hike once a quarter until Q2 2027. Japan's economy is proving more resilient than expected. The consensus 2026 growth estimate has been revised up over the past month to 0.8% from 0.6%. Exports rose 19% y/y in August, a twelfth consecutive y/y growth, while core machinery and machine tool orders indicate higher borrowing costs have yet to dent corporate investment appetite. Real wages climbed 2.4% y/y in July, the strongest since May 2021. The weak link is the household sector: spending continued to contract y/y, leaving an unusual two-speed economy in which external and corporate demand carry growth while domestic demand lags.

Underlying inflation sits close to the 2% target, with pressure building upstream rather than from demand. Energy and commodity prices have risen sharply and earlier yen weakness has amplified import costs, with producer inflation running well ahead of CPI. The 10-year breakeven inflation has risen close to May's record high of 2.3% amid growing risk of pass-through from producer to consumer prices.

Bank of Japan Governor Ueda, after raising rates by 25bps to 1.25% in September, alluded to rising inflation pressures, stating the policy environment has shifted to a "new phase". He added that the BoJ must now act to prevent inflation from overshooting, rather than simply trying to reach the 2% target. September's BoJ decision came in a 7-2 split vote, with two members nominated by Prime Minister Takaichi calling for a hold. However, Ueda's post-decision comments lead us to believe that the BoJ board will be comfortable with a 25bps rate hike every quarter until Q2 2027, taking the rate to 2%.

Fig. 13 China exports boom, domestic demand weak

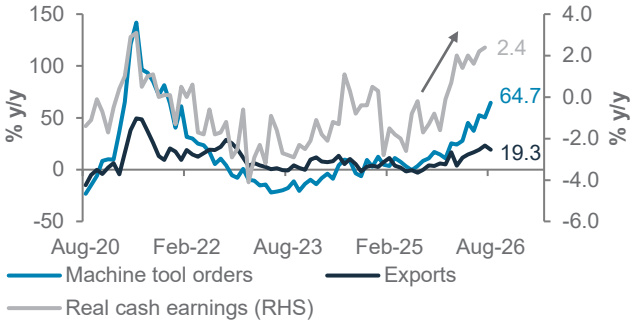
China's exports, retail sales, industrial output, fixed investment



Source: Bloomberg, Standard Chartered

Fig. 14 Japan's wages accelerating, while exports surge

Japan's real cash earnings, machine tool orders, exports



Fixed Income – at a glance

Jonathan Liang, CFA
CIO, Fixed Income & FX

Cedric Lam
Senior Investment Strategist

Ray Heung
Senior Investment Strategist

Anthony Naab, CFA
Investment Strategist

Our view

Foundation: Fixed income assets are a core holding (Neutral) in our portfolios. Within the asset class, we maintain an Overweight stance on EM USD government bonds and an Underweight stance on DM government bonds.

The Fed's decision to hike rates in the past week confirms our expectations of a central bank willing to establish its independence against political pressure. The Fed's moderately hawkish pivot is helping restore its inflation-fighting credentials. We expect Fed to hike twice, one by year-end and another hike in H1 2027 to bring the Fed funds rate to 4.5%. The price reaction in the US government bond yield curve leads us to believe the short-to-middle part of the curve has factored in most of the rate expectations. We now prefer to add positions in the 3-7-year bond maturity bucket. As oil price moderates in H2 2027, we see room for the Fed to contemplate rate cuts. That would also enable 10-year yields to come down, alongside the front end of the curve. Meanwhile, solid corporate fundamentals and supportive technicals should keep yield premiums tight, even if the scope for further compression is limited. In EM, we continue to favour EM USD over local currency (LCY) government bonds.

Opportunistic ideas: We are bullish on European bank additional tier-1 (AT1) bonds (contingent convertibles [CoCos[1]]; FX-hedged), US TIPS, AAA-rated CLOs, US utilities corporate hybrids, broad US HY and AUD corporate bonds.

Key charts

Fig. 15 **Rate forecasts and our view of bond classes**

Region	Horizon	2-year	10-year	30-year
US	Q4 2026	4.50 – 4.75%	5.00 – 5.25%	5.25 – 5.50%
	Q3 2027	4.00 – 4.25%	4.75 – 5.00%	5.50 – 5.75%
Euro area	Q4 2026	3.00 – 3.25%	3.25 – 3.50%	3.75 – 4.00%
	Q3 2027	2.75 – 3.00%	3.00 – 3.25%	3.50 – 3.75%
Japan	Q4 2026	1.75 – 2.00%	3.00 – 3.25%	4.00 – 4.25%
	Q3 2027	2.00 – 2.25%	3.00 – 3.25%	4.00 – 4.25%

Bond class	Our views
DM rates	▼
DM IG corps	◆
DM HY corps	◆
EM USD govt	▲
EM LCY govt	◆
Asia USD	◆

Legends: ▲ Most preferred/Overweight | ▼ Least preferred / Underweight | ◆ Core holding/Neutral allocation
Green / **Red** represents an upgrade / downgrade from the prior GMO
Source: Standard Chartered

DM rates – Underweight

We are Underweight DM government bonds. In the US, the Fed's policy pivot this month followed Chair Warsh's hawkish Jackson Hole speech and recent economic data prints, including a pick-up in job creation and inflation over the summer and a sharp rebound in oil prices due to the re-escalation of the Middle East conflict. Given the unanimous Fed decision to hike rates this week, we expect two more hikes by June 2027 on the back of robust growth amid strong AI investments and a balanced labour market, keeping inflation elevated.

Over the next few months, we expect the 2-, 10- and 30-year US government bond yields to remain rangebound, with the 10-year yield trading in the 5.00-5.25% range. The reasons for this include: 1) oil prices staying elevated and potentially rising further due to the fluid geopolitical situation in the Middle East; 2) AI capex plans showing no signs of slowing down, which continues to drive above-trend growth in the economy and AI-related heavy bond issuance. While short-covering trades could move bond yields lower temporarily as net-short positions in US government bond futures have reached extreme levels, we think such downshifts would be short-lived. By H2 2027, we expect oil prices to moderate and the inflationary effects from tariffs to fade, allowing the Fed to contemplate rate cuts. US 30-year yields, on the other hand, are expected to remain elevated as the US fiscal deficit remains substantial next year. In addition, we do not think the so-called 'Bessent put' - expanding purchases of long-dated bonds, while skewing new issuance towards shorter maturities - will be effective as this does not address the fundamental issues of rising debt levels. These factors are likely to keep the 'term premium' elevated.

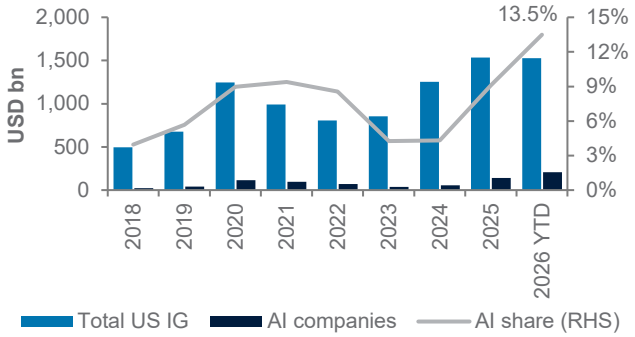
In the Euro area and Japan, the ECB and BoJ also hiked rates this month. It is the first time on record all three - Fed, ECB and BoJ - have hiked in the same month, as they respond primarily to a resurgence in energy-driven inflation amid tight job markets. BoJ is expected to continue hiking once every quarter till mid-2027 as we believe the bank is behind the curve and will need to speed up the pace of rate hikes.

DM corporates – Core holding

We maintain a Neutral allocation to both DM IG and DM HY corporate bonds, with a tactical bias to add exposure on episodic weakness, as carry continues to dominate total returns across developed market credit. Yield premiums have bounced but remain close to historical lows, while yields are still attractive, reinforcing a carry-led stance. This tight spread regime is anchored by robust issuer fundamentals, strong profitability, and resilient balance sheets, despite a visible moderation in rating upgrades over the past quarter.

Fig. 16 AI issuance challenges IG technical backdrop

AI issuance (total & share of total), US IG gross issuance

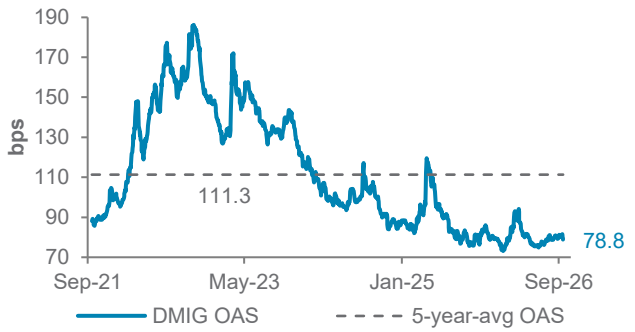


Source: Bloomberg, Standard Chartered

Technical supply dynamics are reshaping sector dispersion, particularly in the IG space, where heavy issuance related to AI continues to weigh on the long end of the curve. AI-driven supply is approaching USD 220bn for 2026 in US IG and accounting for an increasingly significant share of gross issuance and crowding out other long-dated maturity bonds. We maintain a preference for selectivity at the long end, favouring the front to belly of the curve (3-7 years maturity) where risk-adjusted carry remains most durable. Issuance-driven concessions in sectors with strong capital expenditure cycles (notably technology, capital goods, and basic industries) present opportunities for investors who can stomach near term volatility, especially when fund flows have remained robust: so far this year, high grade funds have seen cumulative inflows of ~8% of AUM.

Fig. 17 DM IG spreads have bounced lately, but remain near historical lows

Bloomberg Global Aggregate Corp Index, option-adjusted spread (OAS)

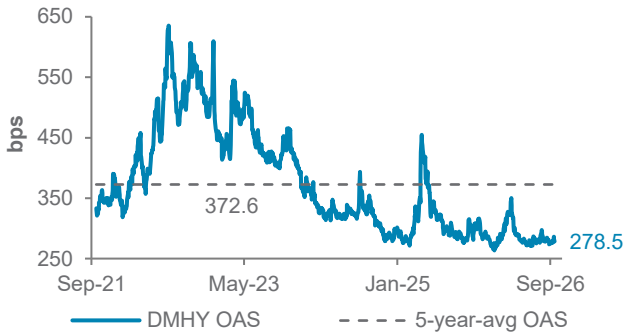


Source: Bloomberg, Standard Chartered

As an income proposition, DM HY continues to be well supported, with all-in yields in the mid-7% range and default rate still below trend for US HY in 2026. The shorter duration profile of HY, combined with its lower sensitivity to term premium and rate volatility, makes it an attractive sleeve in the current phase of the cycle. Despite experiencing net outflow YTD, HY demand has recovered from a net outflow position in the past 1-2 months, underscoring broad investor appetite for carry strategies even as spreads remain tight. We remain attentive to evolving rating migration trends and sector-specific supply pressures, particularly as upgrades slow and new issuance clusters around key themes. However, we continue to see HY bonds as core holding allocations driven by healthy issuer fundamentals and stable credit metrics.

Fig. 18 DM HY spreads are near historical lows as well

Bloomberg Global HY Aggregate Corporate Index, OAS



Source: Bloomberg, Standard Chartered

EM government bonds – Overweight USD, core holding for local currency (LCY) bonds

We retain an Overweight position in EM USD government bonds and retain EM LCY government bonds as a Core holding, reflecting a balanced perspective across both regional performance and currency dynamics. In EM USD sovereign debt, periods of spread widening have been brief and shallow, with attractive carry drawing sustained demand amid resilient global growth and stable external conditions. Issuance patterns remain front-loaded across many regions, reinforcing supportive technicals; relatively light investor positioning contributes to contained risk of unwinding and limits market impact during episodes of moderate outflow.

Regional nuances are increasingly notable. Latin America's sovereign debt has tended to outperform, supported by more proactive monetary policy responses and firmer external balances. In Asia, higher-rated issuers offer valuable buffer during bouts of global rate volatility, while select frontier exposures within Africa and EMEA remain more sensitive to liquidity shifts and changes in risk appetite. Index composition also shapes resilience: the EM USD benchmark is less exposed to oil price shocks as non-oil importers represent a large share of exposure compared to the LCY universe. These features are particularly important as spreads across EM USD sovereigns hover near historically tight levels, leaving limited room for error. We expect returns to be primarily driven by carry rather than further spread compression.

Fig. 19 EM government bonds offer a pick-up of 2.5% in yields over DM peers

Bloomberg EM USD Government Bond Index, yield to worst



Source: Bloomberg, Standard Chartered

EM LCY debt faces additional headwinds, especially as elevated US real yields and an appreciating USD dampen demand from foreign investors and reduce the comparative attractiveness of broad-duration strategies. However, real yields remain comparatively supportive in several markets, and current valuations signal ongoing selective opportunities, especially given the restrictive monetary policy stances prevalent across many EM economies. Accordingly, EM LCY bonds retain their Core holding status, with portfolio emphasis placed on country selection and measured duration exposure, reflecting the differentiated currency dynamics at play.

Key risks to both USD and LCY segments include the potential for Middle East conflict escalation and higher oil prices. Renewed hawkishness from the US Fed supporting further USD strength and weather-related disruptions - such as the effects of El Niño - could prolong inflation pressures and disrupt disinflation progress in vulnerable EM regions.

Asia USD bonds – Core holding

We retain a Neutral allocation to Asia USD bonds, an asset class that continues to reward investors with attractive nominal yields, favourable supply-demand technicals and robust credit fundamentals. Healthy corporate cash flows, low leverage and a high share of sovereign-linked issuers lend the segment a defensive quality relative to broader credit.

The resilience has been evident year to date. Asia USD bonds have outperformed, from a total return angle, both DM government and DM IG corporate bonds. We expect this relative strength to persist. The combination of carry and credit quality (more than 60% are sovereign and sovereign-related issues) anchors our conviction in the asset class even as we maintain a Neutral stance.

Bond opportunistic views

Bullish US HY bonds

We are opportunistically bullish on US HY bonds. We expect HY corporate earnings and cash flows to remain solid and leverage to remain stable. The asset's shorter-duration profile offers lower sensitivity to rate volatility, which is an attractive characteristic in an environment of elevated term premium.

Bullish US inflation-protected bonds (TIPS)

Real yields have surged to multi-decade highs, driven by elevated rate hike expectations. Inflation concerns remain as oil prices rebounded over the last month. We believe TIPS offer protection against near-term inflation uncertainties.

Bullish utility sector corporate hybrids

AI capex and related energy demand are likely to stay strong in the US, benefiting utilities. While utilities will also need to expand capex, we believe credit fundamentals will remain stable in 2026 as revenues grow. We prefer hybrids over senior bonds for yield enhancement and low non-call risk.

Bullish Australian dollar (AUD) corporate bonds

The threshold for further RBA rate hikes has risen, as higher energy prices weigh on the growth outlook and complicate the policy trade-off. The transmission channel matters too, where higher long-end yields would feed through to the property market, tightening financial conditions without the RBA having to act, casting further doubt on the case for additional hikes. Technicals still look balanced. The market absorbed the recent hyperscaler supply comfortably, with solid bid-to-cover ratios pointing to genuine underlying demand. Supply nevertheless remains a tail risk as the AUD bond market is comparably smaller than its USD peer, particularly at the long end of the curve, where duration appetite is much thinner and the term premium is most sensitive.

Bullish EU bank CoCos[1] (FX-hedged)

Europe bank fundamentals remain solid, underpinned by ample liquidity coverage, strong capital buffers and still-supportive asset quality. We expect this asset class to remain supported from still-strong demand for carry.

Bullish AAA-rated CLOs

Private credit spillover concerns are mounting amid deteriorating covenant protections in parts of the leveraged credit market. However, we believe high-quality collateralised loan obligations (CLOs) backed by solid asset portfolios and substantial credit enhancements underneath senior tranches should help dampen credit risk and volatility. We see a compelling case for floating-rate and shorter-duration alternatives as portfolio diversifiers amid elevated term premia.

[1] Contingent convertibles (CoCos) are complex financial instruments. Please refer to important disclosures on page 30.

Equity – at a glance

Sundeep Gantori, CFA, CAIA
Chief Investment Officer, Equities

Fook Hien Yap
Senior Investment Strategist

Cindy Lam, CFA
Senior Investment Strategist

Our view

We are Overweight global equities as we expect solid earnings growth to drive the market higher. The wave of central bank rate hikes in September represent a near-term headwind to equity valuations, but these have been largely priced into markets by the rise in bond yields year-to-date. We expect earnings growth to offset valuation headwinds. We are **Overweight US and AxJ equities**, where AI adoption continues to drive growth in the technology and adjacent sectors.

Within AxJ, we remain Overweight Taiwan, with good visibility on AI-driven growth. We lower China to a Core holding, as the valuation re-rating potential appears delayed**.** Within AxJ, we maintain core allocations to South Korea and India, and we are Underweight on ASEAN equities.

We maintain a **Core allocation to Japan**, as nominal growth supports broad earnings revision, and a **Core allocation to Europe ex-UK**, which is enjoying an earnings inflexion. We remain **Underweight UK** equities, which lacks exposure to growth sectors.

Key chart

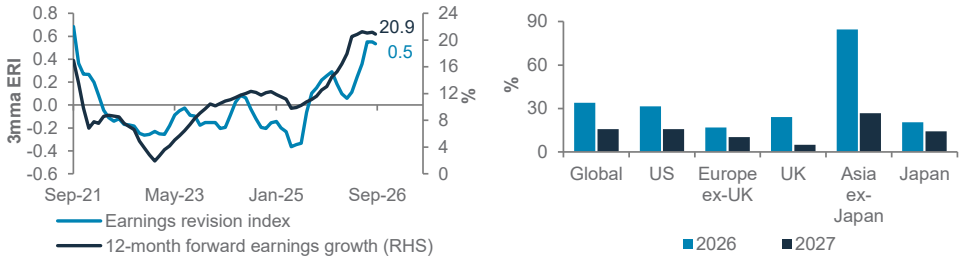
Earnings growth is driving gains in equities.

Index	12m forecast	Upside to target^
S&P500	8,400	9%
Nasdaq 100	34,000	12%
Euro Stoxx 50	6,650	6%
FTSE 100	11,100	4%
Hang Seng	26,600	7%
Nifty 50	24,600	7%
Nikkei 225	69,700	6%

^Based on 24-Sep closing levels

Fig. 20 Broad-based earnings strength is supporting global equities. Our Overweight views on AxJ and US equities are supported by robust earnings growth.

Earnings revision index (ERI*) and 12m forward earnings growth for MSCI AC World index. Consensus 2026 and 2027 earnings growth estimates for MSCI equity regional indices.



Source: FactSet, Bloomberg, Standard Chartered. *ERI=number of upgrades/number of downgrades-1

	The bullish case	The bearish case
US equities ▽ ◇ ▲	+ Earnings growth exceptional post Q2 + AI capex expanding beyond tech + Relatively safe from global energy shock	– Two-sided AI tail risk; AI winter/disruption – Valuation de-rating risk from Fed rate hikes – Rising yields signal rotation out of US assets
AxJ equities ▽ ◇ ▲	+ Strongest EPS growth from AI supercycle + PE valuation is lowest among key regions + Cleaner positioning as Korea deleverages	– Extreme concentration risks in index – Rising oil prices hurt Asian oil importers – Trade tensions and geopolitical risks
Within AxJ	Taiwan ▲ South Korea ◆ China ◆ India ◆ ASEAN ▼	
Japan equities ▽ ◆ △	+ Investment boom in strategic industries + EPS growth boosted by nominal growth + Corporate reforms still delivering value	– Hawkish BoJ pivot with more hikes expected – Long-end yields at multi-decade highs – Sensitive to energy prices as net importer
Europe ex-UK equities ▽ ◆ △	+ Earnings inflexion after 3 stagnant years + Fiscal expansion lifts domestic demand + Higher rates favour banks and value	– Energy shocks are inflation headwinds – Risk of ECB rate hikes could tighten liquidity – Muted earnings growth trails major regions
UK equities ▼ ◇ △	+ Rotation into defensive as tensions climb + Deep valuation discount; attractive yield + Outperforms when oil rallies and rates rise	– Highest long-end yields in developed world – Defensive composition lags in a growth rally – Muted earnings growth with low AI exposure

Preference order

Legends: ▲ Overweight | ▼ Underweight | ◆ Core **Green** = Upgrade; **Red** = Downgrade

Source: Standard Chartered Global Investment Committee

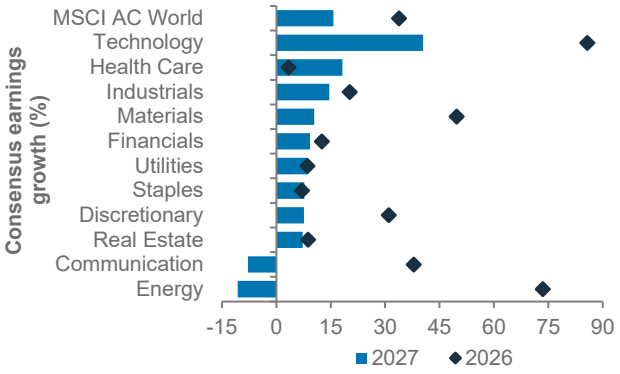
Expansion at a solid pace

With economic activity expanding at a solid pace, we expect earnings growth to fundamentally drive global equities higher. Heading into 2027, **rising AI adoption continues to drive strong growth** in the technology sector. Recent debates about regulating the pace of model developments could influence the mix of AI spending, with differing impacts on various parts of the AI value chain. However, rising adoption and growth in AI use cases should support massive growth in capex, benefitting the semiconductor industry, cloud service providers and internet platforms. The capex benefits also spillover to other industries providing the power infrastructure, materials and financing of the investments. The risks are a slowdown in AI capex or net job losses from AI disruption, but we do not see these having a significant impact yet.

Rate hikes from central banks represent a headwind for equity valuations, although this has been **largely priced in** by bond markets, given the rise in yields we have seen this year. Further rate hikes are being priced by the market. However, we expect these headwinds to be offset by solid earnings growth in global equities: at 34% in 2026 and 16% in 2027.

Fig. 21 Global equities continue to be supported by strong earnings growth, led by the technology sector

Earnings growth by sectors for MSCI AC World index



Source: Company reports, Standard Chartered

US equities – Overweight

US equity valuations have softened this year as strong earnings growth have outpaced the rise in the market. The 12m forward P/E of around 20x remains at a premium to other markets but justified, in our view, by the high returns on equity, differences in sector composition and superior growth outlook. In the run-up to US mid-term elections in November, we would not be surprised to see higher volatility, though we would use any undue corrections as opportunities to add exposure.

AxJ equities – Overweight

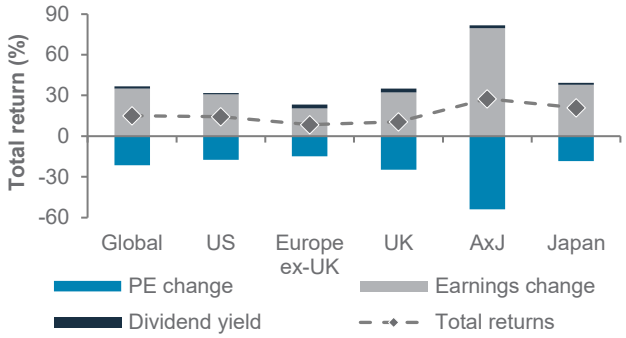
AxJ enjoys the strongest earnings growth among major markets, as its technology sector remains a key beneficiary of the AI capex cycle. AxJ also has the lowest P/E valuation, given the earnings surge has not yet been reflected in the market. Within AxJ, we are **Overweight Taiwan**, which benefits from clear visibility on AI-driven growth and dominance in manufacturing advanced AI chips.

We lower China to a Core holding as the valuation re-rating potential now appears delayed. Share placements for AI spending will likely continue, diluting earnings. Regulatory concerns still linger from US restrictions on AI chips and distillation accusations, even as the Trump-Xi summit signals a mutual desire for steady ties. Looming offshore trust taxes may lead to further sell down pressures, while domestic demand remains weak. However, valuations remain inexpensive with rapid tech innovation and AI-localisation investments. Policy stimulus could provide upside.

South Korea equities remain a Core holding. We are positive on the long-term agreements giving greater earnings visibility on memory chips. Positioning is also cleaner, with reduced foreign investor exposure and declining leveraged ETFs. **India remains a Core holding** amid positive earnings revision and strong domestic demand, alongside macro headwinds from RBI rate hikes. **We remain Underweight on ASEAN**, as oil shocks and a supported USD could weigh on the region, although Singapore offers defensive growth.

Fig. 22 Global equity valuations have declined this year, with market gains led by earnings growth

Composition of returns YTD for regional MSCI equity indices



Source: FactSet, Standard Chartered. Min-Max over last 10 years

Japan equities – Core allocation

Rising nominal economic growth is supporting solid broad-based earnings revisions, with rising rates supportive of bank earnings. The fiscal support for strategic industries is also pro-growth, offsetting energy shocks.

Europe ex-UK equities – Core allocation

Europe ex-UK is seeing an earnings inflection after three stagnant years, with rising rates supportive of banks' earnings. Fiscal expansion is benefitting domestic demand and the industrial sector, although earnings growth in the region still lags that of the US and AxJ.

UK equities – Underweight

The UK lacks exposure to growth sectors, with relatively muted earnings growth. We expect this to weigh on the UK, making it lag the performance of other markets.

Equity opportunistic views

Robin Xie, CFA
Senior Investment Strategist

Ryan Goh
Investment Strategist

Jason Wong
Senior Equity Analyst

Add Global Semiconductors, remove HSTECH

We initiated an Opportunistic Idea on Global Semiconductors on 9 Sept 2026. We expect sustained AI investments and rising AI adoption to support earnings growth, with demand widening beyond processors to memory, networking, and advanced manufacturing equipment. Valuations have also eased since the middle of the year.

We remove Hang Seng Technology (31 Oct 2024 to 24 Sep 2026: -1.2%) amid mixed earnings trends, while AI monetisation has yet to keep pace with rising investments. Widening US-China tech restrictions adds to the uncertainty, and we see better risk-adjusted opportunities elsewhere.

Fig. 23 **Opportunistic Ideas**

Region	Idea
Global	Global Semiconductors*
	Global Power & Electrification
	Global High Dividend
US	US Communication Services
Europe	Euro Area Banks
Asia	Japan Banks
	MSCI Taiwan

Source: Standard Chartered. * New idea

Ongoing Opportunistic Ideas

Euro area banks: A higher-for-longer rates backdrop should extend the earnings upcycle, with further ECB tightening expected. Corporate loan demand is showing recovery, while non-interest income is growing. Strong capital generation supports higher dividends and continued share buybacks.

Global Power & Electrification: Rising AI and data centre power demand should drive a multi-year grid and electrification investment cycle. Power availability and grid capacity are emerging bottlenecks to the AI infra buildout. Addressing these constraints requires capex and time, which supports strong earnings visibility for grid equipment makers.

Japan Banks: BoJ policy normalisation drives net interest margin upside, while Japan's reflation cycle supports nominal loan demand, corporate capex and wealth activity. Governance reform is a re-rating driver independent of the rate cycle. This includes recycling legacy holdings towards growth, buybacks and dividends.

MSCI Taiwan: Taiwan's foundry leadership makes it a critical supplier to global tech firms, while its broadening AI hardware supply chain is driving strong revenue growth.

Global High Dividend payers: Provides a higher-income equity allocation with historically lower volatility than the MSCI ACWI and modest downside cushioning on balance.

US Communication Services: We remain constructive and expect further upward earnings revisions, driven by improving digital ad-spending and AI monetisation.

Sector views: Continue to broaden & diversify

We upgrade US Materials to Overweight as robust capex drives demand for industrial metals and construction materials, while we remain bullish on gold. US Technology and Communication Services remain the primary growth engines, supported by structural AI tailwinds. We remain Overweight in Financials across the US, Europe ex-UK, and Japan, underpinned by earnings stability and elevated rates supporting interest income. This is further supported by a US capital markets recovery and European balance-sheet strength. We remain Overweight in Europe ex-UK Industrials, reflecting EU fiscal stimulus and Germany's infrastructure acceleration legislation.

In China, we broaden our Overweight exposure by upgrading three sectors: Materials (benefiting from structurally elevated commodity prices), Healthcare (biotech innovation and a robust pipeline sustaining growth), and Financials (easing margin pressure, fee recovery, and capital market reform). Our existing Overweight positions in Technology and Communication Services maintain exposure to China's AI build-out, with fiscal deployment into high-tech infrastructure serving as a near-term catalyst. On the other hand, we downgrade Utilities to Underweight on capped margins and retain our Underweight views on Real Estate and Consumer Staples.

Fig. 24 **Our sector views**

Top preferred Global sectors	China sectors
	Technology
US technology	Financials ▲
US communication services	Communication services
	Materials ▲
US financials	Healthcare ▲
US materials ▲	Energy
	Industrials
Europe ex-UK financials	Discretionary
Europe ex-UK industrials	Utilities ▼
	Staples
Japan financials	Real estate

Legends: Overweight | Core | Underweight
▲ Upgrade from last month | ▼ Downgrade from last month
Source: Standard Chartered

Gold, crude oil – at a glance

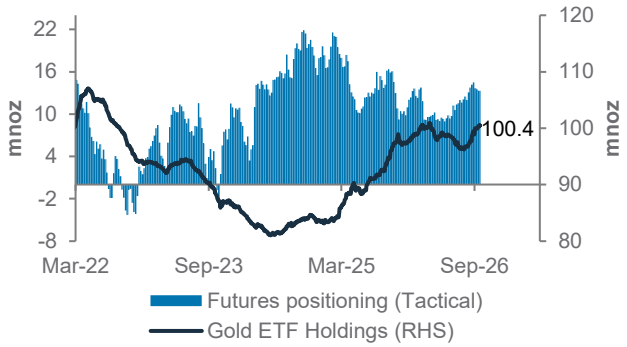
Anthony Naab, CFA
Investment Strategist

Our view

- We maintain our Overweight on gold, and our 3 - and 12-month price targets at **USD 4,750/oz** and **5,000/oz**, respectively.
- We raise our 3-month West Texas Intermediate (WTI) oil forecast to **USD 100/bbl** and 12-month target to **USD 80/bbl**.

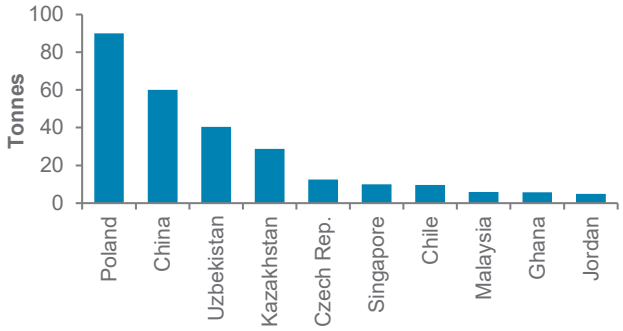
Key charts

Fig. 25 **Futures positioning in gold eased on Fed repricing while longer-term ETF holders stayed put**
Gold net managed money positions vs ETF holdings



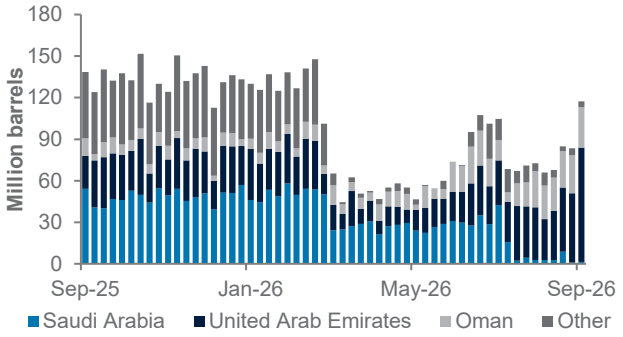
Source: Bloomberg, Standard Chartered

Fig. 26 **Central bank gold buying has slowed from recent years, but more countries are participating**
Top 10 central bank gold buyers, 2026 year-to-date



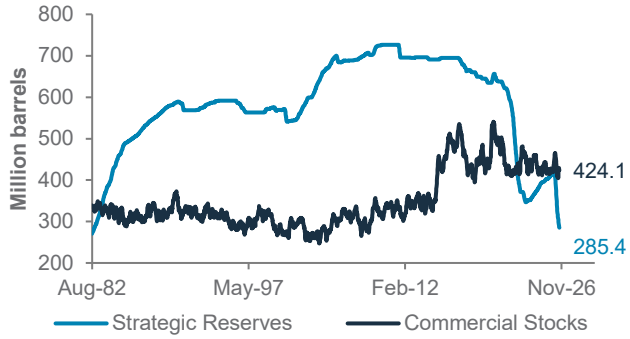
Source: World Gold Council, Standard Chartered

Fig. 27 **Other Gulf oil producers have offset the loss of Saudi exports**
Middle East crude exports, million barrels per week



Source: Bloomberg, Standard Chartered

Fig. 28 **US strategic oil reserves remain near multi-decade lows while commercial stocks are healthy**
US commercial stocks vs Strategic Petroleum Reserve, mb



Source: EIA, Standard Chartered

Gold outlook: Gold has remained resilient despite a more hawkish Fed and higher real yields, suggesting much of the tightening is already reflected in prices. With markets discounting an aggressive Fed path, we see an increasingly asymmetric risk-reward: limited downside risk from further rate repricing, but meaningful upside should Fed rate expectations shift towards being less restrictive. Official-sector demand has slowed from recent years but has become broader based, while investor positioning remains well below levels seen at the start of the 2022 hiking cycle.

Oil outlook: Oil prices have risen sharply as recent attacks cast greater uncertainty over Saudi exports, even as Gulf crude flows overall remain resilient. Other regional producers have helped sustain exports, containing the immediate supply impact. However, adequate US commercial crude stocks mask thinner buffers elsewhere, with strategic reserves and fuel inventories low. This leaves the market more vulnerable to a prolonged disruption, supporting a higher geopolitical risk premium and an upward revision to our outlook.

FX – at a glance

Jonathan Liang, CFA
CIO, Fixed Income & FX

Vincent Tan
Senior Investment Strategist

Iris Yuen
Investment Strategist

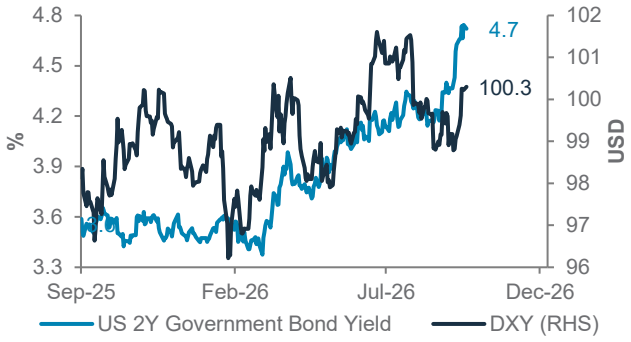
USD view

Further Fed tightening supports the USD near term. We expect the USD to remain supported, with our 3-month DXY forecast at 100.2. Resilient US payrolls for August alongside sticky energy and IT price-driven inflation reinforce the Fed's focus on containing inflation. Following its 25bp hike to 3.75–4.00%, we expect another hike by end-2026 and potentially another one in early H1 2027. Further tightening should keep US front-end yields elevated and support the USD. However, money markets already price a more aggressive Fed hiking path than our expectations, limiting the scope for further USD gains and leaving the USD vulnerable if incoming data weaken the case for additional hikes.

Fading inflation and narrowing rate advantage point to a softer USD in the medium term. We expect the USD index (DXY) to decline gradually towards 98 over 12 months. Inflation pressures are expected to moderate as the impact of oil prices and tariffs fade, reducing the need for continued Fed tightening. We forecast that the Fed funds rate may peak in H1 2027 in the current mini-rate hike cycle and then gradually decline thereafter as inflation moves closer towards target, supporting our DXY call. Further ECB and BoJ tightening should also progressively narrow the USD's relative rate advantage, supporting gradual USD moderation. Resilient US growth and elevated government bond yields should, however, limit the pace of depreciation.

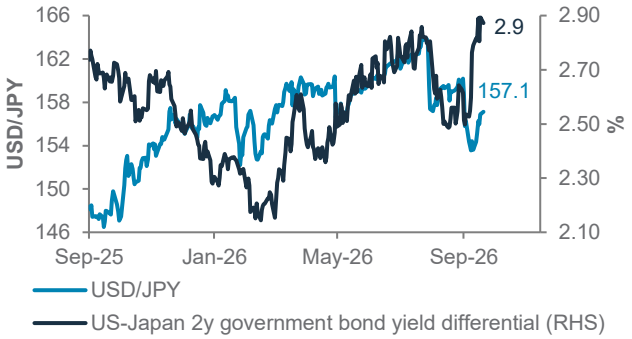
Key charts

Fig. 29 **Higher US front-end yields support near-term USD strength**
USD Index (DXY) and US 2-year government bond yield



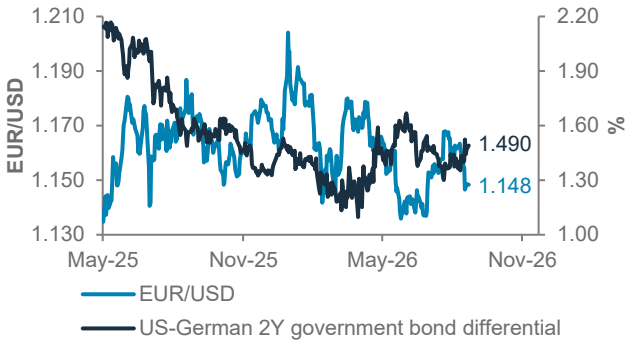
Source: Bloomberg, Standard Chartered

Fig. 30 **Wide yield differentials support USD/JPY, but BOJ policy normalisation should narrow the gap**
USD/JPY and US-Japan 2-year government bond yield differentials



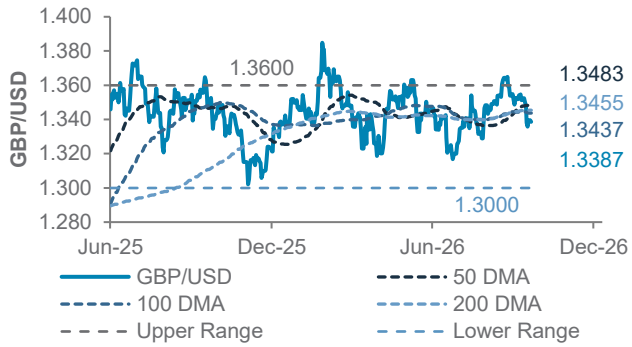
Source: Bloomberg, Standard Chartered

Fig. 31 **Wider US-German rate gap caps EUR upside**
EUR and US-German 2-year government bond yield differential



Source: Bloomberg, Standard Chartered

Fig. 32 **GBP/USD is expected to trade within the 1.30-1.36 range, with downside risk**
GBP/USD



Source: Bloomberg, Standard Chartered

Fig. 33 **Summary of G7 and select Asian FX forecasts and drivers**

Currency	Spot*	3m	12m	Rationale
EUR/USD	1.1380	1.15	1.18	**Near-term EUR weakness; constructive medium term.** The ECB raised its deposit rate 25bps to 2.50% in September. Potential ECB tightening should narrow the US-Euro area rate differential over time, supporting EUR over 12 months.
GBP/USD	1.3219	1.33	1.35	**Rangebound with near term downside risk:** UK inflation rose to 3.1% y/y, keeping BoE tightening risk alive, but softer labour conditions should limit the extent of tightening. Fed-BoE policy divergence may constrain GBP near term, while an expected peak in US rates by mid-2027 should allow a modest recovery over the medium term. The Autum Budget in October could increase volatility.
USD/JPY	158.86	157	153	**Constructive JPY.** The BoJ's September 25bp hike to 1.25% reinforces policy normalisation. The still wide US-Japan yield differential may limit near-term JPY gains, but further BoJ tightening should gradually narrow the gap and support JPY over the medium term towards our target of 153.
AUD/USD	0.7012	0.73	0.74	**Near-term AUD weakness; constructive medium term:** Australia's Q2 GDP grew 0.4% q/q, reinforcing domestic resilience. A relatively restrictive RBA stance supports AUD, while eventual narrowing in relative rate differentials should improve the medium-term outlook.
NZD/USD	0.5662	0.56	0.57	**Rangebound:** The RBNZ raised rates 25bps to 2.75%, while New Zealand's Q2 GDP grew 0.2% q/q. Improving growth provides support, but an uneven recovery and near-term USD strength should limit NZD gains.
USD/CAD	1.4138	1.39	1.37	**Near-term CAD weakness; modest medium-term recovery:** Canada employment fell 41,700 in August vs. a 15,000 expected rise, while the BoC held rates at 2.25%. Softer labour conditions and Fed-BoC divergence may constrain CAD near term.
USD/CHF	0.8278	0.82	0.79	**Near-term CHF weakness; medium-term CHF recovery:** Swiss inflation surprised higher at 0.8% y/y, but the wide Fed-SNB rate differential should continue to favour USD near term. As Fed tightening peaks and the US rate advantage narrows, CHF should gradually recover over 12 months.
USD/CNH	6.7159	6.70	6.67	**Gradual CNH appreciation:** China's industrial output in August rose 5.2% y/y, beating estimates, but retail sales growth slowed to 0.4% on weak domestic demand. Production resilience and PBoC currency support favour modest CNH appreciation, while soft consumption and an easing policy bias should limit the pace of gains.
USD/SGD	1.2794	1.28	1.26	**Rangebound near term; constructive SGD medium term:** Further Fed tightening and elevated US yields may limit SGD appreciation near term. Resilient fundamentals and MAS's exchange-rate policy should support gradual SGD appreciation as US rate support fades.
USD/INR	95.96	–	98	**Modestly bearish INR:** India's crude oil imports rose 26% y/y in August, and a USD 77bn AI import deficit are both adding to structural import pressures. Higher-for-longer US rates remain a headwind, while capital inflows and RBI intervention should smooth out near-term volatility and support a gradual INR depreciation towards 98.
USD/MYR	4.0865	–	4.00	**Modestly bullish MYR:** Resilient domestic demand, strong exports and corporate FX conversion support MYR; external uncertainty should keep appreciation gradual.
USD/KRW	1,368.9	–	1,540	**Bearish KRW:** Recent KRW-supportive corporate USD selling is fading, while reduced National Pension Service's FX hedging and prospect of USD 350bn US investment package by the South Korean national investment committee could increase USD demand. Higher US rates add a headwind, supporting KRW depreciation over 12 months.

Source: Bloomberg, Standard Chartered
*As of 24 September 2026 SGT close price

Quant perspective: Reducing Equity Overweight as Valuation Weakened

Francis Lim
Senior Quantitative Strategist

Maggie, Au Yeung
Quantitative Analyst

Summary

Our stock-bond model (3-6 months) reduced its Overweight allocation to global equities to +1 from +3 (maximum +5) in September. The downgrade was driven primarily by a weaker valuation signal as valuation score fell to -2 for both Developed Market and Asian equities. Despite some moderation, fundamentals remain strongly supportive of equities. Positive factors include resilient net earnings upgrades, a positive economic surprise index, and PMI new orders remaining above 50, signalling continued expansion in industrial activity. Market technicals weakened but continued to support equities overall. Our market breadth indicator shows that 72% of equity markets remain above their 200-day moving averages. Stock net advances are positive and not at levels that would typically signal an imminent market reversal. The stock-bond model continues to outperform strongly, generating 4.2% alpha YTD relative to the 60/40 equity-bond benchmark.

Our 1–3 month equity market regime models continue to signal low bear market risk, with probabilities of just 0.7% for S&P 500 and 5.0% for MSCI AC World indices. The low readings continued to be driven by subdued option-market implied volatility. At 14 – 15%, the VIX and market cap-weighted one-month implied volatility measures for Europe and US remain comfortably below the 20% threshold at which bear market risk tends to rise sharply. While momentum indicators have softened, they point to a typical market consolidation rather than signs of meaningful market stress.

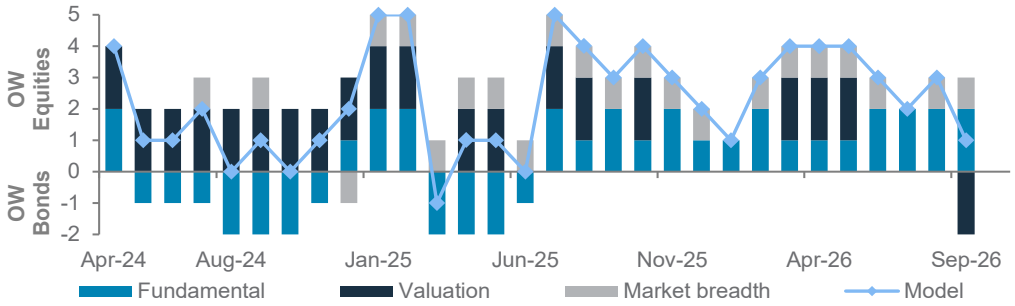
Our positioning indicators are not signalling any reversal risk. Previous long positioning in DXY has fully unwound and our market diversity indicator for MSCI Singapore has also normalized after the index corrected from its September peak.

Key chart

Our stock-bond model reduced its Overweight equity position as valuation weakened.

Fig. 34 Breakdown of our stock-bond rotation model's scores

Our model reduced equity Overweight to 8% from 24% as the model score fell to +1

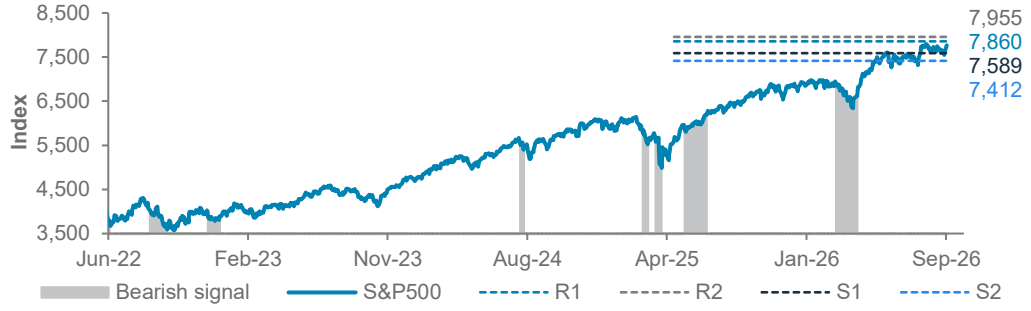


Source: Bloomberg, Standard Chartered; 25-September-2026

VIX has fallen to 15.6%, comfortably below the 20% threshold at which bear market risk tends to rise sharply. Softer market momentum remains consistent with consolidation rather than meaningful market stress.

Fig. 35 Our technical model remains bullish on the S&P500

S&P500 Index; model's bearish signal; technical support and resistance levels



Source: Bloomberg, Standard Chartered; 25-September-2026

Fig. 36 **Long- and short-term quantitative models remain bullish on risk assets**

Long-term models below have a typical time horizon of 3-6 months, while short-term models have a 1-3-month horizon

Long-term	Stock or bond	US recession model
Current view	**Reduce equity Overweight**	**20% probability within the next 6 months**
What factors is this view based on?	• **Fundamental:** +2. 3-month change in PMI new orders indicate a slower pace in the expansion of industrial activity. All other factors such as net earnings upgrades, economic surprise index and risk sentiment remain positive. • **Valuation:** -2. Both DM and Asian equities are expensive as their valuation scores exceeded 1 standard deviation of historical average. • **Technical:** +1. Net-advances in global stocks are positive but not extreme. Market breadth declined as equity markets above their 200-day moving averages fell from 85% to 72%, but it remains above the model's 60% threshold.	**Estimated probability hovers around 20 – 21%** • Conference Board consumer confidence remains weak at -8.6% y/y. • PMI new orders-to-inventory ratio is at 1.1x, below its historical average of 1.2x. • Conference Board leading indicators contracted by -1.1% y/y. • Fed funds rate-to-natural rate ratio is still high at 1.6x, reflecting a restrictive monetary policy compared to historical average of 1.3x.
Key model factors	• Economic activity, macro risk and surprise indices, corporate earnings, forward P/E ratio and technical factors.	• Conference Board leading indicator, Consumer Confidence Index, ISM New Orders and Fed funds rate.
How does it work?	• A monthly scorecard of -5 to 5 based on fundamentals, valuations and market breadth factors to indicate the relative preference for bonds and equities. A positive score favours equities and vice versa.	• A probability model based on regression. Long-term statistical tests are conducted to identify the four key economic factors above.

Short-term	Technical analysis	Investor positioning
Current views	**Bullish S&P 500 & MSCI AC World indices**	**None flagged**
What factors is this view based on?	• **Bullish S&P500 and MSCI AC World.** The probabilities of bear market sit at just 0.7% and 5.0%, respectively, driven by subdued options-market implied volatility. Momentum across both indices have weakened but they point to a typical market consolidation rather than signs of meaningful market stress.	• **Previous long positioning in the USD index (DXY) has fully unwound** after DXY fell steeply form its peak in late July. The renewed strength in DXY since the Fed's 16 Sept rate hike has started from neutral positioning. • **Market diversity indicator for MSCI Singapore** has normalised after the index corrected from its September peak.
Key model factors	• **Market factors:** Momentum, volatility, interest rate differentials, relative returns, inflation swap rates, economic surprises, etc.	• **Price action:** Overbought conditions occur when prices rise sharply; oversold conditions happen when prices fall rapidly in a short time.
How does it work?	• Scanning through 7,000+ factors, the framework uses Machine Learning to forecast market regimes or future trends based on identified market drivers.	• A market indicator based on fractal analysis that provides a timely indication of investor positioning based on price actions.

Source: Standard Chartered

Foundation: Asset allocation summary

Summary	View	FOUNDATION Moderate	Balanced	Aggressive
Cash	▼	3	3	3
Fixed Income	◆	57	38	18
Equity	▲	33	53	73
Gold	▲	7	7	7
Asset class				
USD Cash	▼	3	3	3
DM IG Bonds		35	22	9
*DM IG Government Bonds**	▼	21	12	4
*DM IG Corporate Bonds**	◆	15	10	5
DM HY Corporate Bonds	◆	3	2	1
EM Bonds		11	9	5
EM USD Government Bonds	▲	8	7	5
EM Local Ccy Government Bonds	◆	3	2	0
Asia USD Bonds	◆	8	5	3
North America Equities	▲	23	36	49
Europe ex-UK Equities	◆	4	7	9
UK Equities	▼	0	1	2
Japan Equities	◆	2	3	4
Asia ex-Japan Equities	▲	4	7	9
Gold	▲	7	7	7
		100	**100**	**100**

Summary	FOUNDATION Conservative
Cash	10
Fixed Income	90
Asset class	**Moderate**
Cash	10
Floating Rate Notes	45
DM IG Govt (Short duration)	10
DM IG Corp (Short duration)	15
DM HY (Short duration)	5
EM USD Govt (Short duration)	5
EM LCY Govt	5
Asia USD bonds	5
	100

Legends: ▲ Most preferred | ▼ Least preferred | ◆ Core holding

Source: Standard Chartered

Notes: All figures in %; (i) For small allocation we recommend investors to implement through global equity/global bond product; (ii) Allocation figures may not add up to 100 due to rounding. *FX-hedged; (iii) DM IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (iv) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

Foundation+: Asset allocation summary

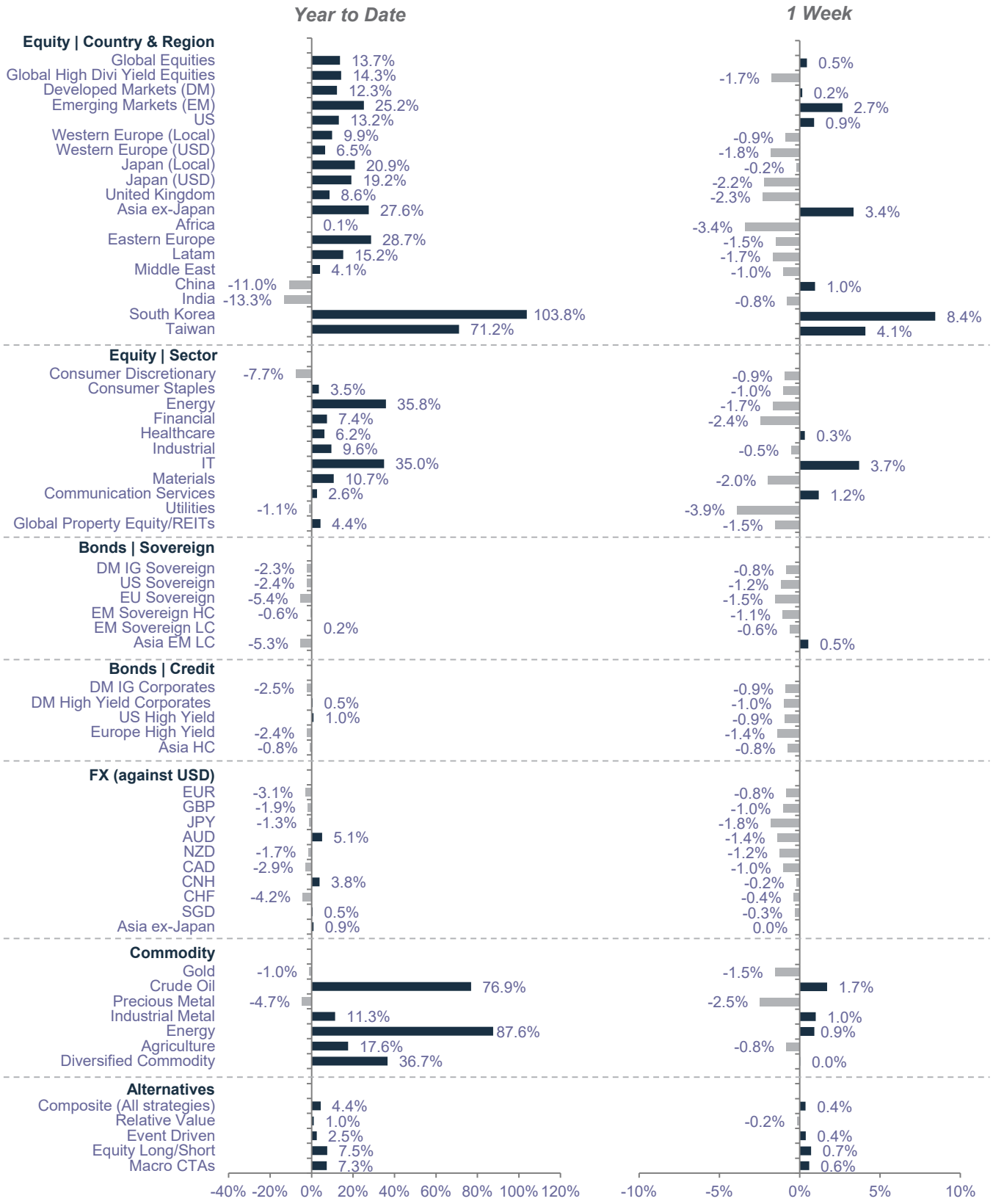
		FOUNDATION+		
Summary	**View**	**Moderate**	**Balanced**	**Aggressive**
Cash	▼	2	2	2
Fixed Income	◆	49	30	13
Equity	▲	28	43	55
Alternatives	◆	21	25	30
Asset class				
USD Cash	▼	2	2	2
DM IG Bonds		30	17	7
*DM IG Government Bonds**	▼	18	10	3
*DM IG Corporate Bonds**	◆	12	8	4
DM HY Corporate Bonds	◆	3	2	1
EM Bonds		9	7	4
EM USD Government Bonds	▲	7	5	4
EM Local Ccy Government Bonds	◆	3	2	0
Asia USD Bonds	◆	7	4	2
North America Equities	▲	19	29	37
Europe ex-UK Equities	◆	3	5	7
UK Equities	▼	0	1	1
Japan Equities	◆	2	2	3
Asia ex-Japan Equities	▲	3	5	7
Gold	▲	6	5	5
Hedge Fund Strategies	◆	2	3	4
Private Equity	◆	2	5	8
Private Real Assets	◆	4	4	4
Private Debt	◆	5	6	7
Digital Assets	◆	2	2	2
		100	**100**	**100**

Legends: ▲ Most preferred | ▼ Least preferred | ◆ Core holding

Source: Standard Chartered

Notes: All figures in %; (i) For small allocation we recommend investors to implement through global equity/global bond product; (ii) Allocation figures may not add up to 100 due to rounding. *FX-hedged; (iii) DM IG Bonds is an aggregate of DM IG Government and DM IG Corporate Bonds; (iv) EM Bonds is an aggregate of EM USD and EM Local Ccy Government Bonds

Market performance summary*



Source: MSCI, JPMorgan, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*All performance shown in USD terms, unless otherwise stated

*YTD performance data from 31 December 2025 to 24 September 2026; 1-week performance from 17 September 2026 to 24 September 2026

Our key forecasts and calendar events

Currency	USD (DXY)	EUR/ USD	GBP/ USD	USD/ JPY	AUD/ USD	NZD/ USD	USD/ CAD	USD/ CNH	USD/ CHF	Oil (WTI, USD/ bbl)	Gold (USD/ oz)	Fed policy rate (upper bound)	US Treasury 10Y yield (%)	ECB policy rate
3m forecast	100.2	1.15	1.33	157	0.73	0.56	1.39	6.70	0.82	100	4,750	4.25%	5.00-5.25%	2.75%
12m forecast	98	1.18	1.35	153	0.74	0.57	1.37	6.67	0.79	80	5,000	4.25%	4.75-5.00%	2.50%

Source: Standard Chartered

OCT

- Oct > China: CCP Plenum
- 1 Oct > US: ISM PMI
- 2 Oct > EC: CPI
- 2 Oct > US: Nonfarm Payrolls
- 12-18 Oct > Thailand: IMF and World Bank Annual Meetings
- 14 Oct > US: CPI
- 23 Oct > EC: PMI
- 29 Oct > US: Fed policy meeting
- 29 Oct > EC: ECB policy meeting
- 30 Oct > JP: BoJ policy meeting

NOV

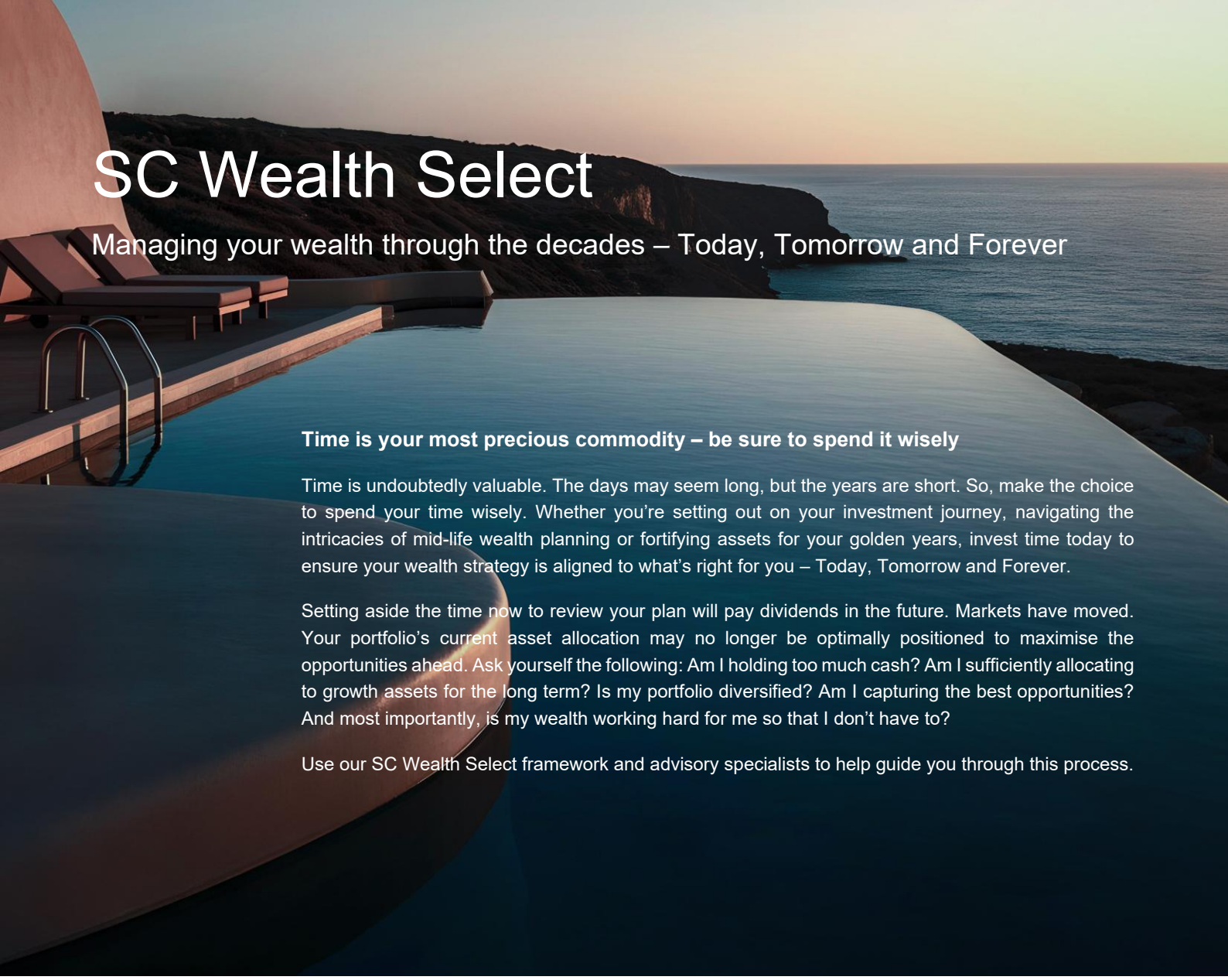
- 2 Nov > US: ISM PMI
- 3 Nov > US: US Mid-term Elections
- 4 Nov > EC: CPI
- 5 Nov > UK: BoE policy meeting
- 6 Nov > US: Nonfarm Payrolls
- 10 Nov > US: CPI
- 18-19 Nov > China: APEC Economic Leaders Summit
- 23 Nov > EC: PMI

DEC

- 1 Dec > EC: CPI
- 1 Dec > US: ISM PMI
- 4 Dec > US: Nonfarm Payrolls
- 10 Dec > US: Fed policy meeting
- 10 Dec > US: CPI
- 14-15 Dec > US: G20 Leaders' Summit
- 16 Dec > EC: PMI
- 17 Dec > UK: BoE policy meeting
- 17 Dec > EC: ECB policy meeting
- 18 Dec > JP: BoJ policy meeting

Legends: Central bank policy | Geopolitics | Economic data

X – Date not confirmed | ECB – European Central Bank | FOMC – Federal Open Market Committee (US) | BoJ – Bank of Japan | BoE – Bank of England



SC Wealth Select

Managing your wealth through the decades – Today, Tomorrow and Forever

Time is your most precious commodity – be sure to spend it wisely

Time is undoubtedly valuable. The days may seem long, but the years are short. So, make the choice to spend your time wisely. Whether you're setting out on your investment journey, navigating the intricacies of mid-life wealth planning or fortifying assets for your golden years, invest time today to ensure your wealth strategy is aligned to what's right for you – Today, Tomorrow and Forever.

Setting aside the time now to review your plan will pay dividends in the future. Markets have moved. Your portfolio's current asset allocation may no longer be optimally positioned to maximise the opportunities ahead. Ask yourself the following: Am I holding too much cash? Am I sufficiently allocating to growth assets for the long term? Is my portfolio diversified? Am I capturing the best opportunities? And most importantly, is my wealth working hard for me so that I don't have to?

Use our SC Wealth Select framework and advisory specialists to help guide you through this process.

Purpose

Today, Tomorrow, Forever

Our approach to helping you grow and manage your wealth starts with you. We use a goals-aware approach to understand your vision of Today, Tomorrow and Forever for yourself, your family and beyond, and then design portfolios to meet your various needs.

Using our 'Today, Tomorrow and Forever' approach, we ensure your wealth needs for the near term (Today) are met, while ensuring your wealth needs for the decades ahead (Tomorrow and Forever) are also planned for.

Your vision of 'Today, Tomorrow and Forever' is unique to you. Our specialists partner with you to build well-diversified, long-term Foundation portfolios, aligned to your Today, Tomorrow and Forever needs. Opportunistic ideas are added to capture short-term opportunities, and sufficient protection is included to address the objectives of you and your family.

Today, Tomorrow and Forever Approach

Planning for Today

Requires ensuring liquidity and income flows take centre stage

Securing Tomorrow

Entails a well-diversified investment and protection portfolio with a focus on growth, ensuring inflation is accounted for and risks are mitigated

Building for Forever

Involves greater focus on long-term returns given the time horizon of your portfolio can be measured in decades, and might also include business interests, real estate, collectibles or charitable funds

Principles

that stand the test of time

Adhering to time-tested principles, to ensure your investment decisions remain robust and consistently applied, is paramount to your success Today, Tomorrow and Forever. We use five Wealth Principles to guide and guardrail your wealth decisions.

Discipline – ensure consistency and prudence over your emotions

- Reacting to emotions, such as optimism and fear, can lead to poor investment decisions at the worst times
- Have a plan and stick to it – this helps you to stay focused on the bigger picture

Diversification – simply put, don't put all your eggs in one basket

- Reduce risk by holding a variety of financial assets. Multi-asset diversification in your Foundation portfolio is important
- As a guide, make sure your portfolio contains a variety of asset classes and investments that have low correlation with one another

Time in the Market – a more robust strategy than timing the market

- Predicting market selloffs is challenging, and timing your exit and re-entry is difficult
- Missing out on the best performing days of a market can have a significantly detrimental impact on your portfolio
- 'Time in the market' and buying the market with a longer-term view provide more consistent returns that can ride out bumps along the way

Risk and Return – make sure the risk is worth the return

- To achieve higher investment returns, you will likely have to accept a greater level of risk in your portfolio
- Therefore, it's important to understand the risks and manage these on an ongoing basis

Protection – don't let the unexpected catch you unprepared

- Even though you may feel healthy, or financially stable now, protection offers the ability to overcome times of financial uncertainty and mitigate the long-term impact of unforeseen events on your wealth
- A good protection plan not only safeguards your wealth today, but also considers the value of your future earnings over your lifetime, in today's terms

Advisory Process

Following a holistic approach to managing your wealth

We follow a rigorous process to ensure your needs and objectives are well-understood, and your portfolio is well-aligned and manages to deliver on these objectives.

However, markets constantly evolve and your needs change. Hence, we encourage you to undertake regular portfolio reviews to ensure your portfolio remains aligned to your Today, Tomorrow and Forever objectives. This proactive approach includes strategic rebalancing based on insights from our Chief Investment Office.

Learn more

Scan the QR code below to learn more about our approach to growing, managing and protecting your wealth.

The five-step process

Showcase
Learn how our advisory framework can help you

Discover
Let us understand your needs, preferences and goals better

Propose
We'll design a Foundation portfolio with Opportunistic overlays, which is tailored for you

Implement
Allow us to implement your portfolio seamlessly and efficiently

Monitor & Review
It's important to regularly review and rebalance your portfolio

Please be sure to reach out to your Relationship Manager today to arrange a portfolio review.

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >

SC Wealth Insights

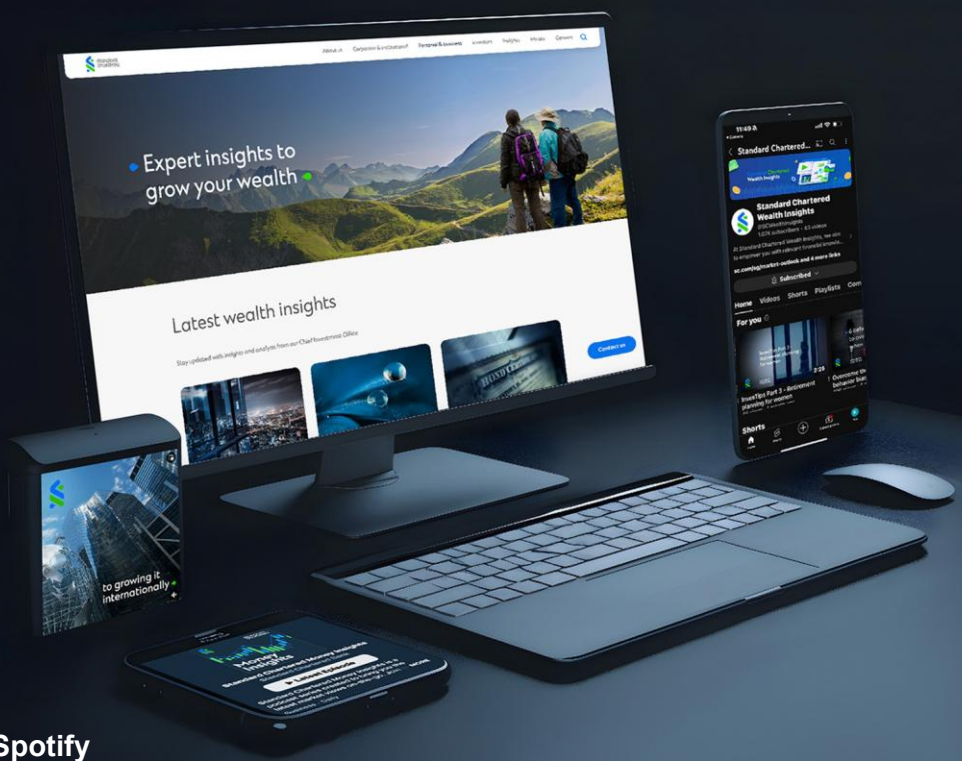
Find out more >

YouTube >

Facebook >

LinkedIn >

PvB LinkedIn >



SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify >

Apple Podcasts >

Speak to your Relationship Manager/Investment Advisor today for access to our security specific publications.

Explanatory notes

1. The figures on page 5 show allocations for a moderately aggressive risk profile only – different risk profiles may produce significantly different asset allocation results. Page 5 is only an example, provided for general information only and they do not constitute investment advice, an offer, recommendation or solicitation. They do not take into account the specific investment objectives, needs or risk tolerances of a particular person or class of persons and they have not been prepared for any particular person or class of persons.

2. Contingent Convertibles are complex financial instruments and are not a suitable or appropriate investment for all investors. This document is not an offer to sell or an invitation to buy any securities or any beneficial interests therein. Contingent convertible securities are not intended to be sold and should not be sold to retail clients in the European Economic Area (EEA) (each as defined in the Policy Statement on the Restrictions on the Retail Distribution of Regulatory Capital Instruments (Feedback to CP14/23 and Final Rules) ("Policy Statement"), read together with the Product Intervention (Contingent Convertible Instruments and Mutual Society Shares) Instrument 2015 ("Instrument", and together with the Policy Statement, the "Permanent Marketing Restrictions"), which were published by the United Kingdom's Financial Conduct Authority in June 2015), other than in circumstances that do not give rise to a contravention of the Permanent Marketing Restrictions.

Disclosures

This document is confidential and may also be privileged. If you are not the intended recipient, please destroy all copies and notify the sender immediately. This document is being distributed for general information only and is subject to the relevant disclaimers available at our Standard Chartered website under Regulatory disclosures. It is not and does not constitute research material, independent research, an offer, recommendation or solicitation to enter into any transaction or adopt any hedging, trading or investment strategy, in relation to any securities or other financial instruments. This document is for general evaluation only. It does not take into account the specific investment objectives, financial situation or particular needs of any particular person or class of persons and it has not been prepared for any particular person or class of persons. You should not rely on any contents of this document in making any investment decisions. Before making any investment, you should carefully read the relevant offering documents and seek independent legal, tax and regulatory advice. In particular, we recommend you to seek advice regarding the suitability of the investment product, taking into account your specific investment objectives, financial situation or particular needs, before you make a commitment to purchase the investment product. Opinions, projections and estimates are solely those of SC at the date of this document and subject to change without notice. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. The value of investments, and the income from them, can go down as well as up, and you may not recover the amount of your original investment. You are not certain to make a profit and may lose money. Any forecast contained herein as to likely future movements in rates or prices or likely future events or occurrences constitutes an opinion only and is not indicative of actual future movements in rates or prices or actual future events or occurrences (as the case may be). This document must not be forwarded or otherwise made available to any other person without the express written consent of the Standard Chartered Group (as defined below). Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered PLC, the ultimate parent company of Standard Chartered Bank, together with its subsidiaries and affiliates (including each branch or representative office), form the Standard Chartered Group. Standard Chartered Global Private Bank is the private banking division of Standard Chartered. Private banking activities may be carried out internationally by different legal entities and affiliates within the Standard Chartered Group (each an "SC Group Entity") according to local regulatory requirements. Not all products and services are provided by all branches, subsidiaries and affiliates within the Standard Chartered Group. Some of the SC Group Entities only act as representatives of Standard Chartered Global Private Bank and may not be able to offer products and services or offer advice to clients.

Copyright © 2026, Accounting Research & Analytics, LLC d/b/a CFRA (and its affiliates, as applicable). Reproduction of content provided by CFRA in any form is prohibited except with the prior written permission of CFRA. CFRA content is not investment advice and a reference to or observation concerning a security or investment provided in the CFRA SERVICES is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. The CFRA content contains opinions of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are

subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. While CFRA exercised due care in compiling this analysis, CFRA, ITS THIRD-PARTY SUPPLIERS, AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes. No content provided by CFRA (including ratings, credit-related analyses and data, valuations, model, software or other application or output therefrom) or any part thereof may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, and such content shall not be used for any unlawful or unauthorized purposes. CFRA and any third-party providers, as well as their directors, officers, shareholders, employees or agents do not guarantee the accuracy, completeness, timeliness or availability of such content. In no event shall CFRA, its affiliates, or their third-party suppliers be liable for any direct, indirect, special, or consequential damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with a subscriber's, subscriber's customer's, or other's use of CFRA's content.

Market Abuse Regulation (MAR) Disclaimer

Banking activities may be carried out internationally by different branches, subsidiaries and affiliates within the Standard Chartered Group according to local regulatory requirements. Opinions may contain outright "buy", "sell", "hold" or other opinions. The time horizon of this opinion is dependent on prevailing market conditions and there is no planned frequency for updates to the opinion. This opinion is not independent of Standard Chartered Group's trading strategies or positions. Standard Chartered Group and/or its affiliates or its respective officers, directors, employee benefit programmes or employees, including persons involved in the preparation or issuance of this document may at any time, to the extent permitted by applicable law and/or regulation, be long or short any securities or financial instruments referred to in this document or have material interest in any such securities or related investments. Therefore, it is possible, and you should assume, that Standard Chartered Group has a material interest in one or more of the financial instruments mentioned herein. Please refer to our Standard Chartered website under Regulatory disclosures for more detailed disclosures, including past opinions/ recommendations in the last 12 months and conflict of interests, as well as disclaimers. A covering strategist may have a financial interest in the debt or equity securities of this company/issuer. All covering strategist are licensed to provide investment recommendations under Monetary Authority of Singapore or Hong Kong Monetary Authority. This document must not be forwarded or otherwise made available to any other person without the express written consent of Standard Chartered Group.

Sustainable Investments

Any ESG data used or referred to has been provided by Morningstar, Sustainalytics, MSCI or Bloomberg. Refer to 1) Morningstar website under Sustainable Investing, 2) Sustainalytics website under ESG Risk Ratings, 3) MCSI website under ESG Business Involvement Screening Research and 4) Bloomberg green, social & sustainability bonds guide for more information. The ESG data is as at the date of publication based on data provided, is for informational purpose only and is not warranted to be complete, timely, accurate or suitable for a particular purpose, and it may be subject to change. The ESG data providers may not provide data coverage of all companies or securities in our Sustainable Investment Universe or Fund Select funds. As a result, a small subset of companies or securities will not be in scope for exclusionary screening. Sustainable Investments (SI): This refers to funds that have been classified as 'ESG Intentional Investments - Overall' by Morningstar. SI funds have explicitly stated in their prospectus and regulatory filings that they either incorporate ESG factors into the investment process or have a thematic focus on the environment, gender diversity, low carbon, renewable energy, water or community development. For equity, it refers to shares/stocks issued by companies with Sustainalytics ESG Risk Rating of Low/Negligible. For bonds, it refers to debt instruments issued by issuers with Sustainalytics ESG Risk Rating of Low/Negligible, and/or those being certified green, social, sustainable bonds by Bloomberg. For structured products, it refers to products that are issued by any issuer who has a Sustainable Finance framework that aligns with Standard Chartered's Green and Sustainable Product Framework, with underlying assets that are part of the Sustainable Investment universe or separately approved by Standard Chartered's Sustainable Finance Governance Committee. Sustainalytics ESG risk ratings shown are factual and are not an indicator that the product is classified or marketed as "green", "sustainable" or similar under any particular classification system or framework.

Shariah ("Shariah Compliant or Shariah Compliance")

For any reason to enter only into transactions which comply or are consistent with the principles of the Shariah, the client certifies that he/she/it has made his /her/its own investigation into and satisfied itself as to the Shariah compliance of the Islamic security and all necessary action to confirm that the Islamic security is Shariah compliant has been taken (including the obtaining of a fatwa, where required) and the Client will not claim any dispute on the grounds of any lack of Shariah compliance of these

investments. The Client has not relied on Standard Chartered Group or any written declaration, fatwa, opinion or other documents prepared by, on behalf or at the request of Standard Chartered Group for the purposes of a determination or confirmation that these instruments are Shariah compliant.

Country/Market Specific Disclosures

Bahrain: This document is being distributed in Bahrain by Standard Chartered Bank, Bahrain Branch, having its address at P.O. 29, Manama, Kingdom of Bahrain, is a branch of Standard Chartered Bank and is licensed by the Central Bank of Bahrain as a conventional retail bank. **Botswana:** This document is being distributed in Botswana by, and is attributable to, Standard Chartered Bank Botswana Limited which is a financial institution licensed under the Section 6 of the Banking Act CAP 46.04 and is listed in the Botswana Stock Exchange. **Brunei Darussalam:** This document is being distributed in Brunei Darussalam by, and is attributable to, Standard Chartered Bank (Brunei Branch) | Registration Number RFC/61 and Standard Chartered Securities (B) Sdn Bhd | Registration Number RC20001003. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18. Standard Chartered Securities (B) Sdn Bhd is a limited liability company registered with the Registry of Companies with Registration Number RC20001003 and licensed by Brunei Darussalam Central Bank as a Capital Markets Service License Holder with License Number BDCB/R/CMU/S3-CL and it is authorised to conduct Islamic investment business through an Islamic window. **China Mainland:** This document is being distributed in China by, and is attributable to, Standard Chartered Bank (China) Limited which is mainly regulated by National Financial Regulatory Administration (NFRA), State Administration of Foreign Exchange (SAFE), and People's Bank of China (PBOC). **Hong Kong:** In Hong Kong, this document, except for any portion advising on or facilitating any decision on futures contracts trading, is distributed by Standard Chartered Bank (Hong Kong) Limited ("SCBHK"), a subsidiary of Standard Chartered PLC. SCBHK has its registered address at 32/F, Standard Chartered Bank Building, 4-4A Des Voeux Road Central, Hong Kong and is regulated by the Hong Kong Monetary Authority and registered with the Securities and Futures Commission ("SFC") to carry on Type 1 (dealing in securities), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activity under the Securities and Futures Ordinance (Cap. 571) ("SFO") (CE No. AJI614). The contents of this document have not been reviewed by any regulatory authority in Hong Kong and you are advised to exercise caution in relation to any offer set out herein. If you are in doubt about any of the contents of this document, you should obtain independent professional advice. Any product named herein may not be offered or sold in Hong Kong by means of any document at any time other than to "professional investors" as defined in the SFO and any rules made under that ordinance. In addition, this document may not be issued or possessed for the purposes of issue, whether in Hong Kong or elsewhere, and any interests may not be disposed of, to any person unless such person is outside Hong Kong or is a "professional investor" as defined in the SFO and any rules made under that ordinance, or as otherwise may be permitted by that ordinance. In Hong Kong, Standard Chartered Global Private Bank is the private banking division of SCBHK, a subsidiary of Standard Chartered PLC. **Ghana:** Standard Chartered Bank Ghana Limited accepts no liability and will not be liable for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. Past performance is not indicative of future results and no representation or warranty is made regarding future performance. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to feedback.ghana@sc.com. Please do not reply to this email. Call our Priority Banking on 0302610750 for any questions or service queries. You are advised not to send any confidential and/or important information to Standard Chartered via e-mail, as Standard Chartered makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. Standard Chartered shall not be responsible for any loss or damage suffered by you arising from your decision to use e-mail to communicate with the Bank. **India:** This document is being distributed in India by Standard Chartered in its capacity as a distributor of mutual funds and referrer of any other third party financial products. Standard Chartered does not offer any 'Investment Advice' as defined in the Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 or otherwise. Services/products related securities business offered by Standard Charted are not intended for any person, who is a resident of any jurisdiction, the laws of which imposes prohibition on soliciting the securities business in that jurisdiction without going through the registration requirements and/or prohibit the use of any information contained in this document. **Indonesia**: This document is being distributed in Indonesia by Standard Chartered Bank, Indonesia branch, which is a financial institution licensed and supervised by Otoritas Jasa Keuangan (Financial Service Authority) and Bank Indonesia. **Jersey:** In Jersey, Standard Chartered Global Private Bank is the Registered Business Name of the Jersey Branch of Standard Chartered Bank. The Jersey Branch of Standard Chartered Bank is regulated by the Jersey Financial Services Commission. Copies of the latest audited accounts of Standard Chartered Bank are available from its principal place of business in Jersey: PO Box 80, 15 Castle Street, St Helier, Jersey JE4 8PT. Standard Chartered Bank is incorporated in England with limited liability by Royal Charter in 1853 Reference Number ZC 18. The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential

Regulation Authority. The Jersey Branch of Standard Chartered Bank is also an authorised financial services provider under license number 44946 issued by the Financial Sector Conduct Authority of the Republic of South Africa. Jersey is not part of the United Kingdom and all business transacted with Standard Chartered Bank, Jersey Branch and other SC Group Entity outside of the United Kingdom, are not subject to some or any of the investor protection and compensation schemes available under United Kingdom law. **Kenya:** This document is being distributed in Kenya by and is attributable to Standard Chartered Bank Kenya Limited. Investment Products and Services are distributed by Standard Chartered Investment Services Limited, a wholly owned subsidiary of Standard Chartered Bank Kenya Limited that is licensed by the Capital Markets Authority in Kenya, as a Fund Manager. Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya. **Malaysia:** This document is being distributed in Malaysia by Standard Chartered Bank Malaysia Berhad ("SCBMB"). Recipients in Malaysia should contact SCBMB in relation to any matters arising from, or in connection with, this document. This document has not been reviewed by the Securities Commission Malaysia. The product lodgement, registration, submission or approval by the Securities Commission of Malaysia does not amount to nor indicate recommendation or endorsement of the product, service or promotional activity. Investment products are not deposits and are not obligations of, not guaranteed by, and not protected by SCBMB or any of the affiliates or subsidiaries, or by Perbadanan Insurans Deposit Malaysia, any government or insurance agency. Investment products are subject to investment risks, including the possible loss of the principal amount invested. SCBMB expressly disclaim any liability and responsibility for any loss arising directly or indirectly (including special, incidental or consequential loss or damage) arising from the financial losses of the Investment Products due to market condition. **Nigeria:** This document is being distributed in Nigeria by Standard Chartered Bank Nigeria Limited (SCB Nigeria), a bank duly licensed and regulated by the Central Bank of Nigeria. SCB Nigeria accepts no liability for any loss or damage arising directly or indirectly (including special, incidental or consequential loss or damage) from your use of these documents. You should seek advice from a financial adviser on the suitability of an investment for you, taking into account these factors before making a commitment to invest in an investment. To unsubscribe from receiving further updates, please send an email to clientcare.ng@sc.com requesting to be removed from our mailing list. Please do not reply to this email. Call our Priority Banking on 02 012772514 for any questions or service queries. SCB Nigeria shall not be responsible for any loss or damage arising from your decision to send confidential and/or important information to Standard Chartered via e-mail. SCB Nigeria makes no representations or warranties as to the security or accuracy of any information transmitted via e-mail. **Pakistan:** This document is being distributed in Pakistan by, and attributable to Standard Chartered Bank (Pakistan) Limited having its registered office at PO Box 5556, I.I Chundrigar Road Karachi, which is a banking company registered with State Bank of Pakistan under Banking Companies Ordinance 1962 and is also having licensed issued by Securities & Exchange Commission of Pakistan for Security Advisors. Standard Chartered Bank (Pakistan) Limited acts as a distributor of mutual funds and referrer of other third-party financial products. **Singapore:** This document is being distributed in Singapore by, and is attributable to, Standard Chartered Bank (Singapore) Limited (Registration No. 201224747C/ GST Group Registration No. MR-8500053-0, "SCBSL"). Recipients in Singapore should contact SCBSL in relation to any matters arising from, or in connection with, this document. SCBSL is an indirect wholly owned subsidiary of Standard Chartered Bank and is licensed to conduct banking business in Singapore under the Singapore Banking Act, 1970. Standard Chartered Global Private Bank is the private banking division of SCBSL. IN RELATION TO ANY SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT REFERRED TO IN THIS DOCUMENT, THIS DOCUMENT, TOGETHER WITH THE ISSUER DOCUMENTATION, SHALL BE DEEMED AN INFORMATION MEMORANDUM (AS DEFINED IN SECTION 275 OF THE SECURITIES AND FUTURES ACT, 2001 ("SFA")). THIS DOCUMENT IS INTENDED FOR DISTRIBUTION TO ACCREDITED INVESTORS, AS DEFINED IN SECTION 4A(1)(a) OF THE SFA, OR ON THE BASIS THAT THE SECURITY OR SECURITIES-BASED DERIVATIVES CONTRACT MAY ONLY BE ACQUIRED AT A CONSIDERATION OF NOT LESS THAN S$200,000 (OR ITS EQUIVALENT IN A FOREIGN CURRENCY) FOR EACH TRANSACTION. Further, in relation to any security or securities-based derivatives contract, neither this document nor the Issuer Documentation has been registered as a prospectus with the Monetary Authority of Singapore under the SFA. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of the product may not be circulated or distributed, nor may the product be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons other than a relevant person pursuant to section 275(1) of the SFA, or any person pursuant to section 275(1A) of the SFA, and in accordance with the conditions specified in section 275 of the SFA, or pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA. In relation to any collective investment schemes referred to in this document, this document is for general information purposes only and is not an offering document or prospectus (as defined in the SFA). This document is not, nor is it intended to be (i) an offer or solicitation of an offer to buy or sell any capital markets product; or (ii) an advertisement of an offer or intended offer of any capital markets product. Deposit Insurance Scheme: Singapore dollar deposits of non-bank depositors are insured by the Singapore Deposit Insurance Corporation, for up to S$100,000 in aggregate per depositor per Scheme member by law. Foreign currency deposits, dual currency investments, structured deposits and other investment products are not insured. This advertisement has not been reviewed by the Monetary Authority of Singapore. **Taiwan:** SC Group Entity or Standard Chartered Bank (Taiwan) Limited ("SCB

(Taiwan)") may be involved in the financial instruments contained herein or other related financial instruments. The author of this document may have discussed the information contained herein with other employees or agents of SC or SCB (Taiwan). The author and the above-mentioned employees of SC or SCB (Taiwan) may have taken related actions in respect of the information involved (including communication with customers of SC or SCB (Taiwan) as to the information contained herein). The opinions contained in this document may change, or differ from the opinions of employees of SC or SCB (Taiwan). SC and SCB (Taiwan) will not provide any notice of any changes to or differences between the above-mentioned opinions. This document may cover companies with which SC or SCB (Taiwan) seeks to do business at times and issuers of financial instruments. Therefore, investors should understand that the information contained herein may serve as specific purposes as a result of conflict of interests of SC or SCB (Taiwan). SC, SCB (Taiwan), the employees (including those who have discussions with the author) or customers of SC or SCB (Taiwan) may have an interest in the products, related financial instruments or related derivative financial products contained herein; invest in those products at various prices and on different market conditions; have different or conflicting interests in those products. The potential impacts include market makers' related activities, such as dealing, investment, acting as agents, or performing financial or consulting services in relation to any of the products referred to in this document. **UAE:** DIFC - Standard Chartered Bank is incorporated in England with limited liability by Royal Charter 1853 Reference Number ZC18.The Principal Office of the Company is situated in England at 1 Basinghall Avenue, London, EC2V 5DD. Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. Standard Chartered Bank, Dubai International Financial Centre having its offices at Dubai International Financial Centre, Building 1, Gate Precinct, P.O. Box 999, Dubai, UAE is a branch of Standard Chartered Bank and is regulated by the Dubai Financial Services Authority ("DFSA"). This document is intended for use only by Professional Clients and is not directed at Retail Clients as defined by the DFSA Rulebook. In the DIFC we are authorised to provide financial services only to clients who qualify as Professional Clients and Market Counterparties and not to Retail Clients. As a Professional Client you will not be given the higher retail client protection and compensation rights and if you use your right to be classified as a Retail Client we will be unable to provide financial services and products to you as we do not hold the required license to undertake such activities. For Islamic transactions, we are acting under the supervision of our Shariah Supervisory Committee. Relevant information on our Shariah Supervisory Committee is currently available on the Standard Chartered Bank website in the Islamic banking section. For residents of the UAE – Standard Chartered UAE ("SC UAE") is licensed by the Central Bank of the U.A.E. SC UAE is licensed by Securities and Commodities Authority to practice Promotion Activity. SC UAE does not provide financial analysis or consultation services in or into the UAE within the meaning of UAE Securities and Commodities Authority Decision No. 48/r of 2008 concerning financial consultation and financial analysis**. Uganda:** Our Investment products and services are distributed by Standard Chartered Bank Uganda Limited, which is licensed by the Capital Markets Authority as an investment adviser. **United Kingdom:** In the UK, Standard Chartered Bank is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and Prudential Regulation Authority. This communication has been approved by Standard Chartered Bank for the purposes of Section 21 (2) (b) of the United Kingdom's Financial Services and Markets Act 2000 ("FSMA") as amended in 2010 and 2012 only. Standard Chartered Bank (trading as Standard Chartered Global Private Bank) is also an authorised financial services provider (license number 45747) in terms of the South African Financial Advisory and Intermediary Services Act, 2002. The Materials have not been prepared in accordance with UK legal requirements designed to promote the independence of investment research, and that it is not subject to any prohibition on dealing ahead of the dissemination of investment research. V**ietnam:** This document is being distributed in Vietnam by, and is attributable to, Standard Chartered Bank (Vietnam) Limited which is mainly regulated by State Bank of Vietnam (SBV). Recipients in Vietnam should contact Standard Chartered Bank (Vietnam) Limited for any queries regarding any content of this document. **Zambia:** This document is distributed by Standard Chartered Bank Zambia Plc, a company incorporated in Zambia and registered as a commercial bank and licensed by the Bank of Zambia under the Banking and Financial Services Act Chapter 387 of the Laws of Zambia.